

NHPC Ltd. (NHPC)

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Page 2 of 25 Moderator: Ladies and gentlemen good day and welcome to the Q1 FY24, Earnings Conference Call of NHPC Limited hosted by Elara Securities Private Limited . As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rupesh Sankhe from Elara Securities Private Limited . Thank you and over to you Mr. Sankhe !

Rupesh Sankhe : Good morning everyone. On behalf of Elara Securities we welcome you all for the Q1 FY '24 conference call of NHPC. I take this opportunity to welcome the management of NHPC represented Mr. Rajeev Kumar Vishnoi – Chairman and Managing Director, Mr. R.P. Goyal – Director (Finance). So, we will begin the call with a brief overview by the management and followed by Q&A session. I will now hand over the call to Mr. R. K. Vishnoi Sir for his opening remarks . Over to you Sir!

R K Vishnoi : Thank you Rupesh and good morning everybody who

is connected to this conference. It is really my pleasure to interact with you on these quarterly financial results Q1 of FY'24 of NHPC. In fact before we really discuss the detail , let me broadly tell you that this particular quarter of FY'24, we have sustained the performance which we have achieved in the past few quarters and that is the broader impression which can be drawn. The details are available , I think all the participants must have gone through the numbers , but broadly let me tell you the major highlights . As far as generation is concerned , we have almost generated 5% lower than the NHPC Limited

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Page 3 of 25 corresponding quarter in the last FY '23 and that was mainly because of lower water availability in the rivers, which is of course beyond the control of anybody is a natural resource and the plant availability factor which is the real measure of the performance of the plant , there we have performed very well and we have remained above 90% in fact 94% this quarter also. Now that shows that machines availability were there , had there been enough water in the river , we would have generated almost a similar amount of energy what we generated last year, but nevertheless in this next quarter particularly

July onwards we have been generating quite a good amount of energy . So, Q2 would be much better than corresponding Q2 of last year.

As regards to the revenue , let me tell you that revenue was approximately 3% higher than the corresponding quarter last year and that was mainly because though the generation was less because we had certain arrears due to the tariff finalization of 2014 -19 period and we received certain amount on account of that , so the revenue was 3% higher than the corresponding quarter last year, but we have maintained the PAT. PAT is almost the same . So, broadly as I told in the beginning that we have almost sustained the same performance as in the corresponding quarter in the last financial year. So , this was broadly on the numbers. Then, there were other achievements on the physical terms also. This quarter where we are trying to focus mainly on two things, one is that we have two major assets which we want to capitalize gradually and improve our balance sheet which are two projects . One is Subansiri and the other one is Parbati-II and second, in this financial year we are focusing more on the capital expenditure. The last year capital expenditure was of the order of something like Rs. 7700 Crore . This year, we have kept the target of

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Page 4 of 25 something like 25% to 30% more than that and this particular quarter what we are discussing today, we have been able to achieve the target and subsequently also, we are doing that. So, this is a big thing what we are focusing. So , this financial year we will be achieving more of capex that is by ensuring the constant uninterrupted execution of the activities at all the projects which are under construction. So, this is just a broader impression of what we achieved in this quarter . I think then Director (Finance) I have with me. In case he has to say anything , then otherwise we can hand it over to the participants for some questions or the queries.

R.P. Goyal : Good morning friends. I am going to share with you quarterly set of numbers with the detailed analysis. The NHPC Board has adopted quarterly financial results for the period ended 30th June'23 in its meeting held on 11th August'23 and the same has already been communicated to exchanges.

Brief highlights of the financial results and important updates on the company are as under:

■ During Q1 FY '24, our power stations have achieved generation of 7787 million units as against 8165 million units generated in corresponding period of the previous year which is about 5% lower. This is mainly due to lower water availability

in Kishanganga ,

Loktak and Dhauliganga Power Stations .

■ Our PAF for Q1 FY24, stands at 94.13% against the corresponding previous period of PAF of 98.57% which is about 4% lower . This is mainly due to less PAF in Kishanganga , Loktak and TLDP -IV Power Stations.

■ For Q1 FY '24, company has earned Revenue from Operations of Rs.2571 Crore as against Rs.2491 Crore in the corresponding

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Page 5 of 25 previous period, which is about 3% higher . The increase in revenue is mainly due to increase in Interest from Beneficiaries on account of finalization of tariff rate 2014 -19 by Rs.70 Crore.

■ Other Income for Q1 FY '24 is of the order of Rs.279 Crore as against Rs.216 Crore during the corresponding previous period, which is about 29% higher. This is mainly due to increase in Dividend Income from NHDC by Rs.28 Crore and increase in insurance claim on account of Business Interruption Loss by Rs.34 Crore for Sewa -II Power Station.

■ During Q1 FY '24, the Generation Expenses have gone up from Rs.270 Crore to 518 Crore i.e by Rs.248 Crore which is mainly due

to applicability of Water Cess in state of Uttarakhand, Sikkim and Himachal Pradesh.

■ During Q1 FY '24, the Employee Cost has come down from Rs.307 Crore to Rs.297 Crore.

■ During Q1 FY '24, there has been decrease in Finance Cost from Rs.137 Crore to 115 Crore that is by of Rs.22 Crore which is mainly due to change in the average rate of interest by Rs.5 Crore and decrease due to repayment of loans by Rs.17 Crore.

■ During Q1 FY '24, the Depreciation and Amortization expenses have come down from Rs.287 Crore to Rs.276 Crore which is mainly due to completion of 12 years of life of Sewa-II Power Station in FY 2022-23.

■ During Q1 FY'24, Other Expenses have come down from Rs.507 Crore to Rs.370 Crore. This is mainly due to Impairment of Investment of Rs.106 Crore in respect of Loktak Downstream Hydroelectric Power Corporation Limited, a subsidiary company during corresponding previous period. Further, CSR expenses have also decreased by Rs.30 Crore in current quarter.

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Page 6 of 25 ■ During Q1 FY '24, we have earned PAT of Rs. 1053 Crore as against Rs.1050 Crore of corresponding previous period which is marginally higher and the reasons for decrease/increase in the line items we have just discussed.

■ During Q1 FY '24, the incentive position is as under:

■ PAF based Incentive is nil in this quarter as against Rs.171 Crore in corresponding period of previous year. Deviation charges are 12 Crore as against Rs.72 Crore in corresponding previous period.

■ The PAF incentive for the quarter is nil due to change in methodology for recognizing incentive income. The PAF incentive shall be recognized once the capacity charges of a particular power station is fully recovered and thereafter, we will recognize the PAF incentive. So, the recognition of PAF will be back ended now.

■ Capex during Q1 FY24 is Rs. 1906 Crore as against Rs.1161 Crore in the corresponding period of previous year on consolidated basis.

■ The Annual General Meeting of the company for 2022-23 is scheduled to be held on 31st August '23.

■ Other major highlights of the company:

■ On realization front, NHPC has received Rs.1647 Crore from the beneficiaries against sale of energy during Q1 FY '24, as compared Rs.1357 Crore in the corresponding period of previous year. Trade receivables as on 30th June'23 stands at Rs.6736 Crore as against Rs.5887 Crore as on 31st March '23. This includes Rs.3059 Crore as NHPC Limited

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Page 7 of 25 unbilled debtors as on 30th June'23 as against Rs.2757 Crore as on 31st March '23.

■ The net receivables out of total reported trade receivables as on 30th June'23 are as below:

Reported Trade Receivables are Rs. 6736 Crore.

This includes

unbilled debtors Rs. 3059 Crore, so billed receivables are Rs. 3677 Crore. Out of that, debtors for bill discounting for which we have already received the amount from beneficiaries but due to accounting compulsion, we could not reduce the debtors. The amount is Rs.847 Crore on this account. Then debtor's dues converted into installments under Electricity Late Payment Surcharge and other orders of Rs.1483 Crore, so net amount of debtors dues is Rs.1347 Crore and out of that, more than 45 days are only Rs.363 Crore. So, our debtors position has improved a lot.

■ Unbilled Debtors mainly include impact of AFC billed v/s AFC claimed as per regulations 2019-20 including security expenses of

Rs.1584 Crore , unbilled sale for the month of June, 2023 of Rs.851 Crore and energy shortfall of Rs.347 Crore .

■ Net Trade Receivables as on 9th August '23 i.e. current position of the debtors stand s at Rs.1728 Crore only which includes more than 45 days dues of Rs.230 Crore . The major receivables out of billed receivables are as under :

J&K - Rs.443 Crore , UP - Rs.349 Crore , Punjab - Rs.233 Crore , Haryana - Rs.139 Crore , West Bengal - Rs.110 Crore and others - Rs.454 Crore. So, total Billed Debtors as on 9th August' 23 are 1728 Crore . Out of that , more than 45 days are for J&K - Rs.156 Crore , UP - only 10 Crore and others - Rs.64 Crore . So, more than 45 days debtors are only Rs.230 Crore .

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Page 8 of 25 This is all from my side . Now, the forum is open for question and answers. Thank you .

Moderator: Thank you very much. We will now begin the question and answer session. We will take the first question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar : Good morning Sir. My first question is on what is the status of Subansiri and Parbati-II, are you on the track because I saw in the CEA that Parbati-II is slipping to FY 2025, is that correct?

R K Vishnoi : Ya Mohit, Let me tell you first about Subansiri. Subansiri, in fact, physical progress is such that we are all set to now commission the project and we will restart the work immediately after the monsoon in the month of November and will try to complete everything including the commissioning of the unit in the month of January and February, so we propose to commission 2 units in FY'24. There seems to be no uncertainty as such in Subansiri , so this project is going to come in this FY'24.

As regards to Parbati-II, There, we had planned to commission at least couple of units in FY24, but because of the recent floods in Himachal Pradesh , now there were torrential rains and because of which , it was almost a disaster kind of a situation. This project is the one which got impacted the most and which has in fact, disturbed all the approaches, access routes, everything . So, there is certain kind of impact on the schedule and we are trying to minimize that . But yes, at the moment there is very little possibility of commissioning the first unit in this financial year but we will still try to reassess the situation next month as soon as the monsoon is over and we will try

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Page 9 of 25 to do something . But if it goes to FY'25, it will be early FY'25 in the month of April only.

Mohit Kumar : Understood Sir. My second question is on the change in accounting specific for the PAF based incentive , is it reasonable for us to change the recognition and make it more back ended now ?

R.P. Goyal : No, there is no change in the regulations it has been changed at our own only . Actually what was happening that in first and second quarter , we were recognizing PAF incentive in some of the Power Stations , but in last quarter or third quarter of the financial year there were situations where we had to reverse the PAF

incentive due to

non achievement of the NPAFA. That is why, we have changed the system . We will recognize the PAF incentive in later quarters only to avoid the reversal.

Mohit Kumar : Sir my last question, do you see any impact of the IEGC code which expected to happen on October 1, 2023. Would it impact our earnings in any way on account of PAF or DSM ?

R.P. Goyal : DSM has impact on our revenue due to change of the system.

Mohit Kumar : My question is on the IEGC code which is going to come applicable from October 1, 2023?

R K Vishnoi : I do not think , IEGC code is going to really impact much on this, but still I think we have to assess the situation. I think at the moment we

are not in a position to comment anything on this. So we will make a statement maybe after ascertaining what exactly is going to happen.
Mohit Kumar : Sure Sir. Understood Sir. Thank you and best of luck.
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Page 10 of 25 Moderator : Thank you. We will take the next question from the line of Prashant Kshirsagar from Unived Corporate Research Please go ahead.

Prashant Kshirsagar : Good morning Sir. Just a question on the Subansiri Middle and Subansiri Upper hydro projects which you have been allotted. Just wanted to reconcile the capacity of those projects. In your press release you have stated that Subansiri Upper is 2000 megawatts capacity and Subansiri Middle is 1800 megawatts while in the annual report of yours on page 81, the capacity mentioned is Subansiri Middle is 1720 megawatts and Subansiri Upper is 1500 megawatts. Can you help us with reconciliation, how was the figure?

R K Vishnoi : Actually, see these two projects have been recently taken over and we are in the process of getting the DPRs also of these two projects. So, the capacities which were earlier marked for these two projects have been revised now and we foresee that we can install larger capacity at these two plants though it will be clear once we update the DPRs of both the projects. So at the megawatt, what we see is that 2000 megawatt is the upper Subansiri capacity potential and 1800 megawatt is the middle Subansiri capacity potential. So, with these two figures we are going ahead at the moment.

Prashant Kshirsagar : Yes, but in the annual report when you had mentioned 1500 for Subansiri upper, so what was the basis of the calculation or is it just that you did not have the data with you or how does it?

R K Vishnoi : I think, we need to check in what respect that has been mentioned, but this is the fact what I just mentioned to you.

Prashant Kshirsagar : Ok Sir, Second question is about Subansiri both Middle and Upper, Land acquisition has been done or is it because you have taken it
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Page 11 of 25 over from the private players, so had they done the land acquisition or just incurred the initial cost for that?

R K Vishnoi : So, that is an activity at a later stage. At the moment, they have done some initial activities where some investigations have been done and some kind of pre-DPR stage activities have been done. So, at that stage itself, we have taken over these two projects. So, all other things we have to complete ourselves.

Prashant Kshirsagar : Ok sir, Thanks a lot. That was my question.

Moderator : Thank you. We will take the next question from the line of Rohit Natarajan from Antique Stock Broking. Please go ahead.

Rohit Natarajan: Thank you for this opportunity. Sir my question is more to do with the regulated equity we guided in the last quarter that the regulated equity will be Rs.162 billion or Rs.16239 Crore by the end of FY'24, now that there are some slippages expected from Parbati how does that number look like, both for FY24, and FY '25?

R.P. Goyal : For the last quarter of FY'24, there may be some addition into regulatory equity on account of Subansiri lower, or

otherwise it will

remain at the present level.

Rohit Natarajan: Ok, You mean to say, it will broadly remaining at Rs.13000 as such?

R.P. Goyal : Yes. For the last one or two months, there may be some additions.

Rohit Natarajan: But you are reasonably sure that this number will be by the end of FY'25 going to Rs.22600 Crore, that number?

R.P. Goyal : That is for sure.

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Page 12 of 25 Rohit Natarajan: My second question is to do with the IPO or the stake sale of clean energy arm if you could just elaborate on that part Sir?

R.P. Goyal : There is no plan at present as such, in case we add some capacity in the solar or wind and that is transferred to our 100% subsidiary

company and if we require the resources then only we will go for IPO of our subsidiary company, otherwise there is no plan as such.

Rohit Natarajan: My final question is on the pumped hydro storage project if you could just elaborate how much is the MoU that you have tied up till date and which are the projects that are expected to go in construction at least in the near term, what could be the timelines for it?

R.P. Goyal : You are asking about the Dibang pumped hydro.

Rohit Natarajan: Pumped hydro storage project?

R K Vishnoi : Pumped Hydro Storage in fact is the new business domain of NHPC where we are trying to enter very aggressively and we have recently signed one MoU for the implementation of four projects about 7000 megawatts in the State of Maharashtra. Also, we have entered into an MoU with the State of Gujarat for development of PSPs and then Government of Odisha and Government of Andhra Pradesh. So, there are four states where we have already moved ahead and this is going to be one big business opportunity for NHPC in the near future because we see the pumped storage plant is the most emerging opportunity in the power sector and you know, we try to jump on it at an early stage, so this is how we are doing now. Our all teams are there on the ground, they have started working on this. So, pumped storage is going to be the mainstay for NHPC now in the near future.

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Page 13 of 25 Rohit Natarajan: Sir if you could give us some targets, as in the projects that you are looking for in the near term as in one or two projects that will be commissioned by FY'27 or FY '28, what is the timeline that you would want to see in these projects?

R K Vishnoi : See any pumped storage plant once you start the construction activity on the ground, it is going to take not less than four to five years. So, that is after the start of construction activities but before that, there are certain investigation matters, there are certain clearances, there are certain compliances. So, all that we have started doing. That period is something like one to one-and-a-half years. So, what we see now is the first pumped storage commissioning may be by the year FY'29, that is the first project which we can commission in Maharashtra. That is the vision at the moment, but not before that.

Rohit Natarajan: Ok, What will be the costing like, what could be the costing per megawatt, is it fairly good to say that number will be close to Rs.9 Crore per megawatt or you know there are multiple figures that are floating around, what is your assumption at this point in time?

R K Vishnoi : Yes, in fact if you see there are different kinds of pumped storage plant schemes. There is one which is on the main river stream where if you really make a project, it is going to cost you much more than what you are making off the stream. So, now we are focusing of the stream projects also which are costing us less. If you ask me per megawatt cost, if it is on the river stream, it is around Rs.8 Crore to Rs.9 Crore per megawatt. But if it is off the stream, then it is Rs.6 Crore to Rs.

Rs.6.5 Crore per megawatt. Now depending upon the type of scheme, and then depending upon the topography, the particular outcome of the investigations there, of course this figure may vary 5% to 10% here and there, but this is broadly the number.

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Page 14 of 25 Rohit Natarajan: Sure Sir. Thank you. That is it from my side.

Moderator : Thank you. We will take the next question from the line of Aniket Mittal from SBI Mutual Fund. Please go ahead.

Aniket Mittal: Yes thank you. A few questions. Firstly in your opening remarks, you mentioned that you are planning for 20% to 25% higher capex refer FY2023 if you could one provide what that amount is for FY24, and break that up across different plants?

R K Vishnoi : I think, the total is Rs.10857 Crore. The Director (Finance) will give the detail.

R.P. Goyal : Total capex as we have planned is Rs.10857 Crore including our subsidiary and joint ventures and if you are interested in project wise numbers , I can share the same. The Parbati -II we have planned for Rs.595 Crore, Subansiri Lower we have planned Rs.787 Crore , Dibang Rs.712 Crore, then Teesta -IV our project which is under investigation Rs.25 Crore, Dugar Rs.320 Crore , then Sawalkot Rs.143 Crore, Subansiri Upper Rs.121 Crore. Subansiri Middle Rs.217 Crore, then Solar as a whole Rs.2517 Crore , then Pakal Dul in subsidiary company Rs.1215 Crore, Kiru Rs.857 Crore, Kwar Rs.220 Crore, then Lanco Teesta -VI project Rs.1151 Crore, Rangit -IV Rs.455 Crore , Ratle Rs.454 Crore. That is all.

Aniket Mittal: The numbers that you have given for the subsidiaries and JVs those are your share of the capex or is it the entire capex?

R.P. Goyal : This is entire capex.

Aniket Mittal: The next question was in your opening remarks you also mentioned that there are certain arrears that you have received for this quarter,

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Page 15 of 25 just wanted to understand what has been the total amount for , for what purpose has it come and is there any portion in that, that is sustainable in nature?

R.P. Goyal : That is a small number only Rs.80 Crore , which is on account of arrear sales including interest .

Aniket Mittal: This is like a onetime item that is coming ?

R.P. Goyal : Yes. This is one time.

Aniket Mittal: Just on Parbati, I wanted to understand what is the type of work that is remaining on the tunnel , has the tunnel been completed , have we started with the lining work if you could throw some light there?

R K Vishnoi : Yes, the main issue was there in the Parbati was the excavation of the tunnel which was becoming too challenging and we were doing excavation by two different construction technologies. One was through tunnel boring machine, the other was through drill and blasting method. Now, while we were about to complete this excavation and this all disaster took place last month. We were left with hardly anything now, I think 65 meter is the only portion which is left for excavation now and we have made preparations to start lining immediately and we have also planned to do lining in an expeditious manner by deploying the most efficient construction technology. So, that is what we are trying to do here , but this has been a setback the floods in July in Himachal . Otherwise , in Parbati -II, everything is in line, machines are ready , the tunnel is also excavated fully almost except 65 meters, so we do not see any other uncertainty except that we get some time now to complete this excavation and start the lining.

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Page 16 of 25 Aniket Mittal: What is the amount of lining work that is remaining ?

R K Vishnoi : It is 2900 meters, so approximately 3 kilometers you can say.

Aniket Mittal: Just one clarification. Sir you mentioned that there could be some amount of regulated equity addition

on to Subansiri as the two units are commissioned. Just to understand how the tariff get determined , would you take the entire capital cost divide that by four, how does that process work ?

R.P. Goyal : In fact, tariff will be fixed by dividing four. In case in two units, total capital expenditure will be divided by four and tariff will be fixed accordingly. So in the initial period, tariff will be high and in the books, expenditure will be more than what we would be able to recover in tariff, but that will be for some period only.

Aniket Mittal: So you will essentially take the estimated project costs for Subansiri and then divide it by four let us say commissioning two units each and count that as regulated equity?

R.P. Goyal : Yes for tariff purpose, actual expenditure will be divided by four and the tariff will be fixed accordingly.

Aniket Mittal: Thank you. Those are my questions.

Moderator : Thank you. We will take the next question from the line of Riya Mehta from Equitas Investments . Please go ahead.

Riya Mehta: Thank you for giving me the opportunity. My first question is in regarding with Subansiri when do we expect it to get commissioned and what kind of cost overruns are we seeing for Parbati-II as well as Subansiri ?

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Page 17 of 25 R K Vishnoi : As I said in the beginning , for Subansiri Lower , we are all set to commission the project but due to all because of this intervening monsoon season that we had to put everything on hold to commission the project. Now, we will re start the activities in the middle of October and in another three months ' time, we will try to commission at least the first unit and the second unit subsequently . So as I said, as far as lower Subansiri is concerned, there is no uncertainty left now. These two units will come in this financial year.

Parbati-II, I just mentioned we had a plan to commission two units in this financial year but there has been a setback because of some floods in Himachal Pradesh. So I think, these two units will go in early FY'25.

Riya Mehta: What kind of cost overruns are we seeing because of this delay ?

R K Vishnoi : Subansiri as we are doing it on schedule , hardly any cost overrun except for three to four months IDC would be there , But regarding Parbati-II, there could be some additional costs which we will be incurring on making damages good which have happened because of the floods and some other expenditures like expeditiously completing the lining and then deploying some construction technologies which are normally non conventional. So because of that, some cost increase could be there but it is not really substantial which is going to cost much or impact much on the tariff .

Riya Mehta: In terms of pumped hydro storage project , what is the business model and what kind of margins should we expect from these Mo Us and how long and when do we see this execution starting from ?

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Page 18 of 25 R K Vishnoi : Pumped storage plants at the moment are an essential component of the grid of the country. Now this particular asset can be used in many ways but as far as our margin is concerned , of course, it will be a regulated margin but how we are going to use it, what models will we be implementing for this, there are several options like we can even combine this pumped storage plant with renewable energy assets where we can have the unintermittent power from the renewable energy , day power which we can convert into round the clock power by using the pumped storage plants and then finally supplying it to the consumers like who needs round the clock power like the railways and the other industries. The other could be that the grid stability where the transmission system particularly whether it is state transmission system or the nation

al transmission system.

Because of some kind of overload and under load conditions, if we have to either inject the power or absorb the power then these are the assets which can immediately come handy for this . There are ancillary services where we can monetize the ancillary services for pumped storage plants but what I am trying to say , it is much different from the normal hydropower project where we generate electricity and we supply the electricity . It is not only generation alone, it is the conversion of electricity from one form to the other and that could happen in many ways. It could assist the transmission system, it could assist the generators like the renewable power generators and it could also assist the DISCOMs where DISCOMs are under stress, so this is how these pumped storage plants are very useful but in what manner we are going to use it, that will of course

depend upon where this particular asset is situated and what could be the best use of that asset in that particular topography.

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Page 19 of 25 Riya Mehta: What kind of margins we will be seeing in this kind of projects like per megawatt or something RO I?

R K Vishnoi : Per megawatt cost as I said it will vary from anything between Rs.6.5 Crore to Rs.8.5 Crore per megawatt that is the cost of development, but as far as margins are concerned .

R.P. Goyal : ROI will be at the rate of 16.5 % as in the case of hydro project.

Riya Mehta: In case from Pump hydro project 16.5?

R.P. Goyal : 16.5.

Riya Mehta: These also include the escalation like we have in the normal project?

R.P. Goyal : That will be on cost plus basis similar to hydro project.

Riya Mehta: Thank you.

Moderator : Thank you. We will take the next question from the line of Nikhil Abhyankar from ICICI Securities . Please go ahead.

Nikhil Abhyankar: Thank you sir. Thanks for the opportunity. Sir, we have been handed to bid out renewable project for this year. So, what is the expected bidding from our side this year and what all things are in pipeline?

R K Vishnoi : So in fact, there are different modes. We have already bid out capacities of something like 1000 MW under CPSU scheme, but at the moment recently we have bid out for 3 gigawatt i.e. 3000 megawatt capacity. That is a part of the total 10 gigawatt capacity which you have to roll out this particular financial year. So, 3 gigawatt we have already done it and 7 gigawatt will come

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Page 20 of 25 gradually. That is mandate which has been given to NHPC and as soon as, we finalize this capacity, then immediately we will roll out the further tender for this.

Nikhil Abhyankar: Of this 7, the entire tendering process is also yet to start ?

R.P. Goyal : For 3 gigawatt we already started tendering process . NIT has been floated but one thing I want to clarify that there will be no capex from our side, we will be just intermediary .

Nikhil Abhyankar: Understood, but we are confident of achieving 10 gigawatt this fiscal?

R.P. Goyal : Yes.

Nikhil Abhyankar: Sir, any update on Sawalkot tender?

R K Vishnoi : Sawalkot is a project in the pipeline and there are certain last stage compliances and some kind of understanding with the state government which is almost now through. We are ready with the tender document and very shortly , we will issue the NIT for the civil works as well as the other packages for Sawalkot .

Nikhil Abhyankar: Sir you mentioned that the consolidated capex is around Rs.109 billion so what will be the standalone number?

R.P. Goyal : Rs.5700 Crore .

Nikhil Abhyankar: Sir just a last question if I may add. You mentioned that we might even look at monetizing ancillary services for pumped hydro storage , so how will it actually happen , so will it be on a bilateral basis, short term , medium and long term agreements or will it be

through

exchanges?

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Page 21 of 25 R K Vishnoi : See, the Government has issued the guidelines now and there are certain more guidelines which are in the making at the moment where the developer of pumped storage plant would be free to enter into bilateral agreement with any of the industry directly or the end user also and he is also free to convert that power into either repeat power or round the clock power and sell it through the exchanges . So, both the options are available and this has been thrown open now

and this has been left to the market. So, this is how it is going.

Nikhil Abhyankar: Sir right now can you see, is there any traction in the ancillary market to exchanges or even say bilateral markets?

R K Vishnoi : Yes, already we have started filling the demand and as you know the compliances are getting stricter day-by-day. These requirement of compliances on account of ancillary services are becoming more stringent and because of which the importance and significance of this pumped storage plant asset is coming to fore .

Nikhil Abhyankar: Understood. Can you quantify the bids that we are already quoting in ancillary markets?

R K Vishnoi : Nothing of that sort has been done yet but see, first we are focusing on starting the project and then, we will focus on what model we will enter into the market.

Nikhil Abhyankar: Ok sir, Thank you and all the best.

Moderator : Thank you. We will take the next question from the line of Gopal Nawandhar from SBI Life . Please go ahead.

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Page 22 of 25 Gopal Nawandhar: Sir I want to know the renewable projects which are getting commissioned in FY'24, FY'25 and FY' 26 and the projects we target to bid for our capex for the next two to three years?

R.P. Goyal : At present, we are working on one Kalpi solar power project (65 megawatt) in our subsidiary i.e. BSU L and then, we are working in CPSE scheme (1000 megawatt). Out of that , 300 megawatt is being constructed by Tata Power in Bikaner , that will be commissioned in the current financial year and the rest of the capacity 700 megawatt will be commissioned in FY24 -25. We have just received a letter of award from Gujarat for 200 megawatt solar capacity for which we are in the process of awarding EPC contract. This is the solar capacity which is likely to come up in FY23 -24 & FY24 -25. One more 88 megawatt Floating Solar Project is being done by our subsidiary company i.e. NHDC. That will also come up in the current financial year.

Gopal Nawandhar: Any target we have in terms of the bidding for every year , for the next two to three years?

R.P. Goyal: Actually , we are keeping our Return on Equity at least 12% . So in case we are able to achieve this 12% ROE, only then we will take solar projects. That is why , we have not kept the higher target for solar capacity. We are doing selective projects only .

Gopal Nawandhar: If you can just highlight some of these regulations which are going to come for next year . How do you see impact of these regulations on NHPC, do you see any more incentives being given to hydro or is there any expectations of return being cut or something which you can just give some highlight?

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Page 23 of 25 R.P. Goyal : In nutshell , we will not be loser on account of new regulations to come. There may be some benefit, but we are waiting for the draft regulations as of now. We have given our comments. We are demanding more Return on Equity but that is to be seen.

Gopal Nawandhar: Sure Sir. Thanks a lot Sir.

Moderator : Thank you. We will take the next question from the line of Riya Mehta from Equitas Investments . Please go ahead.

Riya Mehta: Thank you for the followup. We have signed the Pump Storage MoUs, so any concrete plans from when these revenues will start

flowing or what kind of opportunity are we seeing further on this and what will be the revenue potential from this?

R K Vishnoi : As I said, these are the first memorandum of understanding with the state government where we have agreed to develop these pumped storage plants in the particular state. Now, NHPC will start work on the ground and the first thing is of course the investigations, what kind of project, what kind of scheme and then how this scheme can be optimized on account of cost and timeline. So, all these things

will be done and they may be completed in next one to one-and-a-half year's time. Once that is complete, then we will start the construction also but before that, of course, there will be another agreement with the state government where the permissions for starting the construction and then finally fetching the power and then operating the plant in that particular state would be there. Then the mode of operation of this pumped storage plant would also be added there. So at the moment, we are at a very early stage but yes we have already set the ball rolling.

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Page 24 of 25 Riya Mehta: Sir in terms of cost of borrowing what was your average rate?

R.P. Goyal: Our average rate is around 7.7% as of now.

Riya Mehta: So for the September since we see torrential rains in the month of July as well, do we expect little lower PAF or something like that?

R K Vishnoi: In fact, there were couple of plants which remained shut down for about a week or 10 days but then because of the more water availability, we generated quite a good amount of energy in the month of July. So as far as PLF is concerned, PLF is not going to go down but PAF certainly it got impacted.

Riya Mehta: Sorry, What was impacted I cannot hear you?

R K Vishnoi: PAF the plant availability factor. That seems to be available, that got impacted because the plants remain shut down for about a week or 10 days.

Riya Mehta: Thank you.

Moderator: Thank you. We will take the next question from the line of Prashant Kshirsagar from Unived Corporate Research. Please go ahead.

Prashant Kshirsagar: Thanks for the followup question Sir. Just wanted to clarify one thing that you will be preparing fresh DPR and technocommercial due diligence for Subansiri middle and upper now or is it that you will rely on the earlier DPRs done by professional consultant EY?

R K Vishnoi: See, NHPC is a very competent engineering organization. So, we will first update the DPR and review the DPR ourselves and we will try to optimize not only the cost, rather technical competence of the project also. We will update the DPR completely for both the

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Page 25 of 25 projects. Of course, there will be guidance from the previous DPR but not completely.

Prashant Kshirsagar: In the question and answer session, you mentioned the capital expenditure to be done for Subansiri middle and upper also. So, what kind of capex is this if you can help us?

R K Vishnoi: This is just the cost incurred and takeover of the two projects because the earlier developers have spent a lot of amount on development of these projects. So, there was a scheme of Government of India that whatever amount is visible on the site or which is meaningful at the moment can be reimbursed to them and the project can be taken over. So, it is that capex which we are proposing now.

Moderator: Thank you Sir. Ladies and gentlemen due to time constraints, that would be the last question for today. I would now like to hand the conference over to Mr. Rupesh Sankhe for closing remarks. Over to you!

Rupesh Sankhe: We thank Mr. R K Vishnoi Sir for giving us an opportunity to host this call and we also thank all the investors and analysts for joining this call.

Moderator: Thank you very much Sir.

R.K. Vishnoi: Thank you

everybody who participated in this conversation.

Moderator: Thank you Sir! Ladies and gentlemen on behalf of Elara Securities Private Limited that concludes this conference. We thank you for joining us. You may now disconnect your lines.

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0129-2278018

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Sub: Transcript of Conference Call for discussion on financial results for quarter ended on September 30, 2023

Sir/ ■■■■■ ,

It is also confirmed that no Unpublished Price Sensitive Information was shared in the above referred Conference Call.

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"NHPC Limited
Q2 FY'24 Earnings Conference Call "
November 08, 2023

MANAGEMENT : MR. R. P. GOYAL – DIRECTOR (FINANCE) – NHPC
LIMITED
MR. R.K. CHAUDHARY – DIRECTOR (TECHNICAL) –
NHPC LIMITED

MODERATOR : MR. RUPESH SANKHE – ELARA SECURITIES PRIVATE
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the NHPC Limited Q2 FY'24 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rupesh Sankhe from Elara Securities Private Limited. Thank you and over to you, sir.

Rupesh Sankhe: Good afternoon everyone. On behalf of Elara Securities, we welcome you all for the Q2 FY'24 Conference Call of NHPC. So, I take this opportunity to welcome the management of NHPC represented by Mr. R.P. Goyal, he is the Director (Finance) , Mr. R.K. Chaudhary. he is the Director (Technical). We will begin the call with a brief overview by the management followed by Q&A session.

I will now hand over the call to management for opening remarks. Over to you, sir.

RP Goyal: Good afternoon, friends. The NHPC Board has adopted a Half Yearly financial results for the period ended 30th September '23 in its meeting held on 6th November '23 and the same has already been communicated to exchanges. By now, I hope you all would have got a good chance to go through the quarterly and Half Yearly set of numbers. The detailed number analysis of financial results of the company is as follows :-

■ During the Half Year FY'24 , our power stations have achieved generation of 16,797 million units as against 18,303 million units generated in the corresponding period of the previous year, which is lower by about 8% i.e. 1,506 million units. This is mainly due to lower water availability and intense rain and flood in some parts of Himachal Pradesh in August '23, which has impacted the generation in the region, especially the outage of all units of Parbati -III Power Station.

During the 2nd quarter FY'24 , our power stations have achieved generation of 9,010 million units as against 10,138 million units generated in the

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corresponding period of the previous year, which is lower by about 11% or 1,128 million units due to reasons that I have just shared with you.

Parbati -III Power Station is now fully operational. However, you may be aware that on the night intervening 3rd and 4th October '23, our power stations / projects in the Teesta Basin were unfortunately hit by unprecedented flash floods in North Sikkim. As such, our 510 megawatt Teesta -V Power Station and 500 megawatt Teesta -VI HE project, which is under construction, have suffered damages. This has impacted TLDP -III and TLDP -IV Power Stations also leading to forced outage. We have made every effort s possible to restore these projects. TLDP -IV has already been made operational and TLDP -III is likely to be restored very shortly. Restoration of Teesta -V Power Station is being planned in the shortest possible time, which may be completed in around one year period. However, the assets and business interruption loss of power stations are fully insured under mega -insurance policy, which has been taken from New India Assurance Company. As such, financial implications of this calamity on NHPC would not be much.

■ PAF for Half Year FY'24 stands at 91.93%, corresponding previous period of 99.23%, which is about 7% lower. This is mainly due to lower water availability and outage of some of power s tations like Parbati -III, Kishan ganga and Chamera -II.

Our P AF for 2nd Quarter FY'24 stands at 89.78% against the corresponding previous period PAF of 99.87%, which is about 10% lower on account of same reasons.

■ For Half Year FY'24 , Company has earned Revenue

e from Operations of Rs.

5,056 Crore as against Rs. 5,327 Crore in the corresponding previous period, which is about 5% lower or by Rs. 271 Crore . The decrease in revenue is mainly due to lower generation.

During Q2 FY'24 , Company has earned Revenue from Operations of Rs. 2,485 Crore as against Rs. 2,836 Crore in the corresponding previous period, which is about 12% lower by Rs. 351 Crore . The decrease in revenue is again mainly due to lower generation.

■ Other Income for Half Year FY'24 is of the order of Rs. 408 Crore in comparison to Rs. 332 Crore during the corresponding previous period, which NHPC Limited

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is about 23% higher by Rs. 76 Crore . This is mainly due to increase in Dividend Income by Rs. 37 Crore and increase in realization of Business Interruption Loss against insurance claim of Sewa -II Power Station by Rs. 34 Crore .

Other Income for Q2 FY'24 is of the order of Rs. 129 Crore in comparison to Rs. 115 Crore during the corresponding previous period, which is about 12% higher by Rs. 14 Crore . This is also mainly due to increase in dividend income by Rs. 9 Crore .

■ During Half Year FY'24 , the Generation Expenses have gone up from Rs. 637 Crore to Rs. 915 Crore means by Rs. 278 Crore , which is mainly due to applicability of Water Cess in Uttarakhand, Sikkim and in Himachal Pradesh. However, this has no impact on profitability of the company as this is a pass - through item from our end.

During Q2 FY'24 , the Generation Expenses have gone up from Rs. 367 Crore to Rs. 397 Crore means by Rs. 30 Crore , which is again mainly due to applicability of Water Cess in Uttarakhand, Sikkim and in Himachal Pradesh.

■ During Half Year FY'24 , the Employee Cost has gone up from Rs. 598 Crore to Rs. 619 Crore means by Rs. 21 Crore . The increase is mainly due to increase on account of increment, promotion, etc. by Rs. 30 Crore , which is partly offset by decrease in expenditure on account of superannuation of employees.

During Q2 FY'24 , the Employee Cost has gone up from Rs. 291 Crore to Rs. 321 Crore means by Rs. 30 Crore , which is mainly on account of increment, promotion, etc.

■ During Half Year FY'24 , there has been decrease in the Finance Cost from Rs. 244 Crore to Rs. 229 Crore means by Rs. 15 Crore , which is mainly due to change in rate of interest.

During Q2 FY'24 , there has been increase in the finance cost from Rs. 107

Crore to Rs. 115 Crore means by Rs. 8 Crore due to higher interest on short-term loans.

■ During Half Year FY'24, the Depreciation and Amortization Expenses have come down from Rs. 571 Crore to Rs. 553 Crore means by Rs. 18 Crore, which is mainly due to completion of 12 years of life of Sewa -II Power Station in FY 2022-23.

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During Q2 FY'24, the Depreciation and Amortization Expenses have come down from Rs. 284 Crore to Rs. 277 Crore means by Rs. 7 Crore, which is again mainly due to completion of 12 years of life of Sewa -II Power Station in FY 2022-23.

■ During Half Year FY'24, Other Expenses have come down from Rs. 858 Crore to Rs. 725 Crore means by Rs. 133 Crore, which is mainly due to impairment of investment of Rs. 106 Crore in respect of Loktak Downstream Hydroelectric Power Corporation, a subsidiary company during corresponding previous period. Further, CSR Expenses have also decreased by Rs. 39 Crore.

During Q2 FY'24, Other Expenses have gone up from Rs. 352 Crore to Rs. 355 Crore showing marginal increase.

■ During Half Year FY'24, MAT Credit of Rs. 529 Crore has been recognized and MAT Credit of Rs. 175 Crore has been utilized during the period. This has resulted in a positive impact of Rs. 354 Crore on the PAT of the Company. During Q2 FY'24, MAT Credit of Rs. 519 Crore has been recognized and MAT Credit of Rs. 77 Crore has been utilized during the period.

This has

resulted in a positive impact of Rs. 442 Crore on the PAT of the Company.

■ During Half Year FY'24, we have earned PAT of Rs. 2,500 Crore as against Rs. 2,483 Crore of corresponding previous period, which is up by Rs. 17 Crore or 1% approx. And the reasons for decrease and increase in the line items, we have just discussed.

During Q2 FY'24, we have earned PAT of Rs. 1,447 Crore as against Rs. 1,433 Crore of corresponding previous period, which is up by Rs. 14 Crore or 1% approx. and the reasons for decrease and increase in the line items, we have just discussed.

■ During Half Year FY'24, the Incentive position is as under:-

We have earned Secondary Energy to the tune of Rs. 6 Crore as against zero in the corresponding previous period. PAF based Incentive is zero against Rs. 353 Crore in the corresponding Half Year. Deviation Charges are Rs. 21 Crore

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as against Rs. 119 Crore in the corresponding previous period. So, total of three incentives during current Half Year is Rs. 27 Crore as against Rs. 472 Crore in the corresponding previous Half Year.

During Q2 FY'24, the incentive position is as under:-

We have earned Secondary Energy of Rs. 6 Crore as against zero in the corresponding previous period. PAF based Incentive in the current quarter is zero against Rs. 181 Crore in the corresponding previous period and Deviation Charges are Rs. 10 Crore against Rs. 47 Crore in the corresponding previous period. So, total of three incentives is Rs. 16 Crore as against Rs. 228 Crore in the corresponding previous period.

The PAF based Incentive for the quarter and Half Year is nil due to change in methodology for recognizing incentive income. The PAF Incentive shall be recognized once capacity charges of a particular power station is fully recovered. So, it will be back-ended.

■ CAPEX of Rs. 4,095 Crore has been incurred during Half Year '24 against target CAPEX of Rs. 10,857 Crore for FY'24 on consolidated basis.

■ Other major highlights of the company are as under:-

On realisation front, NHPC has received Rs. 5,065 Crore from the beneficiaries against sale of power during Half Year FY'24 as compared to Rs. 3,800 Crore

in the corresponding period of previous year. Trade receivables as on 30th September'23 stands at Rs. 5,970 Crore as against Rs. 5,850 Crore as on 30th September'22. This includes Rs. 2,685 Crore as Unbilled Debtors as on 30th September'23 as against Rs. 2,751 Crore as on 30th September '22. The net receivables out of total Reported Trade Receivables as on 30th September'23 are as under :-
 Total reported Trade Receivables are Rs. 5,970 Crore . Out of that, Unbilled Debtors is Rs. 2,685 Crore . So, balance bill ed receivables are Rs. 3,285 Crore . The break -up of bills receivable is as under :- Debtors for bill discounting is Rs. 965 Crore for which we have already received the cash but due to accounting compulsion, it will be reversed in the coming period on repayment of the instalment by the disco ms. So, it is coming as outstanding as on date. Debtors' NHPC Limited
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dues converted to instalments under the Late Payment Surcharge Rules , it is Rs. 1,132 Crore . This amount is being realised in instalments as per the Ministry of Power orders . So, net amount due is only Rs. 1,188 Crore and out of that, dues more than Rs. 367 Crore .
 Unbilled debtors mainly include Impact of AFC billed as against AFC claimed as per Regulation 2019 -24 including Security Expenses of Rs. 1314 Crore, Unbilled sale for the month of September of Rs. 744 Crore and Water Usage charges of Rs. 469 Crore etc. So, all these three items will be billed in the coming period.
 Net trade receivables as on 5th November '23 stands at Rs. 1,124 Crore , which includes more than 45 days dues of Rs. 142

Crore only.

■ On physical front, as we have been sharing that the active construction work at Subansiri Lower Project site is going on in full swing, I am very hopeful that we can commission two units of the project in fourth quarter of current financial year and remain ing six units are expected to be commissioned one -by-one by May '25. The estimated cost of the project is Rs. 21,248 Crore out of which, we have already incurred Rs. 19,459 Crore till September'23 . The estimated levelised tariff based on the anticipated co st is Rs. 5.6 per unit.

■ In respect of Parbati -II HE project, we have achieved a major milestone towards full commissioning by the day lighting of 31.5 km long Head Race Tunnel of the project. We are trying our best to complete the project by September'24. The anticipated cost of the project is Rs. 11,063 Crore out of which we have already incurred Rs. 10,686 Crore till September'23 . The estimated levelised tariff of this project will be around Rs. 6.09 per unit.

■ In respect of Dibang Multipurpose Project, lot 1, lot 2, lot 4 and lot 6 packages have already been awarded to different contractors related to package for design engineering and infrastructure work, construction of HRT and works have already been awarded. The balance packages which are yet to be awarded are relating to civil work of dam and three packages of hydro -mechanical works. These packages will also be awarded in current financial year itself . The estimated cost of the project is Rs. 31,876 Crore , which includes grant of Rs. 6,735 Crore from Government of India for flood moderation and enabling infrastructure works, out of which we have already incurred Rs. 2,268 Crore
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till September'23 . Further, estimated levelised tariff of the project is Rs. 4.46 per unit and the scheduled completi on of the project is February' 32.

■ In respect of Lanc o Teesta Hydro Power Limited consisting Teesta 6 project of 500 megawatt, work was progressing well at site. However, due to flash flood in the region on 4th October'23, the work was affected to some extent. However, all assets and works of the project are ensured under Construction All Risk Policy. The estimated cost of this project is Rs. 5,748 Crore , out of

which we have already incurred expenditure of Rs. 2,974 Crore till September'23 . Estimated levelised tariff of the project is Rs. 4.07 per unit and expected commissioning schedule of the project is August '26. Further, we are in the process of merger of Lanc o Teesta Hydro Power Limited with NHPC and second motion application has already been filed with M CA.

■ Jal Power Corporation Limited consisting Rangit IV project of 120 megawatt is also progressing well. The estimated cost of the project is Rs. 938 Crore out of which we have already incurred expenditure of Rs. 792 Crore till September'23 . Estimated levelised tariff of the project is Rs. 4.37 per unit. Further, we are in the process of merger of this company also with NHPC. The project is expected to be co mpleted by August'24.

■ In respect of Ratle HE project , UT of J&K of 850 megawatt capacity, that work is going very well at the project site. The estimated cost of the project is Rs. 5,282 Crore and we have incurred expenditure of Rs. 431 Crore till Septemb er'23 . Estimated levelised tariff of the project is Rs. 3.92 per unit and the project is expected to be completed by May'26.

■ Presently, NHPC through its subsidiary company i.e. CVPP PL is executing three projects in Chenab basin of UT of J& K. Construction work at Pakal Dul 1,000 megawatt project is progressing very well. The estimated cost of the project is Rs. 8,112 Crore out of which we have incurred expenditure of Rs. 3,410 Crore till September'23 . Estimated levelised tariff of the project is Rs. 4.28 per unit and the project is expected to be completed by Septembe r'26.

In respect of Kiru HE Project 624 megawatt, we have incurred expenditure of Rs. 1,314 Crore till September 23 out of estimated cost of Rs. 4,288 Crore . Estimated levelized tariff of the project is Rs. 4.64 per unit and estimated completion of the project is March'26.

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In respect of Kwar hydroelectric project of 540 megawatt capacity, the work is progressing very well at site. The estimated cost of the p roject is Rs. 4,526 Crore out of which we have incurred expenditure of Rs. 497 Crore till September'23 . Estimated levelized tariff of the project is Rs. 4.44 per unit and the project is likely to be completed by November'26.

Apart from above under construc tion projects, NHPC is also working on some projects such as Teesta -IV 510 megawatt, Sawalkot 1,856 megawatt, U ri-I, Stage -II 240 megawatt, Dulhasti. Stage -II 260 megawatt, Kirthai II 930 megawatt and Dugar project 500 megawatt which are at different stag es of clearances.

■ In respect of our hydroelectric projects in Nepal, DPR preparation is under progress for 750 megawatt West Seti project and the Inception Report submitted by NHPC has been accepted by Investment Board of Nepal in respect of 450 megawatt Seti River -6 hydroelectric project. Further, an MoU has been signed with Vidhyut Utpadan Company Limited, Nepal on 1st June'23 for development of Phukot Karnali Hydro Electric Project 480 megawatt in Nepal.

■ PPAs for all under construction projects of NHPC including its subsidiaries have been signed or consent has been received from the disco ms for the same.

■ In respect of 1000 megawatt capacity solar power project , the work is progressing very well in respect of 300 megawatt project in Bikaner, Rajasthan and land acquisition is in progress in respect of 600 megawatt project in Gujarat and 100 megawatt project in Andhra Pradesh.

■ NHPC is also exploring to develop some Pumped Storage Projects in the state of Andhra Pradesh, Odi sha, Jharkhand, Madhya Pradesh, Gujarat, and Maharashtra. Following progress has been achieved by the NHPC in PSP so far:-

In Madhya Pradesh, Government of Madhya Pradesh has already allotted the Indra Sagar Omkareshwar 525 megawatt PSP to our subsidiary company i.e. NHDC on 7th June'23 and PFR has been submitted by NHPC to Central Electricity Authority on 13th June'23. Further PFR of Tekwa -2 Pumped Storage Project of 800 megawatt has also been submitted to Government of MP and CEA.
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In Maharashtra, MoU has been signed with Department of Energy, Government of Maharashtra on 6th June'23 for the development of pump storage schemes and other renewable energy source projects in the state of Maharashtra. The MoU envisages development of four pump storage projects aggregating to 7,350 megawatt namely Kalu of 1,150 megawatt, Savitri 2,250 megawatt, Jalond 2,400 megawatt and Kengadi of 1,550 megawatt and other renewable energy source projects in the state. PFR of Savitri PSP has been submitted to Government of Maharashtra and CEA on 11th and 20th September '23 respectively and preparation of PFR of other three PSPs are under process.

In Odisha, MoU has been signed between NHPC and Government of Odisha through GRIDCO Limited on 23rd June'23 for development of pump storage projects and renewable energy in the state of Odisha. The MoU envisages setting up of self-identified pump storage projects of at least 2,000 megawatt and setting up of renewable energy projects which consists ground mounted as well as floating solar projects of 1,000 megawatt or above in the state.

In Andhra Pradesh, MoU has already been signed between Government of Andhra Pradesh and NHPC on 4th March'23 for investment for development of 2,000 megawatt PSPs in Andhra Pradesh in joint venture mode. In line with above MoU, NHPC signed an MoU on 27th August'23 with Andhra Pradesh

Power Generation Corporation Ltd . for implementation of pump hydro storage

projects and renewable energy projects under joint venture mode of Andhra Pradesh. The MoU envisages implementation of two identified pump storage projects namely Kamlapadu 950 megawatt and Yaganti 1,000 megawatt PSP in the first phase.

This is all from my side. Now the forum is open for question and answer. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question and answer session. The first question is in the line of Marsal Lewis , an individual investor. Please go ahead.

Marsal Lewis: Yes, sir. Can you please advise that how much is our renewable portfolio?

Currently, how much project we are executing? How much is already live?

And what's our vision for the next two years, by the end of fiscal year'24 -25?

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RP Goyal: As of now, we have commissioned only two renewable energy projects, one 50 megawatt solar project and another 50 megawatt wind power project. We are in the process of construction of 1,000 megawatt solar project as of now at our own balance sheet and 65 megawatt is being developed in one of our subsidiary companies, i.e. Bundelkhand Saur Urja Limited . Another 88 megawatt is being developed in another subsidiary, i.e. NHDC. And we have just won a bid for 200 megawatt in Gujarat. So this is our portfolio as of now, which is under construction in the renewable sphere.

And we are not much aggressive on renewable energy front. We are basically a hydro company. But keeping at least 12% ROE, we will be taking solar or wind projects. Otherwise, we will not take up solar or wind project.

Moderator: Thank you. The next question is on the line of Krishna Duttar, an individual investor. Please go ahead.

Krishna Duttar: My question is regarding the dip in revenue in this quarter. Can you please explain?

RP Goyal: Dip in revenue?

Krishna Duttar: Yes.

RP Goyal: Our generation during this quarter was 9,010 million units against 10,138 million units in corresponding previous quarter. So it was down by 1,128 million units. That is why our revenue was lower in the current quarter – second quarter of current year.

Moderator: The next question is from the line of Marsal Lewis, an individual investor. Please go ahead.

Marsal Lewis: Yes, sir. Can you please advise regarding our portfolio of hydro, how much capacity is already live, how much capacity we are in the execution mode, and how much is, for example, in the pipeline for which the project is not yet awarded? And then can you also give, for example, what is the cost of project or cost of funds? Sorry, like total project cost, how much? And then whether everything is tied up or not?

RP Goyal: Mr. Lewis, we have already commissioned 6,971 megawatt in hydro and we are likely to commission our Parbati -II of 800 megawatt and Rangit -IV 120

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megawatt in FY'24 -25 and 2,000 megawatt will be added in FY25 -26 by commissioning our Subansiri Lower Project 2,000 megawatt with 624 Kiru Project also in FY '25-26. In FY '26-27, we will be commissioning Pakal Dul 1,000 megawatt, Kwar 540 megawatt, Ratle 850 megawatt, and Teesta-VI 500 megawatt. And thereafter in hydro, we will commission our Dibang Project of 2,880 megawatt in 2031 -32. So by end of 31 -32, our total installed capacity in hydro will be 16,285 megawatt.

Marcel Lewis: And sir, how much is the existing capacity?

RP Goyal: Existing is 6,971 megawatt of hydro.

Marcel Lewis: And how much we are going to install during the current year, FY23 -24, and FY'24 -25? Remaining like you can say, remaining two quarters and FY'24 -25?

RP Goyal: By March end, we will be commissioning two units of Subansiri but revenue will come in next year.

Marcel Lewis: No problem. I just want to know about the

megawatt. So how much more megawatt you will commission during this year?

RP Goyal: By end of March 24, we will be commissioning 500 megawatt in respect of Subansiri Lower Project and rest units will come in FY '25-26.

Marcel Lewis: So 24-25, how much you will commission 24 -25?

RP Goyal: By end of 24 -25, we will be commissioning around 2,500 megawatt.

Marcel Lewis: So means, no, like other than this for 25 -26, you said 2000 one and 644 one. So that is separate?

RP Goyal: This comes in 800 megawatt Parbati -II, Rangit -IV 120 megawatt, and 6 units of Subansiri . 6 units means 1,500 megawatt. So 1,500, 800 and 120, it will be around 2,420 megawatt .

Marcel Lewis: Okay, sir. And then, sir, what about this, the cost of funds, like the entire funding is tied up or like do you see any, for example, okay, let me take one more question. So for example, the project under execution, which will be commissioned during 2023 -2024, 2024 -2025, 2025 -2026, whether the entire required project cost has been funded, has been sanctioned?

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RP Goyal: As per CERC regulation, our funding pattern is 70 -30. 70 % is Debt and 30% from our internal accruals, equity part. So, we raise loans on our balance sheet strength and there is no issue of financing. We have complete tied up for loan part, and we have sufficient internal accruals for in funding equity part. So, there is no issue of funding.

Marcel Lewis: So, sir, like regarding, because see now we need to go very, like, you know, fine-tune our cost. So since you have got many projects in the hand, so are you able to secure some better interest rate like for the new loan you are getting?

RP Goyal: We are raising loans at the cheapest rate. Recently we have raised Rs. 2,000 Crore loan at the rate of 7.54% per year, and that is variable. And we are

keeping clause regarding prepayment at any time without any repayment charges. So, we are able to raise the loan at the cheapest rate in the market.

Marcel Lewis: What rate did you say, sir? Like, a little bit of a disturbance, I couldn't hear. What was the interest rate?

RP Goyal: Interest rate is 7.54%.

Marcel Lewis: Oh, very good, very good, very good, beautiful, beautiful. And then this, other than this, any cost escalation? Any cost escalation? Just like, let me finish, let me finish, one second.

RP Goyal: Cost escalation is generally pass through in the tariff.

Marcel Lewis: Okay, very good, sir, very good. So like one suggestion, sir, your PPT is not available in the stock exchange. Since you are such a big company having thousands of megawatts of like power projects, I think PPT, if you can give, we can get all information with PPT, sir.

Management: Yes, so basically PPT is available at our website, nhpc.co.in. Even for 10 years, you can access those PPT.

Marcel Lewis: Sir, I tried, every time we are trying, Yes, it's not very user-friendly also. So what is the harm if you can send one PPT copy?

Management: Yes, Yes, Yes, we have been...

Marcel Lewis: Everybody send them, sir.

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Management: No issue. We have been sharing with BSE, NSE also and this time also we'll share, don't worry.

Marcel Lewis: No, no, I'm saying please share this before the commencement of

Management: We have noted your suggestion and it will be done.

Management: Immediately after conference call, we'll share our PPT.

Marcel Lewis: Not after conference call, you should -- you must do before it, so that we can read it and then we can ask only basis of that.

Management: Okay, noted.

Moderator: Thank you. The next question is from the line of Dhruv Machal from HDFC, AMC. Please go ahead.

Dhruv Machal: Yes, sir. Thank you so much. Sir, the first question is, the levelized tariff for two projects have increased marginally although, but have increased despite this

the project cost remaining the same versus what you were communicating last two quarters. So what's causing this increase?

Management: So basically, you see, Parbati -II, it was earlier 6.14. It has been decreased now to coming around Rs. 6.09. So there is slight reduction in the capital cost of Parbati -II.

Dhruv Machal: Okay. 6.09. I thought it is 6.9. It is 6.09.

Management: 6.09. And Subansiri, we have been sharing at the same level. So, there is not much change in Subansiri, per se.

Dhruv Machal: And sir, the second question is the unfortunate thing with Teesta VI, I think now. So you have already spent Rs. 2,900 Crore and I think a large part of that will, you'll have to reconstruct is what our basic understanding is. So do you get the whole amount from insurance company or how does this work?

RP Goyal: Mr. Dhruv, there is no loss to our already constructed part of the project. Only loss is in shape of filling up debris in our reservoir, our tunnel and washing out of our one of the stores. So there is no much loss. We estimate the loss at around Rs. 250 Crore and it is fully insured through our Contractors All Risk Policy.

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Dhruv Machal: Okay. So the loss of Rs. 250 is insured and you will recover that amount?

RP Goyal: Yes.

Dhruv Machal: And sir, the last question is on the MAT credit. So you have a negative tax amount this quarter. So, does it lead to a benefit on PAT or it becomes a pass-through in tariffs?

RP Goyal: No. It will be in the benefit through PAT. MAT pertains to NHPC only. It is not a pass-through to beneficiaries.

Dhruv Machal: Okay. But I thought whatever tax impact you have to ultimately get effective

tax, it does not become a pass-through in tariffs?

RP Goyal: Generally, MAT credit or any tax item is pass-through in the tariff. But the tariff period for 9-14, there was a clause that whatever tax you have taken, that is final. So in 9-14 period, we had paid higher tax for MAT. That's why we are able to recognize MAT credit and taking benefit of that.

Dhruv Machal: Okay. Probably, I will understand this better, sir, from you later. Thank you so much and all the best. Thanks.

Moderator: Thank you. The next question is from the line of Abhishek Khanna from Kotak Securities. Please go ahead.

Abhishek Khanna: My all questions answered. It was on the MAT credit only. It's been answered. Thank you.

Moderator: Thank you, sir. The next question is from the line of Abhineet Anand from Kriti Investments. Please go ahead.

Abhineet Anand: On the pump storage hydro, any of the projects where elementary study has been done and what tariff does it imply?

RP Goyal: We have prepared our PFR for Indira Sagar and Omkareshwar Project and the tentative tariff for generation, it is coming around Rs. 5 per unit and the pumping cost will be additional.

Abhineet Anand: What that number could be, sir?

RP Goyal: You can take Rs. 2.75 maximum.

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Abhineet Anand: So, effectively, the overall tariff will be anywhere like Rs. 8. And this is for what period, sir? I mean for four hours, is there something like that count?

RP Goyal: Six hours.

Abhineet Anand: Six hours of peaking?

RP Goyal: Yes.

Abhineet Anand: Okay. Thanks. That was my question.

Moderator: Thank you. The next question is from the line of Bhavesh Patel from Patel Investments. Please go ahead.

Bhavish Patel: Thank you for the opportunity and good performance. My question is about confirmation on our cost of equity. We expect in terms of the return on the equity around 12% or so. And the second part is overall general La Nina condition, do we expect similar situation even next year? And will that impact our generation? In case you can answer, that will be good. Thank you.

Management: Yes, certainly. So, you see, if you look at the cost of

equity of the company, so

that is basically your perspective, how much what you call the market rate of return. If you take 10 years, 15 years, accordingly it will vary. Accordingly, if you consider five years beta or one year beta, so accordingly it will vary. But broadly, I can share with you the cost of equity, you can consider about 12%.

Bhavish Patel: Okay. Thank you. And about La Nina condition, because people are expecting that even next year, the water or the rain might be lesser. So, will that impact our generation like it has done this year?

Management: Yes. So, if you look at the design energy, it is designed in such a way that if in any particular financial year, we are not able to achieve the design energy, there is a provision in CERC regulation to claim shortfall of energy also. So, if generation is not more than design energy, certainly there will be loss of incentive. So, broadly, whatever return on equity we are earning as of now, which is broadly 16% to 16.5% and if you add on incentive, that goes up to 19% to 20% also. So, in case of water availability is an issue, that much return cannot be achieved, but 16.5% kind of insulated return you can.

Bhavish Patel: All right. That helps. Thank you very much.

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Management: Sure.

Moderator: Thank you. The next question is in the line of Rupesh Sankhe. Please go ahead.

Rupesh Sankhe: Yes. Sir, couple of questions from my side. Firstly, in the last two quarters, our incentive income is almost nil. So, how do we see the incentive incomes in the coming quarters? Because we do see that availability factor will be lower than

the last 2Q FY23. That was the first question.

And secondly, sir, now we have a huge pipeline on the renewable energy side, as well as the hydro projects, pump hydro storage. So, how do we see the equity contribution? Are we comfortable position to have for equity contribution? Or we need to have some equity dilution going right?

Management: Yes. So, first question regarding incentive, Rupesh, we have been sharing that the accounting or method of recognition of incentive has been changed. Earlier, we used to recognize the PAF incentive also on monthly basis. So, we found that in later half of the year, when PAF is basically lower than even the trend of PAF in first six months, So negative number even goes in negative. So, that does not show the true picture of the incentive number. That is the reason we changed our accounting. Now, we will start recognizing incentive income. Definitely, incentive income would be there depending upon our actual PAF. But that will come in second half year of the financial year. Because in first half year, our focus is on recovery of capacity charges. In the same line, if you remember earlier, we used to recognize even secondary energy also simultaneously but we changed it. Once design energy achieved for a power station, then we started recovering secondary energy. So, in the similar line, now accounting for PAF incentives also has been changed. Are you clear with that?

Rupesh Sankhe: Yes, sir. On the capex side? Yes.

Management: Now, capex side, you see, as of now, our average capex is in the range of Rs. 8,000 to Rs. 10,000 Crore, right? It is on consolidated basis. And in most of our projects under subsidiaries, like we have already contributed 100% equity in Teesta -VI, 100% equity in Rangit -IVs, 100% equity in Pakal Dul, Kiru. So, going forward, our equity contribution in our subsidiary companies are not much. Even at a standalone level, if you look at the equity requirement, it will
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vary between Rs. 2,500 to Rs. 3,000 Crore max. That much equity is freely available with NHPC even after having discharge obligation of repayment of loan and dividend distribution to the shareholder. So, NHPC is quite
c

omfortable so far equity component is concerned.

Rupesh Sankhe: Okay, sir. On the pump hydro storage that JV we have formed with Andhra Pradesh, how it will be the economics there in terms of return on equity?

RP Goyal: Return on equity will be as per hydro projects only, and it will be 16.5%.

Rupesh Sankhe: Okay, thank you, sir.

Moderator: Thank you. We will move to the next question that is on the line of Mohit Surana from Monarch Network Capital. Please go ahead.

Mohit Surana: Hello, sir. My question is more general and related to realizations. In years when we have generation more than the design capacity, the extra energy that we produce, does that go at the same realization at the same average selling price set by the regulator? I mean, the tariff or the tariff would be very low for the extra generation.

RP Goyal: No, no, secondary energy, which is beyond the design energy, it goes at the rate of maximum Rs. 1.20 per unit or the energy charges, whichever is lower. So, it is not the same rate.

Mohit Surana: You said Rs. 1.20 per unit.

RP Goyal: Maximum. If the energy charges are low, then it will be at the rate of energy charges only.

Mohit Surana: Understood. Thank you.

Moderator: Thank you. Ladies and gentlemen, that is the last question. I now hand the conference over to Mr. Rupesh Sankhe for his closing comments.

Rupesh Sankhe: Yes. So, we thank NHPC management for giving us an opportunity to host this call. We also thank all the investors and the analysts for joining this call. And happy Diwali to everyone.

RP Goyal: Thank you. Thank you, Mr. Rupesh, and happy Diwali to you and all the investor community. Thank you.

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Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Elara Securities, that conclude this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Management: Thank you so much.

"NHPC Limited
Q4 FY'24 Earnings Conference Call "
May 20 , 2024

MANAGEMENT : MR. R. P. GOYAL – CHAIRMAN AND MANAGING
DIRECTOR AND DIRECTOR (FINANCE) – NHPC
LIMITED
MR. UTTAM LAL -- DIRECTOR (PERSONNEL) – NHPC
LIMITED
MR. R.K. CHAUDHARY – DIRECTOR (TECHNICAL) AND
DIRECTOR (PROJECTS) – NHPC LIMITED

MODERATOR : MR. RUPESH SANKHE – ELARA SECURITIES PRIVATE
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to NHPC Limited Q4 FY'24 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rupesh Sankhe from Elara Securities. Thank you, and over to you, sir.

Rupesh Sankhe: Good afternoon, everyone. On behalf of Elara Securities, we welcome you all for the Q4 FY '24 conference call of NHPC. I take this opportunity to welcome the management of NHPC represented by : Mr.

R.P. Goyal sir, who is Chairman and Managing Director and also Director (Finance) and we have Mr. Uttam Lal, Director (Personnel); also Mr. R.K. Chaudhary, Director (Technical) and Director (projects) .

So, we will begin the call with a brief overview by the management followed by Q&A session.

I will now hand over the call to Mr. R.P. Goyal sir for his opening remarks. Over to you, sir.

RP Goyal: Thank you, Rupesh. Good afternoon, friends. The NHPC Board has announced annual financial results for the period ended 31st March '24, in its meeting held on 17th May'24 and the same has already been communicated to stock exchanges. By now, I hope you all would have got chance to go through the quarterly and yearly set of numbers.

■ Detailed analysis of financial results of the company is as follows:

■ During FY'24, our power stations have achieved generation of 21,773 million units as against 24,619 million units generated in corresponding period of previous financial year which is lower by about 12% i.e.

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2,846 million units. This is mainly due to heavy flash flood in Teesta basin in October '23, which has resulted into complete shutdown of

Teesta -V Power Station . The restoration works are underway and are expected to be completed by March '25.

Further, overall lower water availability and intense rain and flood in some parts of Himachal Pradesh in August '23 has also impacted the generation in the region, especially the outage of all units of Parbati -III Power Station , which were got fully operational in the month of September '23.

During fourth quarter '24, our power stations have achieved generation of 2,304 million units as against 2,891 million units generated in corresponding period of the previous year which is lower by about 20% i.e. 587 million units lower due to the reasons which I just explained.

■ Our PAF for FY '24 stands at 77.60% against the corresponding previous period PAF of 88.75%, which is lower by around 11%. This is mainly due to outages of some of our power stations like Teesta -V, Parbati -III, Kishanganga, Chamara -III and lower water availability. Our PAF for fourth quarter for FY '24 stands at 54.65% against the corresponding previous period year PAF of 67.96% which is about 13% lower on account of same reasons .

■ For FY '24, company has earned Revenue from Operations of INR8,405 Crore as against INR9,316 Crore in the corresponding previous period, which is about 10% lower or by INR911 Crore . The decrease in revenue is mainly due to lower generation.

During fourth quarter FY '24, company has earned Revenue from Operations of INR1,652 Crore as against INR1,717 Crore in the corresponding previous period, which is about 4% lower or by INR65 Crore . The decrease in revenue is again mainly due to lower generation.

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■ Other income for FY '24 is of the order of INR1,620 Crore in comparison to INR835 Crore during the corresponding previous period which

is about 94% higher or by INR785 Crore . This is mainly due to increase in dividend income by INR121 Crore from one of our subsidiaries i.e NHDC and increase in realization of business interruption loss against insurance claim by INR108 Crore and increase in income from exchange rate variation by INR74 Crore . Further, there is income from insurance claim of INR382 crore on account of material damage mainly in respect of Teesta -V power station. However, this has no impact on profit as the same has also been booked in Other Expenses as well.

Other income for fourth quarter FY '24 is of the order INR591 Crore in comparison to INR254 Crore during the corresponding previous period, which is about 133% higher or INR337 Crore . This is mainly due to increase in dividend income by INR97 Crore , realization of business interruption loss against insurance claim against Teesta -V Power Station of INR112 Crore , increase in income from exchange rate variation by INR41 Crore and other miscellaneous items.

■ During FY '24, the Generation Expenses have come down from INR936 crore to INR814 Crore , means by INR122 Crore due to lower generation and reversal of water cess booked earlier in respect of Himachal Pradesh and Sikkim.

During fourth quarter FY '24, the Generation Expenses have come down from INR152 Crore to negative INR247 Crore means by INR399 Crore mainly due to reversal of water cess during the current quarter in respect of Himachal Pradesh and Sikkim to the tune INR412 Crore in view of outcome of the Honorable High Court of Himachal Pradesh against imposition of water cess.

Basically, we have won the case in the High Court of Himachal against the Government of Himachal Pradesh and we are expecting to win the case in case of Sikkim also.

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■ During FY '24, the Employee Cost has come down from INR1,301 Crore to INR1,297 Crore means by INR4 Crore , which is almost flat. During fourth quarter FY '24, the Employee Cost has come down from INR417 Crore to INR369 Crore , means by INR48 Crore , which is mainly on account of retirement of employees.

■ During FY '24, there has been decrease in the Finance Cost from INR476 Crore to INR425 Crore , means by INR51 Crore , which is mainly due to change in rate of interest and repayment of loan s. During fourth quarter FY'24, there has been decrease in the Finance Cost from INR112 Crore to INR95 Crore , means by INR17 Crore which is again mainly due to change in rate of interest and repayment of loans.

■ During FY '24, the Depreciation and Amortization Expenses have come down from INR1,145 Crore to 1,111 Crore means by INR34 Crore , which is mainly due to completion of 12 years of life in respect of Sewa -II power station in FY 2022 -23. So , the expense in de preciation charges in respect of Sewa -II has come down drastically.

During fourth quarter, the Depreciation and Amortization Expenses have come down from INR286 Crore to INR280 Crore means by INR6 Crore , which is again mainly due to completion of 12 years of life of Sewa -II Power Station in FY 20 22-23.

■ During FY '24, Other Expenses have gone up from INR1,708 Crore to INR2,316 crore means by INR608 Crore . This is mainly due to increase in Insurance Expenses by INR125 Crore and increase in Interest on Arbitration / Court Cases by INR183 Crore . Further, there is accounting of material damage of INR441 Crore mainly in respect of Teesta -V Power Station , which has been offset by insurance claim of INR382 Crore as shown under Other Income .

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During fourth quarter, Other Expenses have gone up from INR486 Crore to INR788 Crore means by INR302 Crore . This is mainly due to increase in Insurance Expenses by INR49 Crore , increase in Interest on Arbitration/ Court Cases by INR183 Crore , increase in Interest to Beneficiaries

by INR49 Crore etc.

■ During FY '24, MAT Credit of INR529 Crore has been recognized and MAT Credit of INR355 Crore has been utilized during the period. This has resulted in a positive impact on profitability by INR174 Crore . During f ourth quarter FY '24, MA T Credit of INR129 Crore has been utilized during the period. This has resulted in a negative impact of INR129 Crore on PAT for the quarter.

■ During FY '24, we have earned PAT of INR3,744 Crore as against INR3,834 Crore of corresponding previous period, which is down by INR90 Crore i.e. around 2% a nd the reaso ns for decrease / increase in the line items , we have just discussed.

During fourth quarter FY '24, we have earned PAT of INR698 Crore as against INR569 Crore of corresponding previous period, which is up by INR129 Crore or 23 % approx and the reasons , we have just discussed.

■ During FY '24, the incentive position is as under :-

■ We have earned Secondary Energy of INR102 Crore as against INR123 Crore in the corresponding previous year.

■ PAF Incentive for FY '24 is INR316 Crore as against INR405 Crore of corresponding previous year , so this is down by INR89 Crore .

■ Deviation Charges are INR41 Crore for FY'24 as against INR147 Crore we earned in FY'23. So , it is also low er by INR106 Crore . So, total incentive on these three accounts for FY '24 is INR459 Crore as against INR675 Crore we earned in the corresponding previous year. So , there

is a dip of INR216 Crore in respect of all of the incentives.
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■ During fourth quarter FY '24, the incentive position is as under: -
■ We earned the Secondary Energy to the tune of INR80 Crore as against INR110 Crore in the corresponding previous quarter. So , it is also lower by INR30 Crore .

■ PAF based incentive is INR252 Crore as against INR349 Crore in the corresponding previous quarter, so it is lower by INR97 Crore .
■ Deviation Charges are INR7 Crore against negative INR2 Crore in the corresponding previous quarter, so this is up by INR9 Crore . So total incentive for the current fourth quarter of FY'24 is INR339 Crore as against INR457 Crore in the corresponding previous quarter. So there is total dip of INR118 Crore , so far the quarter is concerned.
■ We incurred capex of INR8,652 Crore during FY '24, against target capex of INR10,857 Crore on consolidated basis.

■ The Board of Directors have recommended the payment of final dividend at the rate of 5%, i.e. INR0.50 per equity share in addition to interim dividend at the rate of 14%, resulting in tot al dividend at the rate of 19% i.e. INR1.90 per equity share on the face value of paid up equity share of INR10 each for the financial year 2023-24.

■ Other major highlights of the company are as follows:
■ On realization front, NHPC has received INR9,606 Crore from the beneficiaries against Sale of the Energy during FY '24 as compared to INR7,435 Crore in the corresponding period of previous year. Trade Receivables as on 31st March '24 stands at INR3,984 Crore as against INR5,887 Crore as on 31st March '23. This includes INR2,263 Crore as unbilled debtors as on 31st March '24 as against INR2,757 Crore as on 31st March '23.

■ The net receivables out of total reported Trade Receivables as on 31st March '24 are as under :- Reported trade receivables are INR3,984
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Crore . This includes unbilled debtors INR2,263 Crore . If you subtract the unbilled debtors, then ne t billed receivables are INR1,721 Crore . This includes INR191 Crore , for which, we have already received the money through bill discounting, but due to accounting compulsion , it is being disclosed as outstanding debtors. Then INR712 Crore is on account of debtors for which we will be receiving money in instalments as per late surcharge rules notifi ed by the Ministry of Po

wer and we are receiving this INR712 Crore in the coming period in instalments . So, net amount due as on 31st March '24 is only INR818 Crore and more than 45 days dues are only INR277 Crore as on 31st March '24. So, position of outstanding debtors is very comfortable.

■ Unbilled debtors, mainly include impact of Effective Tax Rate on Return on Equity of INR521 Crore , Unbilled Sales for the month of March to the tune of INR500 Crore , Energy Shortfall of INR425 Crore . Impact of AFC billed and recoverable as per new regulations 2019 -24, including Security Expenses of INR415 Crore , Normative IDC claimed for Kishanganga Power Station of INR144 Crore and Water Usage Charges of INR104 Crore .

■ Net Trade Receivables as on 16th May'24 stands at INR1,192 Crore , which includes more than 45 days dues of INR160 Crore only.

■ On physical front, as we have been sharing that the active construction work at Subansiri Lower Project Site is going on in full swing. Recently, we achieved a major breakthrough in the completion of the project, with the successful installation of Spillway Radial Gates number 7, 8 and 9, along with sealing arrangement on 25th April '24. We are very hopeful that we can commission 3 units of the project by March '25 and rest of the units one-by-one by May '26. The estimated cost of the project is INR21,248 Crore, out of which we have already incurred INR20,834 Crore till March '24. The estimated levelized tariff based on the anticipated cost is INR5.60 per unit.

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■ In respect of Parbati -II Project, as we have already shared that we have achieved the daylighting of 31.5-kilometer long Head Race Tunnel of the project. We are trying our best to complete the project by December '24. The anticipated cost of the project is INR12,160 Crore out of which we have already spent INR11,127 Crore till March '24. The estimated levelized tariff based on the anticipated cost is INR6.59 per unit.

■ In the respect of Dibang Multi-Purpose Project, 2,880 megawatt, contracts related to Design and Engineering, infrastructure work, construction of HRT and E&M works already have been awarded. We have achieved the crucial Dirki Nalla diversion, a significant stride towards ensuring all-weather road access to the project site. The estimated cost of the project is Rs. 31876 Crore which includes Grant of Rs. 6735 Crore for Flood Moderation and enabling infrastructure works out of which we have already incurred Rs. 2307 Crore till March '24. Further, estimated levelized tariff of the project is Rs. 4.46 per unit and the scheduled completion of the project is February '32.

■ In respect of Lanco Teesta Hydro Power Limited's Teesta -VI Project, as we have shared that work was progressing well at site. However, due to flash flood in the region on 4th October, '23, the work was affected to some extent. Now, the work is progressing well. However, all assets and works for this project are insured under Construction All Risk Policy. The estimated cost of the project is INR5,748 Crore out of which we have already incurred expenditure of INR3,444 Crore till March '24. Estimated levelized tariff of the project is INR4.07 per unit and expected commissioning schedule of the project is December '27. Further, we are in the process of merger of LTHPL with NHPC. Second motion application has been filed with MCA and the hearing of the same is on 30th May '24.

■ Jalpower Corporation Limited's Rangit -IV Project is also progressing well. The estimated cost of the project is INR1,871 Crore out of which
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we have already incurred expenditure of INR1,007 Crore till March '24. Further, we are in the process of merger of this company also with NHPC. The project is expected to be completed by May '25.

■ In respect of Ratle HE Project,

UT of J&K, 850 megawatt, the work is going well at the project site. The estimated cost of the project is INR5,282 Crore and we have incurred expenditure of INR672 Crore till March '24. Estimated levelized tariff for the project is INR3.92 per unit and the project is expected to be completed by December '26.

■ Presently, NHPC through its subsidiary CVPP L is executing three

projects in Chenab Basin of UT of J&K :-

■ Construction work at Pakal Dul HE Project of 1,000 megawatt is progressing well. The estimated cost of the project is INR8,112 Crore out of which we have incurred expenditure of INR4,187 Crore till March '24. The estimated levelized tariff of the project is INR4.28 per unit and the project is expected to be completed by September '26.

■ In respect of Kiru HE Project, we have incurred expenditure of INR1,730 Crore till March '24 out of estimated cost of INR4,288 Crore. Estimated levelized tariff of the project is INR4.64 per unit and estimated completion of the project is September '26.

■ In respect of Kwar Hydroelectric Project, 540 megawatt, the work is progressing at site. The estimated cost of the project is INR4,526 Crore out of which we have incurred expenditure of INR631 Crore till March '24. Estimated levelized tariff of the project is INR4.44 per unit and the project will be completed by December '27.

■ Apart from above under-construction projects, NHPC is also working on some projects such as Teesta -IV, 510 -megawatt; Sawalkot, 1,856 megawatt; Uri -I Stage -II, 240 -megawatt; Dulhasti Stage -II, 260 megawatt; Kirthai -II, 930 -megawatt; and Dugar Project, 500 megawatt, which are at the different stages of clearances.

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■ In respect of our hydroelectric projects in Nepal, DPR preparation is under progress for 750 -megawatt West Seti Project and the Inception Report submitted by NHPC has been accepted by Investment Board of Nepal in respect of 450 -megawatt Seti River -6 Hydroelectric Project. Further, Review Report of DPR has been submitted to Vidhyut Utpadan Company Limited, Nepal on 30th March '24 in the respect of Phukot Karnali Hydroelectric Project, 480 -megawatt in Nepal.

■ PPAs for all under construction projects of NHPC including its subsidiaries have been signed or consent has been received from the discoms for the same.

■ In respect of 1,000 megawatt capacity Solar Power Projects, the work is progressing well in respect of 300-megawatt project in Bikaner, Rajasthan and land acquisition is in progress in respect of 600 -megawatt project in Gujarat and 100 -megawatt project in Andhra Pradesh.

■ NHPC has received Letter of Intent for setting up of 200 -megawatt Grid Connected Solar Photovoltaic Power Projects located in GSEC's Renewable Energy Park (Stage -III) at Khavda, Gujarat at the rate of INR2.66 per unit through Tariff-based competitive bidding from Gujarat Urja Vikas Nigam Limited on 14th March '24.

■ NHPC is also exploring to develop some of the solar projects in the states of Andhra Pradesh, Odisha, Jharkhand, Madhya Pradesh, Gujarat, Tripura, Punjab and Maharashtra with total indicative capacity of approx 20,000 megawatt. We have submitted PFR of Indirasagar - Omkareshwar, 525 megawatt; Tekwa -2, 800 megawatt; and Satpura -2, 1,500 megawatt pumped storage projects situated in the state of Madhya Pradesh. Further, PFR of Savitri Pumped Storage Project 1,800 megawatt and Kengadi PSP, 600 megawatt situated in Maharashtra have also been submitted. For other projects, as of now, the PFR is in progress.

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This is all from our side. Now the forum is open up for question and answers. Thank you.

Moderator: The first question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Sir, my first question is on the Subansiri and Parbati -II.

If I remember ,
earlier the schedule was March '24 for Parbati -II and June '24 for Subansiri. I t looks like it has slipped, Parbati -II to December '24 and Subansiri complete p lant commissioning in May '26. Is that number correct, sir?

RP Goyal: Yes, yes.

Mohit Kumar: Why there's so much delay at Subansiri, sir, I think you were looking to complete this project in FY '25, if I am not wrong?

RP Goyal: Our Director (Technical) , Mr. Chaudhary will answer this question.

RK Chaudhary : Yes, you have correctly mentioned that earlier Subansiri commissioning and the Parbati commissionin g was as you have mentioned. In Subansiri, during the last year in October, there was a subsidence in Diversion Tunnel 1, which triggered a hill slope slide on the left bank and that damage d a portion of the hill slope and also damage d the portion of the Diversion Tunnel 1. Diversion Tunnel 1 , unfortunately , got connected with the river at the second poi nt, apart from the diversion tunnel inlet. So , a lot of restoration works is necessitated and we started the w orks and we are on the job. Now , major portion of the restoration works are completed. Although hill slope restoration work is still going on. In Diversion Tunnel 1, there was a lot of seepage and it was even to the tune of 8 to 9 cumecs. Now it has come down to less than 1 cumec , and we have completed the blind portion of the plug in Diversion Tunnel 1. Now we are hopeful and we are going well. The balanced portion of Diversion Tunnel 1 plug shall be taken up after the current monsoon season. So , this is the NHPC Limited
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main reason of shifting the commissioning schedule of the Project Subansiri Lower.

So for P arbati is concerned , there was delay in excavation. But now the excavation of the Parbati -II is completed, day lighting was achieved and only concrete lining is left . We are presently going ahead with the concrete lining with the help of 4 steel gantri es and we are going well and we are comfor table. We are confident that we wi ll achieve the commissioning by December '24.

Mohit Kumar: When do you expect the first unit of Subansiri to be up and running?

RK Chaudhary : March '25 because the unit is ready. Uni t 1, Unit 2 and Unit 3 is almost ready. Unit 3, just we are going to lower the stator and thereafter rotor. Unit 1 and 2 already boxed up. So , only this civil works and some portion of hydro mechanical works will be complete d and we are hopeful that we are going to commission the first, second and third unit in March '25.

Mohit Kumar: Understood. My second question is, what is our capex target for FY'25? And is there any chance of starting the work on any pumped storage hydro projects?

RP Goyal: Our capex target for FY '25 is to the tune of INR11,761 Crore and this expenditure does not include any expenditure on pumped storage projects because it will take some time to complete the DPR of our first pump storage projec t i.e. Indra Sagar Omkareshwar pumped storage project. So , we have not kept any expenditure for pump storage facility in this financial year.

Mohit Kumar: Is it possible to give the breakup of this capex , sir?

RP Goyal: Certainly. We have kept INR456 Crore for the Parbati -II Project. Then , INR1,000 Crore for Subansiri Lower; INR950 Crore for Dibang. Then ,

we have kept around INR950 Crore for new upcoming projects, which include Sawalkot, Dugar, Dulhasti Stage -II, etc.

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Then we have kept INR1,623 Crore for solar projects, which include 1000 CP EC Scheme projects and other projects which we have won in bidding process in Gujarat. So, INR1,623 Crore is planned for solar projects and total capex in NHPC stand-alone basis INR5,131 Crore.

Then we have planned INR3,371 Crore for our Chenab Valley projects, which consists 3 projects i.e. Pakal Dul, Kiru and Kwar.

For

Pakal Dul, we have kept INR1,750 Crore; Kiru, INR1,181 Crore; and Kwar, INR427 Crore. Then, we have kept INR550 Crore for our solar projects, which we are doing in our one of the subsidiaries i.e. BSUL. It consists 3-4 projects, which are at different stages.

Then we have kept INR1,198 Crore for our Lanco Teesta -VI Project in the state of Sikkim and for Rangit -IV, INR460 Crore. For Ratle, we have kept INR950 Crore. So, this is the breakup of INR11,761 Crore capex which we have planned for FY 2024-25.

Mohit Kumar: So one clarification as I'm talking about your joint venture projects, are you talking about the equity requirement or the total capex?

RP Goyal: So this is total capex. It includes loan also.

Moderator: Next question is from the line of Anuj Upadhyay from Investec India.

Anuj Upadhyay: So this question again belongs to Subansiri and Parbati. Because of the delay in the COD, that is the commissioning date, I believe there is a revision in the tariff rate on the upper direction. I'm aware that the PPA has been signed, but how will the beneficiaries be placed to take up this project at a revised tariff rate?

RP Goyal: First of all, PPAs are in place. In case of Subansiri, rate is slightly higher, i.e. around INR5.60 per unit. But we will do some reengineering to lower the tariff and to get the power sold and in respect of Parbati -II, the rate is INR6.59 per unit. So, we will do some reengineering to lower the tariff. We will accept lower operation maintenance charges for the first 5 years and we can plan for a longer

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period of depreciation. So we will try to keep it within the range of INR6 and there will be no loss to the company. So far Subansiri is concerned, the latest tariff is coming at INR5.60 per unit and that is well within the saleable range and there will be no loss to the company on account of ROE or any other things.

Anuj Upadhyay: Okay. So this will be on a cost-plus basis, right, sir? There's nothing as such a fixed price...

RP Goyal: In case of Dulhasti, in the year of 2007, the tariff was INR5.50 per unit, and there was no issue. So, this tariff will also not be the issue in selling the power.

Anuj Upadhyay: Okay, sir. Secondly, on the capex, you mentioned the capex for FY '25 would be INR11,761 Crore on a consol basis. Is it right, sir?

RP Goyal: Correct.

Anuj Upadhyay: An approximate figure for FY '26 as well?

RP Goyal: For FY '26, our capex is in the range of INR13,317 Crore. So, again, it will be in the same range. There is a plan for INR13,000 Crore plus.

Anuj Upadhyay: Got it, sir. So roughly, it's like INR25,000 Crore is what we are planning over the next 2 years. And how...

RP Goyal: In the next 7 to 8 years, it is in the same range. We will be incurring capex in the range of INR13,000 to INR15,000 Crore every year.

Anuj Upadhyay: Okay, okay. And sir, how well our cash flows are placed to meet the equity capex requirement of this quantum? I just saying INR13,000 Crore is a roughly capex requirement that entails roughly INR3,000 Crore to INR3,500-odd Crore at an equity requirement, considering

70-30 kind of a debt equity investment. So how well our cash flows are placed? Could be helpful you can take us through that?

RP Goyal: We are very comfortable on account of cash flow because only 30% is to be arranged for equity. So keeping in view of our internal accruals,
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there will be no issue of cash flow. We have to arrange maximum equity of around INR4,000 Crore annually.

Anuj Upadhyay: Okay. So INR4,000 Crore equity can be, I mean like internal cash flow can be easily made through the operation.

RP Goyal: Our current PAT is in the range of INR3,800 Crore and the depreciation is in the range of around INR1,200 Crore. So our internal

cash accrual is in the range of INR5,000 Crore. So after deducting the outflow on account of dividend, around INR3,200 Crore is available for capex on account of equity. So going forward, our PAT will increase and our internal accrual will also increase for meeting out capex.

Moderator: Next question is from the line of Bhavesh Patel from Patel Investments.

Bhavesh Patel: My question is regarding the recent news of us signing of floating solar power-related technology player. When do we expect implementation of this and where initially, if you have any idea?

RK Chaudhary: Recently, we have signed MOU with a Norway company, Ocean Sun. So, both NHPC and Ocean Sun will identify the water bodies where we can go ahead with the floating solar. So as of now, first of all, the job is to identify the water bodies and business opportunities and jointly, Ocean Sun Norway and NHPC is going to develop the floating solar. Presently, we are executing the floating solar of 88 megawatt in Omkareshwar reservoir through NHDC.

Also, we are exploring in Rengali, Odisha, 300-megawatt floating solar. So last few months back, we went for the tendering.

Unfortunately, there was only 1 tender. So again, we are going for the retendering.

Bhavesh Patel: Okay and you mentioned about 20,000 megawatt hydro storage power plants over the next 10 years? Is that a fair assessment?

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RP Goyal: Yes. It is in the survey and investigation stage. So, firstly, we will take up those projects which are easy. And as per our plan, within 2 years, work will start on the ground in case of 3-4 projects with the capacity of around 5,000 to 6,000 megawatt in the pumped storage space and these projects will be commissioned by FY '30.

Bhavesh Patel: All right. And again, we will continue with our dividend distribution policy, which is the current one?

RP Goyal: We will continue to pay dividend as per our policy and which is as per DIPAM guidelines only.

Moderator: Next question is from the line of Prashant from Unived Corporate Research.

Prashant: Yes. Just wanted to reconfirm with the Subansiri hydroelectric project. When will, as you mentioned, the unit should be commissioned in March '25. So, all the units would be commissioned in 1 month or it will be staggered?

RP Goyal: Basically, 3 units of this project will be commissioned in the month of March '25 and balance 5 units will be commissioned one by one by May '26.

Prashant: May '26. Yes. My question is whether all the 3 units will be commissioned in March?

RP Goyal: Yes, because 3 units are going to be ready by March '25. Basically, some civil work and some hydromechanical work is pending.

Otherwise, our 2 units are boxed up already and third unit is also going

to be boxed up by October or November '24. So from electromechanical side, there is no issue in these 3 units. Only the balance civil work and HM works is to be completed. So, that's why I'm saying that 3 units will be commissioned at a time in the month of March '25.

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Prashant: But is there a possibility that 1 or 2 units may be commissioned before March or, say, Jan, Feb or something.

RP Goyal: Because civil works and HM related works is to be completed and these balance works are expected to be completed by February or March '25. That's why there is no possibility of commissioning 1 or 2 units before that.

Prashant: And secondly, sir, regarding one of the project Bursar, the company has written off also an amount. Is there a possibility of revival from the government side of that project?

RK Chaudhary: For Bursar, we have prepared the DPR and in 2008, that project was declared as a national project by the Ministry of Water Resources and we completed the DPR and submitted the DPR to CEA, CWC and Ministry of Jal Shakti. So what is happening

, if all the cost of the

Bursar is going to be loaded for the power generation, then the rate of the power generation is coming quite high. So, the second aspect is storage. A portion in the cost is for the storage for irrigation purpose and unfortunately, for command area for the irrigation in Jammu & Kashmir and Himachal Pradesh, the government is not getting the required command area for irrigation. But still we feel that the country should go ahead with that because the storage project is very rare in our country, very scarce and wherever the storage project is available, we should develop it. So once the Government rethinks and the Government directs NHPC, then certainly, we would like to develop Bursar.

RP Goyal: Prashant, for your clarity, I want to say that this project will be viable only when the Government will provide grant for the storage component. Otherwise, tariff is coming very high. It is coming in the range of INR25 to INR30 per unit. So, in case Government wants to consider this project from a strategic point of view or any other point of view, only then it will happen. Otherwise, we have already provided the expenditure, which we had incurred in the past.

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Prashant: One more question, sir, is on the Dibang project. When do you expect the work to start at the ground level in that project?

RK Chaudhary: In Dibang project, the work had already started on the ground. The construction of the roads, bridges, culverts in the package awarded to L&T already going on well on the ground and one more package for the construction of powerhouse and other adits, tunnels awarded to Patel and GR Infra, a joint venture and those works are also going on well on the ground. Recently, myself and the Chairman Sahab visited the project. Works are going well and we are getting ready to float the tender for construction of the main concrete dam.

Prashant: So I just wanted to ask you, is all the land acquisition for the project over?

RP Goyal: Total land acquisition has already been done, and we have ordered all the packages except civil works for Dam and 2 small packages of hydromechanical work, which will also happen in the next 3-4 months.

Moderator: Next follow-up question is from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: My question is on the EPC tender. Sir, are you looking to award EPC tender for Sawalkot and Dugar this year?

RP Goyal: Yes. We are in the process for awarding the work for Sawalkot subject to approval by the CC EA. So, we have already taken up the issue with the J&K Government as well as Ministry of Power for approval of this project. So far, Dugar is concerned, as you know, Government of Himachal Pradesh has withdrawn all the concessions which were agreed by them and for which, we are in the court. So it depends on outcome of the court case and follow-up of the Himachal Government to provide concessions. Otherwise, this project may not be viable.

Mohit Kumar: So is it right to say that we are looking to award both the projects in 1 single EPC package?

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RP Goyal: Yes, we are in the process of tendering. Tenders have already been quoted for Dugar and for Sawalkot, we are preparing packages. So we will be doing the tendering work simultaneously. In case Government approval is received or the court verdict is in our favor, only then we will award but we are preparing simultaneously.

Mohit Kumar: Understood. My second question is on this, on the last year, I think we did a fair amount of tendering on behalf of discom for purchasing renewable power, right? So what is the progress on the PPAs for those tenders? And how much tenders are you looking to award in this fiscal?

RP Goyal: We have already signed PPA and PSA for 3,000 megawatt capacity in the REI mode and

for 1,400 megawatt, the process is going on. So you can say that we will be able to sign PPA and PSA for 4,400 megawatt against the capacity, which was allocated by the MNRE to the tune of 10,000 megawatt.

Mohit Kumar: 10,000 megawatt you have conducted bids for 7,400 megawatt? Is that right?

RP Goyal: 4,400 megawatt.

Moderator: Next question is from the line of Rajesh Mangal Agrawal from Rajesh Mangal and Company.

Rajesh Agrawal: Yes. Sir, I'm a retail investor and many congratulations to you that retail investors have too much faith in NHPC right now. Say in last December quarter, number of retail investors was 10.32 lakhs and it is almost increased 3x. Right now, the retail investors in March '24 quarters is 33.35 lakhs. Sir, I am going to your website and I think, this March '24 presentation is missing there. Am I correct?

RP Goyal: Sorry, you are talking about number of shareholders.

Rajesh Agrawal: No, I am talking about Investor Presentation for March '24.

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Management: Okay. So March '24 presentation will be uploaded after this con call. So most likely, you would be getting the presentation by end of the day.

Rajesh Agrawal: But sir, I think it will be better for future to present the investor presentation beforehand so that investor can go through it. And if at all, anything he wants to discuss with you, then he can.

RP Goyal: Mr. Rajesh, we have noted your suggestion. It will be done in the future.

Rajesh Agrawal: Okay. Second question is, sir, what is the expected ROE, return on equity for financial year 2024-25?

RP Goyal: You're talking about company level?

Rajesh Agrawal: Yes, Consolidated level.

RP Goyal: At company level, it will be in the range of 10% to 11%.

Rajesh Agrawal: 10% to 11%. Yes. Okay and may I know, sir, what revenue, top line growth we will achieve during 2024-25 by way of the new commissioning of our plants, etc.?

RP Goyal: As we have discussed, there is no new capacity being added prior to

March '25. So, there will not be any increase in the top line because capacity is the same. Only few megawatt of the solar can be added.

Rajesh Agrawal: Okay and last question is, sir, we have shown it in our company that the capital work in progress is around INR29,800 Crore . Okay. So can you throw some light on this INR29,800 Crore ?

RP Goyal: There are 2 big projects in our case. One is Subansiri, 2,000 mega watt and capital work in progress is in the range of INR21,000 Crore plus.

And again, Parbati -II, 800 megawatt , in which the expenditure incurred is in the range of INR11,000 Crore plus. So taking these 2 projects, total INR32,000 Crore is coming and balance is in the other projects like Dibang and other projects.

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Rajesh Agrawal: Yes. No issue, sir. Sir sorry for the question again. So when we wish to commence this plant, all these big 2 plants?

RP Goyal: As we've told, Parbati -II will be commissioned in the month of December '24. And 3 units of Subansiri will be commissioned in March '25 and balance 5 units will be commissioned in phased manner by May '26.

Rajesh Agrawal: Okay. Okay. And last one, sir, I have missed in the con call about this floating solar power plant and 300 megawatt in Rengali and 88 megawatt in Omkareshwar. So when do you expect to commissioning this project and earning revenue from this?

RP Goyal: So far, 88 megawatt Omkareshwar project is concerned, it will be commissioned by October '24. But so far, 300 megawatt Rengali is there, it is in the re-tendering stage and in case everything goes well, we will be commissioning this project in FY 2026-27.

Rajesh Agrawal: FY 26-27. Sir, whom do you give this 88 Omkareshwar contract?

RP Goyal: We have given contract to Tata.

Rajesh Agrawal: Tata Power?

RP Goyal: Tata Power.

Moderator: N

Next question is from the line of Sourin Mehta , individual investor.

Sourin Mehta : Congratulations, sir. I'm very proud that you have given clarity about the Subansiri and Parbati Projects and I wish to know that as Meteorological Department has predicted normal to excess rainfall. Will it affect our company in a positive way?

RP Goyal: Mr. Sourin, excess monsoon impacts us in a negative sense and lower monsoon also impacts in a negative sense in respect of our power stations, which are under operations. But moderate monsoon is always welcome. So in case excess monsoon comes, our construction projects gets affected.

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Moderator: Ladies and gentlemen, due to time constraint, we will take the last question from the line of Bhavesh Patel from Patel Investments.

Bhavesh Patel: And my question was additional capacity coming up and you answered that in the earlier question. So once again, all the very best for the upcoming execution and continue on the great work the company is doing, and we are really excited.

Moderator: I now hand the conference over to Mr. Rupesh Sankhe for closing comments.

Rupesh Sankhe: Thank you, Goyal sir, thank you for giving us an opportunity to host this call and thank the analysts for joining this call .

RP Goyal: Thank you.

Moderator: Thank you very much. On behalf of Elara Securities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you

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“NHPC Limited
Q2 FY'25 Earnings Conference Call ”
November 08, 2024

MANAGEMENT : MR. R.K. CHAUDHARY – CHAIRMAN AND MANAGING
DIRECTOR – NHPC LIMITED
MR. R.P. GOYAL – DIRECTOR (FINANCE) – NHPC
LIMITED
MR. UTTAM LAL – DIRECTOR (PERSONNEL) – NHPC
LIMITED
MR. SANJAY KUMAR SINGH - DIRECTOR (PROJECTS) –
NHPC LIMITED

MODERATOR : MR. RUPESH SANKHE – ELARA SECURITIES PRIVATE
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to NHPC Limited Q2 FY'25 Earnings Conference Call , hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rupesh Sankhe from Elara Securities Private Limited. Thank you and over to you, sir.

Rupesh Sankhe : Yes. Good afternoon, everyone. On behalf of Elara Securities, we welcome you all for the Q2 FY'25 conference call of NHPC. I take this opportunity to welcome the management of NHPC represented by Mr. R.K. Chaudhary sir, Chairman and Managing Director; Mr. R.P. Goyal sir, Director (Finance); Mr. Uttam Lal, Director (Personnel); and Mr. Sanjay Kumar Singh, Director (Projects). So, we will begin the call with a brief overview by the management followed by Q&A session. I will now hand over the call to Mr. R.K. Chaudhary sir for his opening remarks. Over to you, sir.

R.K. Chaudhary : Good afternoon, friends. The NHPC Board has adopted Half Yearly Financial Results for the period ended 30th September '24 in its meeting held on 7th November '24 and the same has already been communicated to Stock Exchanges. By now, I hope you all would have got chance to go through the Quarterly and Half Yearly set of numbers. First, I will just touch upon major highlights and then detailed analysis of the results shall be discussed by our Director (Finance), Shri R.P. Goyal ji.

■ Brief highlights of the financial results and important updates on the company are as enumerated below: -

■ During Half Year FY'25, our power stations have achieved generation of 15,013 million units as against 16,797 million units generated in corresponding period of the previous year, which is lower by about 11%
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or 1,784 million units. This is mainly due to heavy flash flood in Teesta

basin in October '23, which has resulted into complete shutdown of Teesta -V Power Station, which had generated 1,928 million units in the corresponding previous year. The restoration works at the power station was going on, but in August '24, a landslide occurred at the power station site affecting the Tail Race Tunnel outlet structure and the GIS Building . Necessary remedial actions have already been started and the restoration works are expected to be completed by Q3 FY '26.

■ Our Plant Availability Factor for Half Year FY'25 stands at 82.68% against the corresponding previous period Plant Availability Factor of 91.93%, which is about 9% lower. This is mainly due to lower water availability, complete shutdown of Teesta -V Power Station , partial shutdown of TLDP -III Power Station due to flash flood and high silt in the river, less inflow in various power stations and outage of unit at Uri - I Power Station.

■ During Half Year FY '25, Company has earned Revenue from Operation of Rs. 4,969 Crore as against Rs. 5,056 Crore in the corresponding previous year, which is about 2% lower.

■ During Half Year FY'25, Company has earned Profit After Tax of Rs. 1,929 Crore as against Rs. 2,500 Crore of corresponding previous period, which is 23% lower.

■ On physical front, as we have been sharing that the active construction work at Subansiri Lower Project Site is going on in full swing. Recently, we have achieved a major milestone in the completion of the project with the successful lowering of the Rotor of Unit 3 weighing 673 tons on 17th October '24. Overall, 94% physical progress of the project has been achieved. We are very hopeful

that we can commission three units of the project by March '25 and rest of the units one by one by May'26. The revised cost of project at completion is under process. We have incurred Rs. 22,027 Crore till September'24 . The estimated levelized tariff based on the anticipated cost is Rs. 5.60 per unit.
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■ In respect of Parbati -II HE Project , as we have already shared that we have achieved the daylighting of 31.5 kilometer long Headrest Tunnel of the project . All the major works of the project except 159 meter overt lining and 3,630 meter invert lining of HRT have been completed. Overall , 98% physical progress of the project has been achieved. We are trying our best to complete the remaining overt lining and invert lining of HRT and commission the project by February '25. The anticipated cost of the project is Rs. 12,160 Crore , out of which we have already spent Rs. 11,879 Crore till September'24 . The estimated levelized tariff based on the anticipated cost is Rs. 6.73 per unit.

■ In respect of Dibang Multipurpose Project (2,880 MW), five out of seven packages related to Design and Engineering Infrastructure Works, Construction of HRT and Powerhouse, E&M Works and HM Work of Pressure Shaft have been awarded. The remaining two packages related to Dam and HM Works are in the tendering stage. We have already shared that we have achieved a significant stride towards ensuring all-weather road access to the project site. The estimated cost of the project is Rs. 31,876 Crore , which includes grant of Rs. 6,716 Crore for Flood Moderation and Enabling Infrastructure Works, out of which we have already incurred Rs. 2,525 Crore till September'24 . Further , estimated levelized tariff of the project is Rs. 4.46 per unit and the scheduled completion of the project is February '32.

■ In respect of Lanco Teesta Hydro Power Limited 's Teesta -VI Project (500 MW), as we have shared that work is progressing well at site. Work for construction of new bridge is under progress for making permanent approach to Powerhouse . Further, concreting at Barrage area and excavation of HRT is also in progress. Overall , 64% physical progress of the project has been achieved. The estimated cost of the project is Rs. 5,748 Crore , out of which we have already incurred expenditure of Rs. 3,732 Crore till September'24 . Estimated levelized tariff of the project is Rs. 4.07 per unit and expected commissioning schedule of the project is December '27. Further, we are in the process of merger of LTHPL with NHPC Limited
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NHPC and the order for the merger is pending with Ministry of Corporate Affairs.

■ Jal Power Corporation Limited 's Rangit -IV Project (120 MW) is also progressing well. On 22nd July'24, the project has successfully achieved the daylighting of the HRT. Overall , 80% physical progress of the project has been achieved. The estimated cost of the project is Rs. 1,828 Crore , out of which we have already incurred expenditure of Rs. 1,241 Crore till September'24 . Further, we are in the process of merger of JPCL also with NHPC and First Motion Application has been filed with Ministry of Corporate Affairs. The project is expected to be completed by December '25.

■ In respect of Ratle HE Project, Union Territory of J&K (850 MW), the work is progressing well at the project site. Overall , 17% physical progress of the project has been achieved. The estimated cost of the project is Rs. 5,282 Crore and we have incurred expenditure of Rs. 784 Crore till September'24 . Estimated levelized tariff of the project is Rs. 3.92 per unit and the project is expected to be completed by December '27.

■ Presently , NHPC through its subsidiary Chenab Valley Power Projects Limited is executing three projects in Chenab Basin , Union Territory of J&A;

mp;K: -

■ Construction work at Pakal Dul HE Project (1,000 MW) is progressing well. Overall , 60% physical progress of the project has been achieved. The estimated cost of the project is Rs. 8,112 Crore , out of which we have incurred expenditure of Rs. 5,092 Crore till September'24 . Estimated levelized tariff of the project is Rs. 4.28 per unit and the project is expected to be completed by September '26.

■ In respect of Kiru HE Project (624 MW), overall 45% physical progress of the project has been achieved. We have incurred expenditure of Rs. 1,867 Crore till September'24 out of estimated cost of Rs. 4,288 Crore .
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Estimated levelized tariff of the project is Rs. 4.64 per unit and estimated completion of the project is September'26.

■ In respect of Kwar Hydroelectric Project (540 MW), the work is progressing at site. Overall , 17% physical progress of the project has been achieved. The estimated cost of the project is Rs. 4,526 Crore , out of which we have incurred expenditure of Rs. 770 Crore till September'24 . Estimated levelized tariff of the project is Rs. 4.44 per unit and the project is scheduled to be completed by December '27.

■ Apart from above under -construction projects, NHPC is also working on some projects such as Teesta -IV (520 MW), Sawalkot (1,856 MW), Uri-I Stage -II (240 MW), Dulhasti Stage -II (260 MW), Kirthai -II (930 MW) and Dugar Project (500 MW), which are at different stages of clearances.

■ In respect of our Hydroelectric Projects in Nepal, final Detailed Project Report for the West Seti Hydroelectric Project (800 MW) has been submitted to the Investment Board of Nepal on 18th October '24 in line with our commitment under the Memorandum of Understanding . Further, an MoU has been signed between NHPC and Raastriya Prasaran Grid Company Limited, Nepal for grid connectivity for West Seti Hydroelectric Project on 13th May'24. The Inception Report submitted by NHPC has been accepted by Investment Board of Nepal in respect of 460 MW West Seti River -6 Hydroelectric Project and the DPR is under preparation. Further, Review Report of DPR has been submitted to Vidhyut Utpadan Company Limited , Nepal in March '24 in respect of Phukot Karnali Hydroelectric Project (624 MW) in Nepal.

■ PPAs for all under construction projects of NHPC including its subsidiaries have been signed or consent has been received from the discoms for the same.

■ In respect of 1,000 MW capacity Solar Power Projects allotted under CPSU Scheme -II, the works are progressing well in respect of 300 MW NHPC Limited
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Project in Bikaner, Rajasthan. In a significant development, Ministry of Power has conveyed approval for laying transmission line for evacuation of power to be generated from the project to Bikaner -II Pooling Station addressing execution challenges due to Great Indian Bustard (GIB) issue. Further, land acquisition is in progress in respect of 600 MW Project in Gujarat and 100 MW Project in Andhra Pradesh.

■ NHDC, the subsidiary of NHPC has fully commissioned 88 MW Floating Solar Power Project at Omkareshwar Reservoir on 10th October'24 with the Commercial Operation (COD) obtained on 29th October '24. The cost of the project is Rs. 589 Crore and the tariff of the project is Rs. 3.22 per unit.

■ NHPC has awarded the EPC Contract for 200 MW Grid Connected Solar Power Projects (Stage -I) located in 600 MW Solar Park at Khavda, Gujarat to M/s Apollo Green Energy Limited on 5th August '24. The cost of the project is Rs. 929 Crore and tariff of the project is Rs. 2.73 per unit. The project is expected to be commissioned by August'25.

■ NHPC has awarded the EPC Contract for 50 MW Floating Solar Power Project in Kerala's West Kallada District to M/s Apollo Green Energy Limited on 26th July'24. Further, the Lease

Deed for transferring the water body or land was executed between NHPC and the concerned agency in Kerala, a company owned by land water body owners on 7th September' 24. The cost of the project is Rs. 260 Crore and tariff of the project is Rs. 3.04 per unit. The project is expected to be commissioned by February '26.

■ NHPC has signed an MoU with the Government of Rajasthan during the Rising Rajasthan Investor Meet on 30th September '24 with an investment plan of Rs. 50,000 Crore . The MoU envisaged development of Pumped Storage Projects, Renewable Energy (Solar / Floating Solar / Wind) Power Projects and Battery Energy Storage System in the state of Rajasthan.

■ NHP C is also exploring to develop Pumped Storage Projects in the state of Andhra Pradesh, Odisha, Jharkhand, Madhya Pradesh, Chhattisgarh, Gujarat, Tripura, Punjab and Maharashtra. We have submitted Pre-Feasibility Report of Indirasagar Omkareshwar (640 MW), Tekwa -2 (800 MW) and Satpura -2 (1,500 MW) Pumped Storage Scheme situated in Madhya Pradesh. Further , Pre-Feasibility Report of Savitri Pumped Storage Project (1,800 MW), Kengadi PSP (600 MW) situated in Maharashtra, Masinta PSP (1,000 MW) situated in Odisha and Kuppia PSP (900 MW) situated in Gujarat have also been submitted. For other projects, preparation of PFR is in process. The Detailed Project Report for Savitri PSP is under preparation.

This is all from my side. Now , I request Director (Finance), Shri Goyal Ji to discuss financial results in detail .

R.P. Goyal: Good afternoon, friends. I am going to share with you detailed Quarterly and Half Yearly set of numbers with the detailed analysis. The NHPC Board has adopted Half Yearly Financial Results for the period ended 30th September '24 in its meeting held on 7th November '24 and the same has already been communicated to Exchanges .

■ Brief highlights of the financial results and important updates on the company are as under: -

■ During Half Year FY'25, our power stations have achieved generation of 15,013 million units as against 16,797 million units generated in corresponding period of the previous year, which is lower by about 11% or 1,784 million units.

During Q2 FY'25 , our power stations have achieved generation of 8,034 million units as against 9,010 million units generated in corresponding period of the previous year, which is lower by about 11% or 976 million units.

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■ Our PAF for Half Year FY'25 stands at 82.68% against the corresponding previous period PAF of 91.93%, which is about 10% lower.

Our PAF for Q2 FY'25 stands at 84.87% against the corresponding previous period PAF of 89.78%, which is about 5% lower.

■ For Half Year FY'25 , Company has earned Revenue from Operations of Rs. 4,969 Crore as against Rs. 5,056 Crore in corresponding previous period, which is about 2% lower or by Rs. 87 Crore . The decrease in revenue is mainly due to lower generation.

During Q2 FY'25 , Company has earned Revenue from Operations of Rs. 2,551 Crore as against Rs. 2,485 Crore in the corresponding previous period, which is about 3% higher or by Rs. 66 Crore . The increase in revenue is due to increase in Sales pertaining to previous year by Rs. 170 Crore and Unbilled Revenue towards Insurance and Security Expenses by Rs. 169 Crore , which is further offset by decrease in Energy Charges by Rs. 190 Crore and decrease due to reimbursement of Water Cess by Rs. 85 Crore .

■ Other Income for Half Year FY'25 is of the order of Rs. 739 Crore in comparison to Rs. 408 Crore during the corresponding previous period, which is about 81% higher or by Rs. 331 Crore . This is mainly due to increase in realization of Business Interruption Loss against Insurance Claim by Rs. 155 Crore mainly related to Teesta -V Power Station. Further , there

is increase in Provision Not Required Written Back by Rs. 104 Crore , which mainly pertains to reversal of provision in respect of expenditure incurred on Bursar Project of Rs. 99 Crore and increase in Dividend Income by Rs. 54 Crore .

Other Income for Q2 FY'25 is of the order of Rs. 370 Crore in comparison to Rs. 129 Crore during the corresponding previous period, which is about 187% higher or Rs. 241 Crore . This is mainly due to realization of Business Interruption Loss against Insurance Claim by Rs. NHPC Limited
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138 Crore pertaining to Teesta -V Power Station and increase in Dividend Income by Rs. 67 Crore .

■ During Half Year FY'25 , the Generation Expenses have come down from Rs. 915 Crore to Rs. 595 Crore means by Rs. 320 Crore , which is mainly due to non-creation of liability against Water Cess for the power stations located in the State of Himachal Pradesh where the relevant Act has been deemed unconstitutional by the Honorable High Court of Himachal Pradesh and in the State of Sikkim , where management is of the opinion that obligation to pay Water Cess beyond what has already been paid is at best contingent in nature.

During Q2 FY'25 , the Generation Expenses have come down from Rs. 397 Crore to Rs. 313 Crore means by Rs. 84 crore, which is again mainly due to same reason I just mentioned.

■ During Half Year FY'25 , the Employee Cost has gone up from Rs. 619 Crore to Rs. 629 Crore means by Rs. 10 Crore , which is almost flat.

During Q2 FY'25 , the Employee Cost has come down from Rs. 321 Crore to Rs. 318 Crore means by Rs. 3 Crore , which is almost flat.

■ During Half Year FY'25 , there has been increase in the Finance Cost from Rs. 245 Crore to Rs. 526 Crore means by Rs. 281 Crore which is mainly due to increase in Interest on Arbitration / Court Cases of Rs. 338 Crore , which is further offset by decrease due to change in Weightage Average Rate of Interest by Rs. 15 Crore and decrease due to Repayment of Loans by Rs. 20 Crore . As per CERC Regulations 2024-29, the applicable Interest on Arbitration / Court Cases has to be recovered from the beneficiaries after CERC Order for which petitions are being filed.

During Q2 FY'25 , there has been increase in the Finance Cost from Rs. 126 Crore to Rs. 298 Crore means by Rs. 172 Crore which is mainly due to increase in Interest on Arbitration/ Court Cases of Rs. 203 Crore , which is further offset by decrease due to change in Weighted Average
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Rate of Interest by Rs. 7 Crore and decrease due to Repayment of Loans by Rs. 9 Crore .

■ During Half Year FY'25 , the Depreciation and Amortization Expenses has remained same at Rs. 553 Crore as against corresponding period of previous year.

During Q2 FY'25 , the Depreciation and Amortization Expenses have come down from Rs. 277 Crore to Rs. 271 Crore means by Rs. 6 Crore , which is almost flat.

■ During Half Year FY'25 , Other Expenses have gone up from Rs. 709 Crore to Rs. 899 Crore means by Rs. 190 Crore , which is mainly due to increase in Insurance Expenses by Rs. 108 Crore , increase in R&M Expenses by Rs. 30 Crore and increase in CSR Expenses by Rs. 11 Crore . As per CERC Regulation 2024-29, the applicable Insurance Expenses and Security Expenses are recoverable from beneficiaries after CERC Order for which petition is being filed.

During Q2 FY'25 , Other Expenses have gone up from Rs. 344 Crore to Rs. 489 Crore means by Rs. 145 Crore , which is mainly due to the increase in Insurance Expenses by Rs. 64 Crore and increase in R&M Expenses by Rs. 18 Crore .

■ During Half Year FY'25 , Tax Expenses have gone up from negative Rs. 30 Crore to Rs. 668 Crore means by Rs. 698 Crore . This is mainly due to the reason that during corresponding previous period , MAT Credit of Rs.

529 Crore was recognized. During this period, no MAT Credit has been recognized, whereas MAT Credit of Rs. 221 Crore has been utilized. This has resulted in a negative impact of Rs. 221 Crore on the PAT of the Company .

During Q2 FY '25, Tax E xpenses have gone up from negative Rs. 273 Crore to Rs. 360 Crore means by Rs. 633 Crore . This is mainly due to the reason that during corresponding previous year period , MAT C redit of Rs. 519 Crore was recogniz ed. During this period, no MAT C redit

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has been recognized , whereas MAT C redit of Rs. 141 Crore has been utilised . This has resulted in a negative impact of Rs.141 Crore on the PAT of the Company .

■ During Half Year FY'25, we have earned PAT of Rs. 1,929 Crore as against Rs. 2,500 Crore of corresponding previous period, which is down by Rs. 571 Crore or 23% approx. and the reasons for decrease/increase in the line items , we have just discussed.

During Q2 FY'25 , we have earned PAT of Rs. 905 Crore as against Rs. 1447 Crore of corresponding previous period, which is down by Rs. 542 Crore or 37% approx. and the reasons for decrease/increase in the line items, we have just discussed.

■ During Half Year FY'25, the Incentive on account of Secondary E nergy and Deviation C harges were Rs. 27 Crore , which is equal to the amount in corresponding previous Half Year period , so this remains flat.

During Q2 FY'2 5, the I ncentive on account of Secondary Energy and Deviation C harges w ere to the tune of Rs. 16 Crore , which is again equal to the amount in the corresponding previous year period. So, there is no increase or d ecrease on account of these two incentives.

■ The PAF Incentive for the Q uarter and Half Year is Nil due to change in methodology for recogni zing incentive income. The PAF I ncentive shall be recognized once the capacity charges of a particular power station is fully recovered.

■ CAPEX of Rs. 4,812 Crore has been incurred during Half Year FY'25 against target CAPEX of Rs. 11,762 Crore for the whole Financial Year 2024 -25 on Consolidated basis.

■ The Company has paid final dividend at the rate of 5% i.e. Rs. 0.50 per equity share for the Financial Year 2023-24 in the month of September'24 , which is in addition to interim div idend at the rate of 14% i.e. Rs. 1.40 per equity share resulting in total div idend at the rate of 19%

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i.e. Rs. 1.90 p er equity share on the face value of paid -up equity shares of Rs . 10/- each.

■ Other major highlights of the Company are as under: -

■ On realization front, NHPC has received Rs. 4,588 Crore from the beneficiaries against Sale of Energy during Half Year FY'25 as compared to Rs. 5,065 Crore in the corresponding period of previous year. Trade Receivables as on 30th September'24 stands at Rs. 4,266 Crore as against Rs. 5,970 Crore as on 30th September'23. This includes Rs. 2,812 Crore as Unbilled Debtors as on 30th September'24 as against Rs. 2,685 Crore as on 30th September'23 .

■ The net receivables out of total report ed Trade Receivables as on 30th Septmeber'24 are as under: -

The reported Trade R eceivables are Rs. 4,266 Crore , which includes Unbilled D ebtors of Rs. 2,812 Crore . So, Billed Receivables works out to Rs.1,454 Crore . Out of that , Rs. 209 Crore is on account of Debto rs

Dues Converted into Instalments under Electricity Late Payment Surcharge Rules. So, net receivables are Rs. 1,245 Crore, which stands billed to the beneficiaries and out of that, Debtors more than 45 days are only Rs. 499 Crore. So, there is no issue on account of Debtors/ Outstanding Receivables.

■ Unbilled Debtors mainly include Impact of AFC Billed and Recoverable as per regulations 2019-24 including Security Expenses of Rs. 756 Crore, Unbilled Sales for the month of September

24 which is Rs. 716

Crore, Impact of Effective Tax Rate on Return on Equity of Rs. 459 Crore and Energy Shortfall of Rs. 376 Crore.

■ Net Trade Receivables as on 5th November '24 stands at Rs. 870 Crore, which includes more than 45 days debtors of Rs. 118 Crore only.

This is all from my side. Now, the forum is open for question and answers. Thank you.

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Moderator: We will now begin the question-and-answer session. The first question is from the line of Ragini from Elara Capital. Please go ahead.

Ragini Pande: So sir, what is the under recovery in Teesta -V Hydro Plant?

R.P. Goyal: Yes. As you know, our Teesta -V Power Station is down since October '23 due to flash flood in the Teesta Basin. But our Business Interruption Loss is fully insured for one year period and one year period has completed in September '24. So, after September '24, we will not be getting any Business Interruption Loss from Insurance Company and whatever expenditure is being incurred, that will go to the Profit and Loss Account. So you can say, there is loss of revenue in the respect of Teesta -V.

Ragini Pande: Sir, what was the amount you said, loss? What's the loss amount?

Management: Yes, Ragini, so on annual basis, the total AFC of Teesta -V is around Rs. 450 Crore and the recoverable amount from Insurance Company is Rs. 410 Crore, out of which we have already recovered Rs. 250 Crore so far. So, if you consider on annual basis, the total loss on account of Teesta -V without Business Interruption Loss (BI loss) Claim would be around Rs. 450 Crore. But since for 12 months indemnity period, our insurance policy is there, so recoverable amount stands at Rs. 410 crore. So, in a way you can say that under recoveries are around Rs. 40-50 Crore only.

Ragini Pande: Okay and when will this plant begin operations?

R.P. Goyal: As per our latest estimate, this plant will commence generation by December '25. Reason being, this plant suffered a second incident in August '24.

Ragini Pande: Okay and sir, for the projects for which the PPA exists or for which you signed the Power Purchase Agreement. Is there any issue in signing the Power Supply Agreement for a Renewable Project, as a Renewable Energy Implementation Agency?

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R.P. Goyal: So far Hydro Power Stations are concerned, our power is totally tied up and there is no issue of signing of PPA. But in case of Renewable Energy from Solar or Hybrid Mode, wherever the Solar Power is in the range of Rs. 2.60, Rs. 2.65 per unit, there is no issue. But in case of some of the tenders in REI A Mode, we are facing problems in signing PPA. But there is no risk from NHPC side because we are implementing these projects in REI A Mode only.

Ragini Pande: So, I mean, is there a risk of cancellation of PPA for such renewable projects?

R.P. Goyal: No. Whatever PPA has been signed, they are being honoured. But in case of future in REI A Mode, if tariff is in viable range, PPA will be certainly signed. But if tariff is high, certainly DISCOMs may refuse to

sign.

Ragini Pande : Okay, I will join back the queue.

Moderator: Thank you. The next question is from the line of Rupesh Sankhe from Elara Capital. Please go ahead, sir.

Rupesh Sankhe: Good afternoon, sir. A couple of questions. Firstly sir, on Regulated Equity . What is the Regulated Equity you are expecting post commissioning of JV , Standalone Projects , let's say, in the next 3 to 4 years? And second question is sir, we have significant CAPEX ahead over next 7 to 8 years. So, how are we placed in terms of cash flows to meet this equity CAPEX contribution? That is the second question.

Management: Yes, Rupesh. So, since we have been discussing regarding this Regulated Equity , you are aware that currently the Company is place

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at the Regulated Equity level of almost Rs. 13,000 Crore . Now going forward, we have the capacity addition from Parbati-II, Subansiri, then Rangit -IV and then couple of projects from our JV side, subsidiary side also. So, if you look at the year wise capacity addition and their resultant Regulated Equity , I can share with you by end of FY '25, after

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commissioning of Parbati -II, our Regulated Equity will be Rs. 16,500 Crore from the current level of Rs. 13,000 Crore .

Then in FY'2 6 after commissioning of Rangit -IV, the resultant Regulated Equity will be Rs. 17,000 Crore and by FY'2 7 after full commissioning of Subansiri and Pakal Dul (1,000 MW), the resultant Regulated Equity will be Rs. 25,365 Crore . And by FY'2 8 which is a major year from the commissioning perspective, we are going to commission three projects, Teesta -VI (500 MW), Kwar (540 MW) and Ratle (850 MW). So, Regulated Equity will be Rs. 28,590 Crore . So, meaning thereby , in next four years, our Regulated Equity is going to be more than double. So, current level of Rs. 13,000 Crore is going to be Rs. 28,500 Crore .

R.P. Goyal: Regarding your question about cash flow for incurring CAPEX , our present Debt Equity Ratio is in the range of 0.84 only. So, there is no issue of cash flow. After commissioning of these ongoing projects, we will have sufficient internal accruals for infusing equity in the upcoming projects and for raising debt, we have no issue because we are very under leveraged.

Rupesh Sankhe: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Anuj Upadhyay from Investec Capital. Please go ahead.

Anuj Upadhyay: Thanks for the opportunity, sir. Sir, if you can share details on the Secondary Charges , UI and Incentives for the quarter in comparison to the last year corresponding quarter , that would be helpful. That would be my first question.

R.P. Goyal: During this Half Year , we have earned Secondary Energy Charges to the tune of Rs. 3 Crore as against corresponding previous period of Rs. 6 Crore and Deviation Charges , we have earned Rs. 24 Crore in this Half Year as against Rs. 21 Crore in the corresponding previous period. And for the Quarter, the Secondary Energy Charges is again Rs. 3 Crore as

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against Rs. 6 Crore in the corresponding previous period. Deviation Charges are Rs. 13 Crore as against Rs. 10 Crore in the corresponding previous period. Any other detail?

Anuj Upadhyay : Okay, nothing on Incentive , sir?

R.P. Goyal: As I told you, we have changed the system of recognizing PAF Incentive . PAF Incentive will be recognized after achieving NAP AF. So, whatever the PAF Incentive will be, that will be realized majority in the fourth quarter.

Anuj Upadhyay : Okay and sir, just a follow-up on the previous question where you are referring that the Insurance Cover is for the 1 year on the interruption for the Teesta. So as against Rs. 450 Crore of our fixed cost, we have recovered Rs. 410 Crore and Rs. 40 Crore is roughly under recovery until September?

R.P. Goyal: But out of this Rs. 450 Crore, we will be recovering Rs. 410 Crore after absorbing Rs. 40 Crore on account of Excess Clause. So out of Rs. 410 Crore, we have already recognized Rs. 250 Crore up to September Quarter and balance Rs. 160 Crore will be recognized in the coming period.

Anuj Upadhyay : Got it, sir, But this Insurance Cover is only for the 1 year since the plan has gone for the outages. So sir, from here on, as you mentioned, the COD is expected in December '25, that is say another 15 months from now. So, is it fair to assume that for next 1 year or 15 months, your under recovery would cross closer to around Rs. 450 – 500-odd Crore.

R.P. Goyal: Yes, sir. So, you correctly understood.

Anuj Upadhyay :

And there is no cover for this ?

R.P. Goyal: Yes, there is no cover because cover is limited to 1 year only.

Anuj Upadhyay : Fair point sir. This was helpful sir. Thank you.

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Moderator: Thank you. The next question is from the line of Rupesh Sankhe from Elara Securities Private Limited. Please go ahead sir.

Rupesh Sankhe: One more question, sir. Can you just give us update on the Dibang Project, sir and any awarding of EPC tender for the Sawalkot and Dugar ?

R.K. Chaudhary: For Dibang Project, as I explained, five contract packages out of the seven contract packages have already been awarded and the works are going well on the project site. We have established the permanent access which is without interruption to the project site. So, that is one and the progress on the various underground structures, the diversion tunnel, these are going well.

Presently, we are in the process of tendering the Dam Contract and we are hopeful that by another 2-3 months, we will be able to award the Dam Package. And thereafter, only one package will be left, Hydromechanical. So that will take some time and it is required to be awarded after few months, so no issue. So, Dibang is going well. No problem is there. Any more questions?

Rupesh Sankhe: Sir, regarding this EPC tender for Sawalkot and Dugar?

R.K. Chaudhary: Sawalkot and Dugar. Dugar, we have already floated tender for Civil Works and the last date was 11th November. So just at the request of few bidders, we have extended the bids. Now, we have recommended to extend the bid by another three weeks. And Sawalkot, we are just in the process of floating the tender for Infrastructure and Diversion Tunnel Works and also floating tender for the Consultancy Works for Design and Drawings of the Dam Package.

Rupesh Sankhe: Thank you for the updates.

Moderator: Thank you. The next question is from the line of Kaushal from Antique Stock Broking. Please go ahead.

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Kaushal: Thanks for the opportunity. Sir, I joined the call a little late, so pardon for repetition. Can you share the Adjusted PAT number for this quarter and the same period last year?

Management : Yes. So in the Adjusted PAT adjustment, you can just consider one item, which is reversal of provision of Bonus which is around Rs. 104 Crore.

Apart from that, all other items are regular in nature. So accordingly, you can find out the Adjusted PAT.

R.P. Goyal : Mr. Kaushal, our Operating Profit is comparable with last year. The dip is only on account of MAT Credit which we recognized last year and

which is not available in current year. Otherwise, our Operating Profit is just comparable with last year.

Kaushal : Okay and then this Rs. 100 Crore which you mentioned .

R.P. Goyal: Rs. 100 Crore is on account of reversal of one provision which we created in past and which has been reversed during current year because it is recoverable from the Government of India.

Kaushal : Okay. So , this is more like a Prior Period Income booked this quarter ?

R.P. Goyal: Yes, you can say.

Kaushal: Okay. So to that extent , I mean, like ideally from Rs. 905 Crore , we should subtract this Rs. 100 Crore to come to Adjusted PAT. Is that fair understanding?

R.P. Goyal: No, Rs. 905 Crore does not consider this Rs. 100 Crore . Rs. 100 Crore was recognized in first quarter.

Kaushal : Got it, sir and this Other Income increase that we see, so that is primarily the Insurance Claim that is getting booked out here?

R.P. Goyal: Yes, it is on account of Business Interruption Loss in respect of Teesta - V and Dividend Income which is higher by Rs. 54 Crore in Current Half Year .

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Kaushal : Okay and in the call, you did mention that for this Insurance Claim of Rs.

250 Crore is booked until now, so which means the incremental to reaching Rs. 410-odd Crore , which is almost like Rs. 160-odd Crore . So we'll be booking in the next 12 months?

R.P. Goyal: Rs. 160 Crore will be booked in the next two quarters on the basis of certainty, we receive from Insurance Company . For Rs. 250 Crore , either amount has been received or we have received their acceptance . But for Rs. 160 Crore , we have to receive the consent of the Insurance Company in coming period.

Kaushal : Right and then this AFC is roughly Rs. 450-odd Crore , but as far as expenses are concerned, say to the extent of , I can understand like there won't be any O&M since the project is not in operation. So what are the fixed charges that you need to incur? I mean that probably has to be there for the next, let's say, December'25. So what are the fixed charges that is incurred?

R.P. Goyal: In our case, generally it is fixed cost. Operation & Maintenance Staff is there, which will remain there and Interest , Finance Charges will be there, Depreciation will be there. So , 90% cost are in the nature of fixed cost and it will be incurred in the coming period. There is no variable part as such in our case.

Kaushal : No, my question was more to do with like because this AFC has ROE component. So I can understand there won't be any ROE, but there are certain fixed costs which will lead to under recovery, maybe like interest you need to pay to the banks, some annual depreciation accounting, you will continue. So to that extent, I was trying to understand. Sir, one question on this Rs. 460 Crore AFC, what is the ROE component ?

R.P. Goyal: ROE is Rs. 228 Crore . Annual expenses in the range of Rs. 220 Crore .

Kaushal : Got it, sir and then this Parbati -II again , I think there is quarter delay.

That's fair to understand, right, commissioning?

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R.P. Goyal: As per our plan, it was to be commissioned in December'24 . But hydro has some challenges. That's why we are shifting our goal posts to February '25, we are starting filling the reservoir and we are testing gates etc. of the reservoir, dam and our balance of activities are being completed. We are very much hopeful that we will be commissioning this project in February '25.

Kaushal : Right, sir and then what could be an ideal phasing of this 4 units? I mean, February and then how?

R.P. Goyal: All the units will be commissioned at a time in a single stroke, because units have been tested and these will be operated one by one with the available water. So, commissioning will happen in single stroke only.

Kaushal: Okay, sir and then even for Subansiri Lower, the Quarter 1 of FY '27. So again, it is a one stroke or phasing will be there in that?

R.P. Goyal: In respect of Subansiri, as per our plan, we will be commissioning three units by March'25 and rest five units will be commissioned in phased manner and the complete project will be commissioned by May'26.

Kaushal: May'26? Okay. Got it. Sir, that's all from my side. Thank you very much.

Moderator: Thank you. The next question is from the line of Nikhil from UTI Mutual Fund. Please go ahead.

Nikhil: Sir, my first question is regarding the Note 8 of Standalone Financial Results. So, we are basically booking the Insurance Claims and then again we are expanding them through to Other Expense. Can we understand why we are doing that?

R.P. Goyal: Mr. Nikhil, it is as per Accounting Guidelines and Accounting Standards. The Loss is to be booked under Other Expenses. These two activities are separate activities. Happening of loss is one activity and recovering the Insurance Claim is a separate activity. So, if you

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recognize the Claim on account of Insurance, it is being shown under Other Income.

Nikhil: So, of the total AFC of around Rs. 450 Crore, how much are we recovering from the insurance?

R.P. Goyal: Out of Rs. 450 Crore annual AFC, we are expecting to recover Rs. 410 Crore after deducting Excess Clause.

Nikhil: So, Rs. 40 Crore is from?

R.P. Goyal: Rs. 40 Crore will be under recovery. Out of Rs. 410 Crore, we have already recognized Rs. 250 Crore and balance Rs. 160 Crore, we will recognize in the coming period of this Financial Year.

Nikhil: Understood and sir, my second question is regarding we were looking to monetize and securitize ROE for Dulhasti?

R.P. Goyal: Yes.

Nikhil: So, are we on track on that and how much cash flow should we expect from that?

R.P. Goyal: We have already completed this exercise and we have realized Rs. 2,300 crore-plus on account of this Securitization.

Nikhil: Rs. 2,300 Crore. For how many years have you securitized?

R.P. Goyal: We have securitized for 8 years period and the total amount which we have realized is Rs. 2,348 Crore.

Nikhil: Rs. 2,348 Crore. Sir, the Regulated Equity for this plant will be somewhere around Rs. 1,500-odd Crore, right?

R.P. Goyal: No, in case of Dulhasti, the Regulated Equity is Rs. 2,050 Crore.

Nikhil: Rs. 2,000-odd Crore. Okay and you touched upon this point earlier as well. For solar plants, you mentioned the tariffs somewhere around Rs.

2.60, you're getting the PPAs, but even for the complex projects, the

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FDRE or the Hybrid Projects, the PPA signing, is it taking some time because from the presentation, I can see that a lot of them have not signed yet?

R.K. Chaudhary: Yes. For FDRE, we are getting the tariff of Rs. 4.73 or Rs. 4.75 and we are getting DISCOMs, the PPAs are being signed, only 1,200 MW was pending. So, we are in discussion with Uttar Pradesh DISCOM and we are hopeful that within a short period, we are going to sign the PPA for remaining unsigned capacity.

Nikhil: So sir, till date as intermediary, how much capacity have we tendered

out and for how much have we signed the PPA, if you can give us?

R.K. Chaudhary: Yes, just I will give.

R.P. Goyal: We have tendered around 9,000 MW capacity. Out of that, we have signed PPA or we have received consent for around 7,000 MW. For balance, we are in touch with DISCOMs and we are hopeful to receive their consent. Otherwise also, there is no risk to NHPC because this is in REIA Mode only. We have no CPAEX in this.

Nikhil: Sir and we will be earning 7 paisa per unit.

R.P. Goyal: Yes, 7 paisa fixed.

Nikhil: Sure. That's all from my side. Thanks and all the best.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question, I now hand over to Mr. Rupesh Sankh e for closing comments.

Rupesh Sankh: Yes, we thank the NHPC management for giving us an opportunity to host this call and we really appreciate for the detailed presentation there on the website. And we also thank all the investors and the analysts for joining this call.

Management: Thanks a lot, Rupesh.

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Moderator: Thank you. On behalf of Elara Securities Private Limited, that concludes the conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

■■■/Phone: 0129-2278018

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Sub: Transcript of Conference Call for discussion on financial results for the quarter and year ended

on March 31, 2025

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Sir/ ■■■■■,

In reference to our earlier letter dated 21.05.2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, it is to inform that the transcript of the Conference call with analysts and investors held on Wednesday, May 21, 2025, with respect to the financial results of the Company for the quarter and year ended on March 31, 2025 is attached herewith and has also been made available on website of the Company at the link:

https://www.nhpcindia.com/assests/pzi_public/gallery/17484344190.pdf .

It is also confirmed that no Unpublished Price Sensitive Information was shared in the above referred Conference Call.

This is for your information and records.

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Il est à noter que les données de la population sont en constante évolution et que les projections de la population sont sujettes à des incertitudes.

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"NHPC Limited Q4 FY'25 Earnings Conference Call"

May 21 , 2025

MANAGEMENT : MR. R. K. CHAUDHARY – CHAIRMAN & MANAGING DIRECTOR , NHPC LIMITED

MR. R.P. GOYAL – DIRECTOR (FINANCE), NHPC LIMITED

MR. UTTAM LAL – DIRECTOR (PERSONNEL), NHPC LIMITED

MODERATOR : MR. RUPESH SANKHE – ELARA CAPITAL

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Moderator: Ladies and gentlemen , Welcome to the NHPC Limited Q4 FY '25 Earning Conference Call hosted by Elara Capital.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask question at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Rupesh Sankhe from Elara Capital. Thank you and over to you, sir.

Rupesh Sankhe: Good afternoon, everyone. On behalf of Elara Securities, we welcome you all for the Q4 FY '25 Conference Call of NHPC. I take this opportunity to welcome the management of NHPC , represented by Mr. R. K. Chaudhary , Chairman and Managing Director ; Mr. R .P. Goyal, Director (Finance) and Mr. Uttam Lal, Director (Personnel). So, we will begin the call with the "Brief Overview by the Management" followed by "Q&A Session. "

I will now hand over the call to Mr. R. K. Chaudhary sir, for his Opening Remarks . Over to you , sir.

R. K. Chaudhary : Okay. Thank you very much. Good Afternoon , Friends. The NHPC Board has adopted Annual Financial Results for the period ended 31st March'25 in its 492nd meeting held on 20th May'25 and the same has already been communicated to the Exchanges. By now , I hope you all would have got chance to go through the quarterly and yearly set of numbers. First, I will just touch upon major highlights and then detailed analysis of the results shall be discussed by our Director (Finance), Shri R P Goyal ji.

■ Brief Highlights of the Financial Results and Important Updates on the Company are as under :

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■ During FY'25, our Power Stations have achieved generation of 19 ,862 million units as against 21 ,773 million units generated in corresponding period of the previous year which is lower by about 9% or 1 ,911 Million units . This is mainly due to heavy flash flood in Teesta Basin in October'23

which has resulted into complete shutdown of Teesta -V Power Station which had generated 1,966 million units in the corresponding previous year. We have already shared that restoration works at the power station suffered due to a landslide in August'24 affecting the Tail Race Tunnel (TRT) outlet structure and part of the GIS Building are progressing well and are expected to be completed by January'26.

■ Our Plant Availability Factor for FY'25 stands at 73.94% against the corresponding previous period Plant Availability Factor of 77.60% which is about 4% lower. This is mainly due to lower water availability, complete shutdown of Teesta -V Power Station and outages of units at TLDP -III, Uri - I Power Station.

■ During FY'25, Company has earned Revenue from Operation of Rs. 8,994 Crore as against Rs. 8,397 Crore in the corresponding previous year which is about 7 % higher.

■ During FY'25, Company has earned PAT of Rs. 3,084 Crore as against Rs. 3,722 crore of corresponding previous period which is about 17 % lower.

■ On physical front, I am very pleased to share that all the 4 units of Parbati - II Hydro Electric Project (800 MW) have become commercially operational with 3 units from 1st April'25 and 4th unit from 16th April'25. This achievement is particularly significant as it comes after surmounting numerous geological and technical challenges throughout the project cycle.
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The completion of this ambitious project marks a major step towards securing India's energy future by adding hydro capacity of 800 MW in RE portfolio of our country and reaffirms NHPC's leadership in the hydropower sector. The project has become NHPC's largest operational hydro power station as of now. Further, N

HPC has also commissioned 107 MW out of 300 MW Solar Power Plant in Bikaner, Rajasthan under CPSU Scheme on 12th April'25 which is an important step in our ongoing efforts to diversify into other renewable energy sources.

■ In respect of Subansiri Lower Hydro Electric Project (2000 MW), the balance construction work at site is going on in full swing. Overall, 96% physical progress of the project has been achieved. Dry commissioning of unit 1 & 2 has already been completed and pre commissioning activities of unit 3 is in progress. A team constituted by National Dam Safety Authority (NDSA) has visited the project site to review the initial filling plan of the reservoir. The commissioning of 3 units is expected very shortly. We are very hopeful of commissioning 5 units of the project in the current financial year and rest of the units by May'26. The anticipated cost of the project is Rs. 26,076 Crore and we have incurred Rs. 23,753 Crore till March'25.

■ In respect of Dibang Multipurpose Project (2880 MW), five out of the seven contract packages have already been awarded. The remaining two contract packages related to Dam and HM Works for Intake and Draft Tube Gates are in the evaluation process. We have already shared that we have achieved the crucial Nalla diversion, a significant stride towards ensuring all-weather road access to the project site. The estimated cost of the project is Rs. 31,876 Crore which includes Grant of Rs. 6,716 Crore for Flood Moderation and enabling infrastructure works, out of which we have already incurred Rs. 3,183 Crore till March '25. Further, estimated levelized tariff of the project
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is Rs. 4.46 per unit and the scheduled completion of the project is

February'32.

■ In respect of Lanco Teesta Hydro Power Limited (LTHPL)'s Teesta -VI Hydro Electric Project (500 MW), we are pleased to share that process of merger of the company with NHPC has been completed and now the project is part of NHPC on standalone basis. The work is progressing well at site. Overall, 66% physical progress of the project has been achieved. The estimated cost of the project is Rs. 8,449 Crore out of which we have already incurred expenditure of Rs. 4,142 Crore till March'25. The expected commissioning schedule of the project is December'27.

■ Jal Power Corporation Limited (JPC L)'s Rangit -IV Hydro Electric Project (120 MW) is also progressing well. Overall, 86% physical progress of the project has been achieved. We have already shared that in July'24, the Project has successfully achieved the daylighting of the HRT. Unit 1 has been boxed up and boxing up of unit 2 is in progress. We have successfully lowered the rotor of Unit 3, the last unit of the project. The project is expected to be commissioned by December'25. The estimated cost of the project is Rs. 1,828 Crore out of which we have already incurred expenditure of Rs. 1,432 Crore till March'25. Further, we are in the process of merger of JP CL with NHPC and First Motion Application has been filed with Ministry of Corporate Affairs .

■ In respect of Ratle Hydro Electric Project (850 MW) in UT of J&K, the work is progressing well at the project site. Overall, 21% physical progress of the project has been achieved. The estimated cost of the project is Rs. 5,282 Crore and we have incurred expenditure of Rs. 916 Crore till March'25. Estimated levelized tariff of the project is Rs. 3.92 per unit and the project is expected to be commissioned by November'28 .

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■ Presently, NHPC, through its subsidiary , Chenab Valley Power Projects Limited, is executing three projects in Chenab Basin in UT of J&K.

■ Construction work at Pakaldul Hydro Electric Project (1000 MW) is progressing well. Overall, 67% physical progress of the project has been achieved. The estimated cost

of the project is Rs. 12,728 Crore out of which we have incurred expenditure of Rs. 6,265 Crore till March'25. The project is expected to be commissioned by September'26.

■ In respect of Kiru HE Project (624 MW), Overall 58% physical progress of the project has been achieved. We have incurred expenditure of Rs. 2,478 Crore till March'25 out of the estimated cost of Rs. 5,409 Crore. Estimated levelized tariff of the project is Rs. 5.68 per unit and estimated commissioning of the Project is September'26.

■ In respect of Kwar Hydro Electric Project (540 MW), the work is progressing at site. Overall, 20% physical progress of the project has been achieved. The estimated cost of the project is Rs. 4,526 Crore out of which we have incurred expenditure of Rs. 1,008 Crore till March'25. Estimated levelized tariff of the project is Rs. 4.44 per unit and the project is scheduled to be commissioned by December'27.

■ Apart from above under construction projects, NHPC is also actively pursuing to start works of projects such as Uri -I Stage -II (240 MW), Dulhasti Stage -II (260 MW), Sawalkot (1856 MW), Kirthai - II (820 MW) and Teesta -IV (520 MW) which are at different stages of clearances.

■ In respect of our Hydroelectric Projects in Nepal, Final Detailed Project Reports (DPRs) of West Seti Hydro Electric Project (800 MW) and SR -6 Hydro Electric Project (460 MW) were submitted to the Investment Board

of Nepal (IBN) on 18th October'24 and 12th March'25 respectively, adhering to the timeline specified in the MoU signed between IBN and NHPC. Currently, DPRs are under approval by IBN. For the Phukot Karnali Project (624 MW), NHPC has submitted the DPR Review Report in March'24 as per the agreed timelines. Notably, strategic discussions have been initiated for joint ventures and power purchase agreements and the development model includes both domestic supply and cross-border electricity export, aligning with regional energy security goals.

■ PPAs for all under construction projects of NHPC including its subsidiaries have been signed or consent has been received from the Discoms for the same.

■ In respect of 1000 MW Capacity Solar Power Projects allotted under CPSU Scheme, Tranche -II, we have already shared that we have commissioned 107 MW out of 300 MW Project in Bikaner, Rajasthan and the full commissioning is expected by August'25. Further, Sub-lease deed of Land has been executed in respect of 600 MW Project in Gujarat and Design & Engineering activities are under progress. Further, Land acquisition and erection works are in progress in respect of 100 MW Solar Project in Andhra Pradesh.

■ NHPC has awarded the EPC contract for 200 MW Grid Connected Solar Power Projects (Stage-3) located in 600 MW Solar Park at Khavda, Gujarat on 23rd December'24. The cost of the project is Rs. 822 Crore and tariff of the project is Rs. 2.66 per unit. The project is expected to be commissioned by March'26.

The works of another 200 MW Grid Connected Solar Power Projects located in 600 MW Solar Park at Khavda, Gujarat (Stage -1) was awarded NHPC Limited
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on 5th August'24 . Site Survey works and Geo -Tech investigations have been completed.

■ NHPC is also exploring to develop Pumped Storage Projects in the state of Andhra Pradesh, Odisha, Madhya Pradesh, Chhattisgarh, Gujarat, Tripura, Punjab, Rajasthan and Maharashtra.

■ The DPR for Indira Sagar Omkareshwar PSP (640 MW) in Madhya Pradesh, Savitri PSP (2400 MW) in Maharashtra, Yaganti PSP (1000 MW) & Gadikota PSP (1200 MW) in Andhra Pradesh, Masinta PSP (1000 MW) in Odisha and Kuppam PSP (900 MW) in Gujarat is under preparation.

■ PFR of Kengadi PSP (600 MW), Kalu PSP (1350 MW) situated in Maharashtra and Longtharai PSP (800 MW) situated in Tripura have been submitted.

■ Further, PFR of Rajupelam PSP (

800 MW), Arvetipalli PSP (1320 MW) and Deenepalli PSP (750 MW) in Andhra Pradesh have been prepared. For other projects, preparation of PFR is in progress.

Friends, this is all from my side. Now I request, Director (Finance) Shri R.P. Goyal ji to Discuss Financial Results in detail.

R.P. Goyal: Good afternoon friends. I am going to share with you detailed quarterly and yearly set of numbers with the detailed analysis.

The NHPC Board has adopted Annual Financial Results for the period ended 31st March'25 in its meeting held on 20th May'25 and the same has already been communicated to Exchanges.

■ Brief highlights of the financial results and important updates on the

Company are as under:
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■ During FY'25, our Power Stations have achieved generation of 19 ,862 million unit s as against 21 ,773 million units generated in corresponding period of the previous year which is lower by about 9% or 1 ,911 million units .

During 4th Quarter FY'25, our Power Stations have achieved generation of 2,170 million unit s as against 2 ,304 million units generated in corresponding period of the previous year whi ch is lo wer by about 6% or 134 million units .

■ Our PAF for FY'25 stands at 73.94% against the corresponding previous period PAF of 77.60% which is about 4% lower.

Our PAF for 4th Quarter FY'25 stands at 58.59% against the corresponding previous period PAF of 54.65% which is about 4% higher.

■ During FY'25, Revenue from Operation of the company has gone up by Rs. 598 Crore from Rs. 8 ,396 Crore to Rs. 8 ,994 Crore which is about 7% higher. The increase in revenue is mainly due to increase in sales pertaining to previous years by Rs. 742 Crore on account of pay anomaly orders and impact of A nnual Fixed Charges Revision and increase in unbilled revenue by Rs. 540 Crore mainly on account of Interest on Arbitration Cases (Vivad se Vishwas -II/ amount deposited by the company i n NITI Ayog) which is further offset by lower energy charges by Rs. 262 Crore and decrease in Interest from Beneficiaries on account of Truing up for 2014 -19 period and Tariff Order for 2019 -24 period by Rs. 372 Crore.

During Q4 FY'25, Revenue from Operat ion of the company has gone up by Rs. 410 Crore from Rs. 1 ,649 Crore to Rs. 2 ,059 Crore which is about 25% higher. This increase is mainly due to reversal of water cess by Rs. 337

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Crore in Q4 of previous year, water cess in respect of Himachal Pradesh and Sikkim was reversed in view of outcome of the Hon'ble High Court of Himachal Pradesh against imposition of water cess and increase in capacity charges by Rs. 83 Crore.

■ During FY 25, Other Income has come down by Rs. 21 Crore from Rs. 1 ,600 Crore to Rs. 1 ,579 Crore which is about 1% lower showing marginal decrease .

During Q4 FY'25, Other Income has come down by Rs. 191 Crore from Rs. 588 Crore to Rs. 397 Crore which is about 32% lower. This is mainly due to decrease in dividend income by Rs. 96 Crore and decrease in Exchange Rate Variation Gain by Rs. 57 Crore.

■ During FY'25, the Generation Expenses have come down by Rs. 18 Crore from Rs. 814 Crore to Rs. 796 Crore on account of lower water cess.

During Q4 FY'25, the Generation Expenses have gone up by Rs. 344 Crore from negative Rs. 247 Crore in corresponding previous quarter to positive Rs. 97 Crore in current quarter. The increase is mainly due to the reason that during Q4 of previous year, we had reversed the water cess in respect of Himachal Pradesh and Sikkim and consequently, there was a booking of negative Rs. 355 Crore against the water cess in respect of Himachal Pradesh and Sikkim during that period.

■ During FY'25, the Employee Benefit Expense s have gone up by Rs. 354 Crore from Rs. 1 ,290 Crore t o Rs. 1 ,644 Crore which is mainly due to provision of pay anomaly arrears in compliance of the Hon'ble High Co

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of Punjab & Haryana.

During Q4 FY'25, the Employee Benefit Expense s have come down from Rs. 368 Crore to Rs. 367 Crore which is almost flat.

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■ During FY'25, there has been increase in the Finance Cost by Rs. 421 Crore from Rs. 726 Crore to Rs. 1,147 Crore which is mainly due to increase in Interest on Arbitration & Court Cases by Rs. 432 Crore against which unbilled revenue of Rs. 406 has also been recognized. So, the net impact of this item is only Rs. 26 Crore on the Profit and Loss Account.

During Q4 FY'25, there has been decrease in the Finance Cost by Rs. 379 Crore from Rs. 349 Crore to negative Rs. 30 Crore which is mainly due to decrease in Interest on Arbitration & Court Cases by Rs. 183 Crore and reversal of Rs. 110 Crore towards Interest on Arbitration & Court Cases which has now been capitalized in current quarter.

■ During FY'25, the Depreciation & Amortization Expenses have gone up by Rs. 14 Crore from Rs. 1,111 Crore to Rs. 1,125 Crore which is almost flat.

During Q4 FY'25, the Depreciation & Amortization Expenses have gone up by Rs. 13 Crore from Rs. 280 Crore to Rs. 293 Crore.

■ During FY'25, Other Expenses have come down by Rs. 13 Crore from Rs. 2,015 Crore to Rs. 2,002 Crore which is almost flat.

During Q4 FY'25, Other Expenses have gone up by Rs. 144 Crore from Rs. 534 Crore to Rs. 678 Crore which is mainly due to increase in Insurance Expenses by Rs. 101 Crore and increase in R&M Expenses by Rs. 39 Crore.

■ During FY'25, Tax Expenses have gone up by Rs. 365 Crore from Rs. 552 Crore to Rs. 916 Crore. This is mainly due to reason that during the corresponding previous year's period, MAT Credit of Rs. 529 Crore was recognized. During this period, no MAT Credit has been recognized whereas MAT Credit of Rs. 271 Crore has been utilized.

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During Q4 FY'25 Tax Expenses have come down by Rs. 241 Crore from Rs. 424 Crore to Rs. 183 Crore. This is mainly due to the lower utilization of MAT Credit.

■ During FY'25, we have earned PAT (Profit After Tax) of Rs. 3,084 Crore as against Rs. 3,722 Crore in corresponding previous period which is down by Rs. 638 Crore and which is around 17% lower and the reasons for decrease/increase in the line items, we have just discussed.

During Q4 FY'25, we have earned PAT of Rs. 894 Crore as against Rs. 693 Crore of corresponding previous period which is up by Rs. 201 Crore or 29% approx. and the reasons for decrease/increase in the line items, we have just discussed.

■ During FY'25, the Incentive position is as follows :

We have earned Secondary Energy to the tune of Rs. 123 Crore in the current FY'25 as against Rs. 102 Crore in the corresponding previous period. So, there is an increase of Rs. 21 Crore in Secondary Energy. PAF based Incentive, we have in FY'25 to the tune of Rs. 227 Crore as against Rs. 316 Crore in the corresponding previous year. So, this is down by Rs. 89 Crore. Deviation Charges, we have earned Rs. 35 Crore in FY'25 as against Rs. 41 Crore in the corresponding previous year. So, this is lower by Rs. 6 Crore. So, total of all the three incentives we earned in FY'25 is Rs. 385 Crore as against Rs. 459 Crore in the corresponding previous year. So, there is decrease of around Rs. 74 Crore on account of these three incentives during FY'25.

■ The incentive position during Q4 of FY'25 is as follows :.

Secondary Energy, we have earned Rs. 81 Crore as against Rs. 80 Crore in the corresponding previous quarter. The PAF based Incentive is Rs. 207 Crore against Rs. 252 Crore in the corresponding previous quarter and

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deviation charges is Rs. 5 Crore as against Rs. 7 Crore in the corresponding previous quarter. So, total of all the three incentives during Q

4 FY'25 is Rs.

293 Crore as against Rs. 339 Crore in the corresponding previous quarter.

■ CAPEX of Rs.11,596 Crore has been incurred during FY '25 against target CAPEX of Rs.11,762 Crore for FY'25 on consolidated basis.

■ The Board of Directors has recommended the payment of final dividend at the rate of 5.10% i.e. 51 paise per equity share in addition to interim dividend at the rate of 14%, i.e. Rs.1.40 per equity share resulting in total dividend at the rate of 19.10% i.e. Rs.1.91 per equity share on the face value of paid-up equity shares of Rs. 10 each for the financial year 2024 -25.

■ Other major highlights of the Company are as under:

■ On realization front, NHPC has received Rs. 8,349 Crore from the beneficiaries against Sale of Energy during FY'25 as compared to Rs. 9,606 Crore in the corresponding period of previous year. Trade Receivables as on 31st March'25 stands at Rs. 4,412 Crore as against Rs. 3,978 Crore as on 31st March'24. This includes Rs. 3,677 Crore as Unbilled Debtors as on 31st March'25 as against Rs. 2,263 Crore as on 31st March'24.

■ The net receivables out of total reported trade receivables are reconciled as under :

The reported Trade Receivables are Rs. 4,412 Crore. Unbilled Debtors are Rs. 3,677 Crore. So, billed receivables works out to Rs. 735 Crore. If we exclude the debtors dues converted to installments under Electricity (Late Payment Surcharge Rules) and other orders of CERC (Rs. 119 Crore), the net amount due from the beneficiaries works out to Rs. 616 Crore only and
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dues more than 45 days is only Rs. 220 Crore. So, overdue amount is only Rs. 220 Crore in our case as on 31st March '25.

■ Unbilled Debtors mainly include Unbilled Annual Fixed Charges and recoverable as per CERC Regulation including Security and Insurance Expenses of Rs. 1,366 Crore, Interest on Arbitration/Court Cases of Rs. 580 Crore, Impact of Effective Tax Rate on Return on Equity of Rs. 485 Crore, Unbilled Sales for the month of March of Rs. 480 Crore and Shortfall in generation due to the reasons beyond the control of the company of Rs. 292 Crore etc.

■ Net Billed Trade receivables as on 19th May'25 stands at Rs. 740 Crore which includes more than 45 days dues of Rs. 73 Crore.

Now the forum is open for question-and-answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session.

First question is from the line of Mohit Kumar from ICI CI Securities. Please go ahead.

Mohit Kumar: Yes. Good afternoon, sir and thanks for the opportunity. My first question is on profitability. Last year, I think we did 36 billion of profit on consolidated basis. It has declined to 30 billion, 3,000 Crore. You did touch upon the various one-offs. But can you please help us on broader basis what explains the decline? Is there a one-off in the tax item? You said, it is MAT Credit. But is it related to the past period which is on tax, which you can just help us explain?

Management: Yes, Mohit, so let us discuss at PBT level first. You will find that the decline of Rs. 100 Crore in quarterly number and Rs. 200 Crore in yearly number.

So, the quarterly number of Rs. 100 Crore is entirely on account of the

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reversal of Rs. 110 Crore on account of interest on arbitration, which has been reversed in Q4 itself and that is the reason, you will see that there is a negative finance cost of Rs. 30 Crore. You can treat this item as one -off and if you add back this Rs. 100 Crore number as a one -off, you will arrive at the actual PBT. Similar kind of adjustment if you do at yearly number like Rs. 200 Crore decline in PBT, if you refer our note #5 and note #6 of our financial result, you will find that there is impact of Rs.100 Crore in pay anomaly which has impacted

our PBT and Rs. 26 Crore interest on arbitration. So, Rs. 126 Crore impact is there on account of these two numbers and Rs. 100 Crore decline is there in energy charges. So, almost Rs. 200 Crore decline is there.

Mohit Kumar: Understood. Understood. That's very helpful. That's very helpful.

Management: So, those two adjustments you have to carry out to arrive at the adjusted PAT.

Mohit Kumar: Can you please help us with the NHDC revenue and profit numbers for this fiscal?

Management: Please come again.

Mohit Kumar: NHDC, the subsidiary revenues and profits.

Management: So, the total generation of NHDC during the current FY was 5,575 million units as against 4,473 million units in corresponding previous year. The revenue from operation is Rs.1,401 Crore as against Rs.1,269 Crore. The PAT is Rs. 837 Crore as against Rs. 812 Crore.

Mohit Kumar: Understood. Can you please help us with the capitalization of Par bati-II in the books? And a related clarification is that how are you going to book the NHPC Limited

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revenues, will it be 85% of the expected capacity charge till the time we get the full tariff order from the CERC, is that right understanding?

R.P. Goyal: Actually, three units have been capitalized from 1st April '25 and the fourth unit will be capitalized from 15th April '25. So, full year generation and full year revenue will be there and we are in the process of filing tariff petition in the CERC. So, based on filing of tariff petition, we will recognize 90% of the revenue on provisional basis till the order comes from CERC.

Mohit Kumar: Understood, sir and what is the amount capitalized on the book?

R.P. Goyal: Amount capitalized will be around Rs. 12,000 Crore plus.

Mohit Kumar: Understood, sir. Thank you.

Moderator: Thank you. Next question is from the line of Ragini Pande from Elara Capital. Please go ahead.

Ragini Pande: Yes. Thank you for the opportunity. I wanted to know what is the impact of insurance cover, which is not there at Teesta -V now? I mean the insurance cover was till September '24. So, what was the under recovery in Teesta -V?

Management: If you look at the normal circumstances of Teesta -V, TLDP -III and TLDP -IV, all these three projects in Teesta basin, you will find that in normal circumstances, almost Rs. 300 Crore approx. PBT, we earn from Teesta -V, Rs. 100 Crore from TLDP-IV and Rs. 100 Crore from TLDP -III. So, almost Rs. 500 Crore approx. PBT, we earn from these three projects. But due to this flash flood, we have discussed, the last previous number was Rs. 300 Crore, but this year the number is Rs. 92 Crore loss. So, there is almost Rs. 400 Crore approx. loss at PBT level from these three projects.

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Ragini Pande: Okay. Thank you. I just wanted to confirm the adjusted PAT number for Q4 FY'25. So you said that there is an adjustment of Rs. 200 Crore in Q4, right?

Management: In Q4, Rs. 100 Crore adjustment, you have to carry out on account of reversal of interest on arbitration. Rs. 200 Crore is for yearly number.

Ragini Pande: Understood. Okay. What will be the incremental revenue from the recently

commissioned Par bati project?

Management: The design energy of Par bati is 3,074 million units and the expected tariff is around Rs.7.5-8. We have to file the tariff petition with CERC and we have to wait for the final outcome. But approximate number if you want to consider at the rate of Rs.7.5, 87% saleable design energy of 3,074 million units you can consider and that will work out somewhere to Rs. 2,000 Crore .

Ragini Pande: Okay. Sir, another question was on Subansiri. What is the expected commissioning timeline for the project and the incremental revenue which is expected from it?

R. P. Goyal : As per our plan, we will commission three units by June '25

and rest of five

units will be commissioned one -by-one by May '26 and the incremental revenue of this project will be in the range of Rs. 4,500 Crore on annual basis when full commissioning is achieved.

Ragini Pande: Yes. Okay. Thank you. What is the regulated equity currently after the commissioning of Parbati project ?

Management: Yes. So consolidated level if you want to consider Rs. 13,000 Crore is regulated equity for N HPC's standalone and Rs. 1,000 Crore is regulated equity in NHDC. So , our share is Rs. 14,000 Crore as of now . Considering Rs. 13,000 Crore capital cost of Par bati-II, you can consider 30% of the capital cost as a regulated equity, so it works out to around Rs. 4,000 Crore . So, roughly

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14,000 plus 4,000, Rs. 18,000 Crore would be regulated equity in this particular financial year.

Ragini Pande: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Prashant Sagar from Anvil Corporate Research Private Limited. Please go ahead.

Prashant Sagar: I just wanted to know the progress of other projects in the Subansiri basin, especially the Middle Subansiri, Upper Subansiri if you can share?

R. K. Chaudhary : Subansiri Middle i.e. Kamala Hydroelectric Project is 1,720 MW . Pre-DPR chapters already cleared by the CEA and CWC. We have submitted the cost chapters and it is likely to be cleared by the CEA and CWC very soon . So techno economic clearance , we are going to get very soon and at the same time, we have processed for the Environmental Clearance and the Forest Clearance also. So , things are moving very fast . We are expecting that during this year , all clearances will be there and before that, we will move for investment approval, PIB and CC EA. Subansiri Upper is 1,605 MW. That is also going well, clearances are progressing. So in these projects , there will be 26% share of the State Government and 74% of NHPC. So for these two projects, the PIB and investment approval, we have to obtain from the Government of India. We are expecting that by the year end , NHPC will move for investment approval from the Government of India. Thank you.

Prashant Sagar: So you said , the share of State Government will be 26% in both the projects or only Upper Subansiri ?

R. K. Chaudhary : No, in Kamala and Subansiri Upper both. The Government of India has approved that any project in Arunachal Pradesh which is allocated to different Public Sector Undertakings like NHPC , SJVN, T HDC, NEEPCO ,

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there will be share of the State Government Utilities maximum up to 26% in the JV Company .

Prashant Sagar: About the Dibang Project , you said you have awarded five tenders or whatever. But the balance, when do you expect it to be awarded ?

R. K. Chaudhary : You understand that the entire project has civil works, hydro mechanical works and electromechanical works i.e. all three types of works . So, we have formulated seven contract packages . Out of seven, five contract packages have already been awarded and works are progressing at site. For rest two packages, the tender is opened and it is under evaluation. So we expect that shortly, we are going to award the balance two contract

package s.

Prashant Sagar: Okay. Sir, about the Middle and Upper Subansiri , has the land acquisition been completed , at what stage it is ?

R. K. Chaudhary : Land acquisition has also started. The district administration has already issued Section IV and then Section VI . So, they have already moved for the acquisition of land for both the project s.

Prashant Sagar: Both the projects . That answers my question. T hank you.

R. K. Chaudhary : Thank you. Thank you.

Moderator: Thank you. Next question is from the line of Mohit Kumar from ICI CI Securities. Please go ahead.

Mohit Kumar: Hello. Ye s. Thanks for the opportunity once aga

in . My question was, are

we expecting m ore projects due to the aboli tion of the Indus Water Treat y, has there been any further conversation around it?

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R. K. Chaudhary : The Indus Water Treaty is not abolished. It is kept under suspension. So in this scenario, yes, you are right that now there is a lot of emphasis and we are going to start the Uri -I Stage -II (240 MW) and we have already floated the tenders for civil works. For hydro mechanical works and for electromechanical works , we are going to float the tender s during this month only. The second project , Dulhasti Stage -I (390 MW) is already there. So , there is a Dulhasti S tage-II Project (260 MW). So for that also , we have received the Approval concurrence , appraisal from the Central Electricity Authority today itself and now , we are going to float the tender during this month end for Civil Works . The third project is 1856 MW Sawalkot Project . For that project also , the approvals are going in very fast mode and we are expecting that very soon , we are going to float the tender for Sawalkot also. At the same time, the possibilities are being explored to start some more projects like Kirthai-II and some more projects in Indus River in Leh, Ladakh area. So , these are the things under the chan ge scenario.

Mohit Kumar : Understood, sir. Are you looking to award the projects under one single EPC umbrella or are you going ahead with breaking the packa ges? Because I saw one large Sawalkot order based on EPC basis, but I think broken the package again , is that right understand ing?

R. K. Chaudhary : Sawalkot Project , we are going to formulate the entire works of the project in two package s for the civil wo rks, one package for the design and engineering , one for hydromechanical works and one for electromechanical works. So , we have already prepared the bid documents for the two packages and we are waiting for the investment approval from the Government . Then, we'll go ahead.

Mohit Kumar: Any comment on any PS P projects which you think you will award in F26 or F27 in the near term to start the work ?

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R. K. Chaudhary : The first project , we are going to award is Indra Sagar Omkareshwar i.e. 640 MW. The DPR is under evaluation in the CWC and Central Electricity Authority. We are expecting that within next 2-3 months , we are going to get the DPR cleared and once the DPR is cleared , appraisal is cleared, then we'll move ahead with the a ward of works.

Moh it Kumar: Understood, Sir. Thank you. And all the best , sir.

Moderator: Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to management for closing comments.

Management: Yes, Rupesh, thanks a lot for con ducting this conference call post result and thank you all participants for your interest and time. Thank you so much.

Moderator: Thank you. On behalf of Elara Capital, that concludes this conference. Thank you for joining us and you may now disconnect you r line s.

Call: Feb 2026

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Sub: Transcript of Conference Call for discussion on financial results for the quarter and nine months

ended on December 31, 2025

Numero: 31 **Anno:** 2025 **Ufficio:**

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Sir/ ■■■■■,

In reference to our earlier letter dated 06.02.2026 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, it is to inform that the transcript of the earning Conference call with analysts and investors held on Friday, February 06, 2026, with respect to the financial results of the Company for the quarter and nine months ended on December 31, 2025 is attached herewith and has also been made available on website of the Company at the link:

https://www.nhpcindia.com/assests/pzi_public/gallery/17708934400.pdf.

It is to confirm that no Unpublished Price Sensitive Information was shared in the above referred conference call.

This is for your information and records.

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Il est à noter que la Commission a également été saisie par le Parlement européen, le 14 septembre 2011, d'une proposition de résolution relative à la situation des personnes déplacées de force en raison de la crise humanitaire en Libye.

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"NHPC Limited Q3 FY'26 Earnings Conference Call "

February 06, 2026

MANAGEMENT : MR. BHUPENDER GUPTA - CHAIRMAN AND MANAGING
DIRECTOR , NHPC LIMITED
MR. UTTAM LAL – DIRECTOR (PERSONNEL), NHPC
LIMITED
MR. SANJAY KUMAR SINGH – DIRECTOR (PROJECT S),
NHPC LIMITED
MR. SUPRAKASH ADHIKARI – DIRECTOR
(TECHNICAL), NHPC LIMITED
MR. MAHESH KUMAR SHARMA – DIRECTOR
(FINANCE), NHPC LIMITED

MODERATOR : MR. RUPESH SANKHE - ELARA SECURITIES LIMITED

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Moderator: Ladies and gentlemen, Welcome to Q3 FY'26 NHPC Limited Earnings Conference
Call hosted by Elara Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions af ter presentation concludes. Should you need
assistance during this conference call, please signal an operator by pressing “*” then
“0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rupesh Sankhe from Elara Securities. Thank
you and over to you, sir.

Rupesh Sankhe: Good afternoon, everyone. On behalf of Elara Securities, we welcome you all for the
Q3 FY'26 Conference Call of NHPC.

I take this opportunity to welcome the Management of NHPC represented by Mr.
Bhupender Gupta, Chairman and Managing Director; Mr. Uttam Lal, Director
(Personnel); Mr. Sanjay Kumar Singh, Director (Project s); Mr. Suprakash Adhikari,
Director (Technical) an d Mr. Mahesh Kumar Sharma, Director (Finance).

So, we will begin the call with a brief overview by the Management followed by Q&A
session. I will now hand over the call to Mr. Bhupender Gupta sir, for his opening
remarks. Over to you, sir.

Bhupender Gupta: Thank you, Rupesh. Good afternoon, friends. NHPC Board has adopted Nine Months
Financial Results for the period ended 31st December'25 in its meeting held on 4th
February'26 and the same has already been communicated to the exchanges. By now,
I hope that you all would have got chance to go through the quarterly and nine -monthly
set of numbers.

Firstly, I will touch upon major highlights of the financial results and the detailed
growth plan of the company. Further, detailed analysis of the result s shall be shared by
our Director (Finance) , Shri Mahesh Kumar Sharma ji.

■ Brief highlights are as follows: -

■ During Nine Months FY'26, our Power Station s have achieved generation of
25,849 MUs as against 22,397 MUs generated in the corresponding period of the
previous year, which is higher by about 15% a nd this is mainly due to
commissioning of our Parbati -II Power Station (800 MW) and subsequent
increase in generation of Parbati -III Power Station , which is due to the more
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water availability from the Parbati -II and increase in power generation in some of the other Power Station s.

■ Our Plant Availability Factor for the Nine Months FY'26 stands at 79.27% and it is 3% lower than the previous period, which is mainly due to shutdown at Dulhasti, Salal, Chamera -I and Chamera -III Power Station s during monsoon, which were beyond our control. T hat's why there has been a decrease, but we are hopeful that it will be recovered during the entire financial year.

■ During Nine Months FY'26, Company has earned Revenue of Rs. 8,800 Crore as against Rs. 8,033 Crore which is about 10% higher and Company has earned PAT of Rs. 2,306 Crore as against Rs. 2,153 Crore of the correspo nding period , which is 7% higher.

■ I am very pleased and proud to share that we have commissioned and declared the commercial operation of two units of Subans iri Lower P roject (2000 MW) comprising of 8 units of 250 MW. Third Unit is expected to be commissioned within this week and we will commission fourth unit and declare the COD by the end of March '26. W e are targeting to commission all the remaining four units by December '26. So, the project is almost in the final st ages. We have already spent around Rs. 2 5,691 Crore against the revised cost of Rs. 27,949 Crore.

■ NHPC has also fully commissioned 300 MW Karnisar Solar Project under CPSU Scheme in Bikaner and the project has become NHPC's largest operational Solar Project as of now. This shows our commitment towards the renewable energy expansion of the company , to have aligned with the vision o

f our Honorable Prime Minister, Shri Narendra Modi Ji.

■ In respect of Dibang Multipurpose Project (2880 MW), we have already awarded all major contracts except one, which we will be awarding this month only. A ll the works are in full swing and we hope that whatever target we have fixed for 2032, we will do our best and make all the e fforts to achieve that target . This is a very good project for us, because the levelized tariff of this project is Rs. 4.46 per unit and we intend to complete it as early as possible.

■ Now, regarding Teesta -VI, which we took over from NCLT, is also going well. We have achieved 71% physical progress. The estimated cost of this project is Rs. 8,449 Crore and we have already incurred expenditure of around Rs. 5,000 Crore till December'25. We are also expediting this project though we are facing a very big NHPC Limited
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geological issue in our Head Race T unnel and because of that, slightly slow progress is there . However, we are going very methodol ogical and careful, because one small incident can delay the project for several months. But , we are very much sure that we will achieve the targeted commissi oning of 2029 in this project also .

■ The progress of Rangit -IV (120 MW) in the state of Sikkim is almost 95% as of now. We have completed all the electromechanical works and only HRT wo rk is left. Here , we were facing a severe geological problem. So , we have tackled it and now , we have left with certain lining works, where some minimum timeline is required for that. We are hopeful that we will complete this project and commission all the thr ee units by October or November '26 which will add 120 MW to our NHPC kitty.

■ In respect of Ratle Hydroelectric Project (850 MW) in UT of J&K, the work is progressing well as we have completed the excavation of the dam pit, which is actually a major milestone for any hydro project and the mo st critical one also. We have started the concreting of dam in the presence of our Honorable Power Minister Shri Manohar Lal Khattar Ji. The overall physical progress of the project is 26% and we are targeting to complete it by November '28. C onsidering th e current status of the project, we are fully confident that we will not miss this deadline.

■ As you all know that we have a subsidiary, Chenab Valley Power Projects Limited, where we are constructing three projects in Chenab Basin in the UT of J&K :-

■ The first project is Pakal Dul Hydroelectric Project (1000 MW), whose overall physical progress is around 77%. We are targeting to commission all the units by December '26 and considering the current pace of the progress, we are confident that we will achieve this target.

■ Second one is Kiru HE Project (624 MW) whose overall progress is around 77%. This project has a very attractive tariff, at around Rs . 5.68 per unit. We are hopeful and very sure that we will complete this project by December '26.

■ Third one under this JV subsidiary company is Kwar HE Project (540 MW) in the Chenab Basin . Its physical progress is around 27% and the targeted date of completion for this project is March '28 and the way we are getting progress every month, we are sure that we will achieve this target. This project also has a very attractive tariff, at around Rs . 4.44 per unit and we are just targeting to complete this as scheduled.

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■ Apart from this, NHPC has 3 -4 new projects, which we are going to start very soon, namely, Uri -I Stage -II Project (240 MW), Dulhasti Stage -II (260 MW), Sawalkot (1856 MW), Subansiri Upper (1605 MW), Etalin (3097 MW) which is currently the largest hydro power project of India and Kamala (1720 MW). These are at the different stages of clearances and approvals. I want to assure all of you that we are going to start these projects during

2026. Some of them will be commenced in the 1st quarter of FY'27 while others may begin in 2nd and 3rd quarter of FY'27. In total, we are planning to start 5 -6 projects this year itself, comprising around 10,000 MW of capacity.

■ Regarding 1,000 MW Solar Power Projects allocated to NHPC under the CPSU Scheme, we have already commissioned 300 MW, as shared earlier. The remaining 100 MW in Andhra Pradesh and 600 MW in Gujarat are expected to be commissioned by June'26 and December'26 respectively. Additionally, 200 MW Grid -Connected Solar Power Project at GSEC's Park in Khavda (Stage -III) is progressing well and we are expecting to complete it by March '26. So, I believe that during this calendar year alone, we will be commissioning more than 1 000 MW of solar power, which will further add to NHPC's total capacity.

■ NHPC is also exploring the possibility of Pumped Storage Plants (PSPs) in various states, including Andhra Pradesh, Odisha, Madhya Pradesh, Chhattisgarh, Gujarat, Punjab, Rajasthan and Maharashtra. The Detailed Project Reports (DPRs) are currently under process. Some of these Pumped Storage Plants seem very attractive and the DPRs are at different stages as of now. We are planning to start construction of at least two projects during this calendar year, which will add around 2 000 MW or more, comprising 2 -3 PSPs .

■ So I think , these are the highlights and growth plan of NHPC which we are looking forward to. From what I see, that we have a very bright future, considering the emphasis on the clean and RE power. Our plan is to expand our solar power business also and for that, we are in discussion with various stakeholders. We are hopeful that we will be coming out with more solar projects in future, in addition to the hydro and the pump storage, which I just discussed about.

This is all from my side. Now, I request our Director (Finance) – Shri Mahesh Sharma ji, to give the brief idea about our financial results, which all the investors must have already gone through. Thank you everyone. Thank you so much.

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Mahesh Kumar Sharma: Good afternoon, friends. I am going to share with you reasons for major variations in

line items reported in the results for quarter and Nine Months ended 31st December '25.

■ For Nine Months FY'26, Company has earned Revenue from Operations of Rs. 8,800 Crore as against Rs. 8,033 Crore in the corresponding previous period, which is about 10% higher i.e. by Rs. 767 Crore. The increase in revenue is mainly due to higher generation on account of commissioning of Parbati -II Power Station.

During Q3 FY'26, Company has earned Revenue from Operations of Rs. 2,221 Crore as against Rs. 2,287 Crore in the corresponding previous period, which is about 3% lower i.e. by Rs. 66 Crore. The decrease in revenue is mainly due to decrease in sales pertaining to previous years on account of Pay Anomaly and Interest on Arbitration accounted in previous corresponding quarter to the extent of Rs. 500 Crore approx.

■ Other Income for Nine Months FY'26 is of the order of Rs. 766 Crore in comparison to Rs. 1,024 Crore during the corresponding previous period, which is about 25% lower i.e. by Rs. 258 Crore. This is mainly due to decrease in Realization of Business Interruption Loss against insurance claim by Rs. 352 Crore, mainly related to Teesta - V Power Station (Current period -Nil and Previous Period Rs. 352 Crore), decrease in Provision not required written back by Rs. 108 Crore, mainly related to Bursar Project. This decrease is offset by increase in Income from Insurance Claim by Rs. 251 Crore, mainly in respect of Teesta -V Power Station (Rs. 132 Crore) and Parbati -II Power Station (Rs. 121 Crore).

Other Income for Q3 FY'26 is of the order of Rs. 272 Crore in comparison to Rs. 330 Crore during the corresponding previous period,

which is about 18% lower i.e. by Rs.

58 Crore. This is mainly due to decrease in Realization of Business Interruption Loss against insurance claim by Rs. 160 Crore, mainly related to Teesta-V Power Station. (Current period NIL and previous period Rs. 160 Crore), which is partly offset by increase in Income from Insurance Claim by Rs. 124 Crore, mainly in respect of Parbati -II Power Station.

■ During Nine Months FY'26, the Employee Cost has come down from Rs. 1,402 Crore to Rs. 1,096 Crore, means by Rs. 306 Crore, which is mainly due to decrease in Employee Remuneration Pay Anomaly by Rs. 363 Crore, which is offset by increase due to increment, DA and other factors.

During Q3 FY'26, the Employee Cost has come down from Rs. 687 Crore to Rs. 346 Crore, means by Rs. 341 Crore, which is mainly due to the reasons I just mentioned.

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■ During Nine Months FY'26, there has been decrease in Finance Cost from Rs. 1,201 Crore to Rs. 849 Crore, means by Rs. 352 Crore, which is mainly due to decrease in Interest on Arbitration and Court cases by Rs. 894 Crore, which is offset by increase in Interest on bonds, term loans, etc. by Rs. 518 Crore, related to Parbati -II, Subansiri Lower and Karnisar Solar Power Station, charged to Profit and Loss Account since their commissioning.

During Q3 FY'26, there has been decrease in Finance Cost from Rs. 649 Crore to Rs. 310 Crore, means by Rs. 339 Crore, which is mainly due to decrease in Interest on Arbitration and Court cases by Rs. 557 Crore, which is offset by increase in Interest on bonds, term loans, etc. by Rs. 175 Crore, mainly related to Parbati -II, Subansiri Lower and Karnisar Solar Power Station, charged to Profit and Loss Account since their commissioning.

■ During Nine Months FY'26, the Depreciation and Amortization Expenses have gone up from Rs. 878 Crore to Rs. 1,334 Crore means by Rs. 456 Crore, which is mainly due to Depreciation and Amortization in respect of Power Station commissioned during FY'26.

During Q3 FY'26, the Depreciation and Amortization Expenses have gone up from Rs. 297 Crore to Rs. 457 Crore, means by Rs. 160 Crore, which is mainly due to Depreciation and Amortization in respect of power stations commissioned during FY'26.

■ During Nine Months FY'26, Other Expenses have gone up from Rs. 1,499 Crore to Rs. 2,946 Crore, means by Rs. 1,447 Crore, which is mainly due to increase in General Network Access Charges by Rs. 781 Crore, increase in Insurance Expenses by Rs. 323 Crore, and increase in R&M Expenses by Rs. 71 Crore etc.

During Q3 FY '26, Other Expenses have gone up from Rs. 481 Crore to Rs. 1,537 Crore, means by Rs. 1,056 Crore, which is mainly due to increase in G&A charges by Rs. 781 Crore, increase in Insurance Expenses by Rs. 121 Crore and increase in R&M Expenses by Rs. 28 Crore.

■ During Nine Months FY'26, Tax Expenses have gone up from Rs. 1108 Crore to Rs. 1496 Crore, means by Rs. 388 Crore, due to Deferred Tax Adjustments and recognition of MAT Credit.

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During Q3 FY26, Tax Expenses have gone up from Rs. 104 Crore to Rs. 573 Crore, means by Rs. 469 Crore, due to Deferred Tax Adjustments and recognition of MAT Credit.

■ During Nine Months FY'26, the Incentives positions are as under :-
Secondary Energy for Nine Months FY'26 is Rs. 461 Crore as against corresponding previous period of Rs. 422 Crore. PAF based Incentive is Rs. 52 Crore during Nine Months FY '26 as against Rs. 52 Crore during corresponding previous period . So, PAF based Incentives are flat. Deviation charges are Rs. 34 Crore in Nine Months FY'26 as against Rs. 41 Crore in Nine Months FY'25. So, total Incentives amounting to Rs. 547 Crore as against Rs. 515 Crore in the corresponding previous period.

■ During Q3 FY' 26, the Incentives

positions are as under: -

Secondary Energy for Q3 FY'26 is Rs. 230 Crore as against Rs. 110 Crore in the corresponding previous period. PAF based Incentive is Rs. 39 Crore in Q3 FY '26 as against Rs. 35 Crore in Q3 FY'25. Deviation charges are Rs. 13 Crore in Q3 FY'26 as against Rs. 14 Crore in Q3 FY'25. So, total Incentives during Q3 FY'26 Rs. 282 Crore as against Rs. 159 Crore in the corresponding previous quarter.

■ CAPEX during Nine Months FY'26 is Rs. 8,844 Crore as against Rs. 7,405 Crore in the corresponding period of previous year on consolidated basis.

This is all from my side. Now the forum is open for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ragini Pande from Elara Capital. Please go ahead.

Ragini Pandey: Thank you for taking my question. So, I just want to know your CAPEX guidance for FY'27 and FY'28 and if you can just repeat the CAPEX that you have incurred for FY'26?

Mahesh Kumar Sharma: CAPEX for Nine Months FY'26 is Rs. 8,844 Crore as against Rs. 7,405 Crore in the corresponding period of previous year on consolidated basis.

Saroj Kumar Roy: The CAPEX plan for the current fiscal year is Rs. 13,300 Crore and next year , we are planning to spend Rs. 15,000 Crore. Thereafter, on an average, our annual CAPEX will be in the range of Rs. 12,000 to 13,000 Crore.

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Ragini Pandey: Thank you, sir. Now, while you told about the project pipeline for future years, can you just tell the total capacity addition which you intend to do for FY'27 and FY'28 bifurcated between hydro and renewable and for the current year as well? Just the total capacity addition number.

Saroj Kumar Roy: In the current year , we have already added 1350 MW till December '25. In February'26 , we have added one more unit of Subansiri (250 MW) and two more units are also going to be added. So, by the end of March '26, we are going to add additional capacity of 2100 MW. Next year, our capacity addition will be 2744 MW from hydro.

Ragini Pandey: Okay and on the renewables?

Saroj Kumar Roy: Renewable as CMD sir has shared with you that currently our solar capacity under

construction is 1,190 MW and most of the solar capacity, we are planning to add by end of next financial year.

Ragini Pandey: Yes, okay. Thank you. On the generation front, in Q3 FY'26, I can see that the generation is increased by 23%, but for Q3 on the revenue, I can see a decline of 3%. So, any reason for this deviation?

Saroj Kumar Roy: Yes, as DF sir has already shared with you while sharing the variance in the line item that during Q3 of the corresponding period, we had a one-off revenue to the extent of Rs. 500 Crore, on account of pay anomalies and interest on arbitration. So, if you exclude Rs. 500 Crore from the previous year, then you will find that our Revenue is higher than the corresponding period.

Ragini Pandey: Okay and sir, any under-recoveries you have currently?

Saroj Kumar Roy: No, not at all. We are going fine with normative ones.

Ragini Pandey: And on the secondary energy front, I can see that the secondary energy incentive has almost doubled. Can you just throw some light on the reasons for this?

Saroj Kumar Roy: Yes, this is due to better generation by our subsidiary, NHDC. The design energy of NHDC has already been achieved. So, whatever incremental generation we are getting, we are accounting as secondary energy. So, there is increase of Rs. 123 Crore in our quarterly total incentive.

Ragini Pandey: Lastly, on the pump storage projects front, I just wanted to know what is the project pipeline and when can we see the construction begin and when can we expect the first

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commissioning to take place? Also, on the cost economics front, what kind of a CAPEX you fore

see for these projects and what is the realization of the revenue potential for these projects?

Saroj Kumar Roy: I think CMD sir may like to answer this question.

Bhupender Gupta: Yes, Saroj. Ragini, I told earlier also, most of the PSP projects are under DPR stage as of now and as you rightly said, we need to have viable projects only. So, we are looking at viable projects. As per the preliminary analysis we have done based on the PFR, Omkareshwar PSP in Madhya Pradesh (640 MW) seems to be attractive one. Then there is Savitri PSP, Kalu PSP in Maharashtra and one project in Odisha also, which is Masinta (1,000 MW). So, total capacity of these projects comes out to be around 5500 - 6000 MW. Once the DPR is finalized, we need to get approval of the Central Electricity Authority also on both the fronts, technical feasibility as well as financial viability. So, we are planning to start at least two projects of around 2,000 MW out of these four during this calendar year and I am 100% sure whatever projects we will start, they will be very attractive one with generation cost of around Rs. 4.50/- per unit and total cost including pump, that will be around Rs. 7.00/- per unit. Considering the requirement of the storage which is mainly from two sources only, either battery energy storage or pump storage plants only. So, considering this addition of solar in the grid, we definitely require the storage power and I think whatever we generate, I am 100% sure that we will be very easily able to sell that with beneficiaries who have a solar power in their portfolio.

Ragini Pandey: Thank you, sir. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Murtuza Arsiwalla from Kotak Securities. Please go ahead.

Murtuza Arsiwalla: Hi, sir. I just want to check we commissioned Parbati in this year and Subansiri a couple of units as well. Are we accounting for the revenues based on the revised cost? Or there is some under-accounting of revenues till we get a formal order for the revised cost approval? So, is there some under-recovery because of which we are not seeing the full benefits in the earnings? That is the first one. Second, during the quarter, there were certain transmission charges associated with Subansiri which are recoverable, which were accounted. We want to know if that is for the entire 2,000 MW or it's only for the units which have been commissioned and so you would have more such sort of transmission charges which should come.

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Saroj Kumar Roy: Yes. Mr. Murtuza, coming back to your first question regarding revenue recognition in Parbati-II, we have already filed tariff petition based on the revised cost of Parbati-II, Rs. 13,600 Crore and based on that, whatever estimated tariff we have envisaged, we have been accounting 80% of that as revenue in our Q1, Q2 and Q3 accounts. Now,

for example, till December '25 for 9 months, we have already accounted Rs. 900 Crore revenue from Parbati -II which is 80% of the estimated revenue. If you gross up it, you will arrive at Rs. 1,125 Crore. So, almost Rs. 225 Crore has not been considered as revenue and that will be accounted after the tariff notification by CERC. So, that is the accounting treatment we are giving to Parbati -II generation and revenue. Am I clear? Anything related to Parbati -II?

Murtuza Arsiwalla: Absolutely. So, should we just, if we want to annualize that Parbati, should it be like a Rs. 1,200 Crore number or given the seasonality in generation, that number would be sort of lower for the 4th Quarter?

Saroj Kumar Roy: Yes, absolutely. Now, we have already received the interim order for Parbati -II. So, we will continue to account 80% of the revenue till the final tariff notification by CERC in respect of Parbati -II and that accounting treatment would be even continued in Q4 also.

Murtuza

Murtuza Arsiwalla: Okay and has similar treatment in the case of Subansiri, could you give us what Subansiri would look like in 80 versus 100?

Saroj Kumar Roy: Yes, same treatment, same policy in case of Subansiri also. We will be filing tariff petition in respect of Subansiri, likely to be in the first week of March '26 and then 80% of the estimated revenue will be accounted till the final notification by CERC. So, we will be taking same policy in case of SLP also.

Murtuza Arsiwalla: So, would it be fair to say that because 20% is a fairly large amount set aside when one considers the equity contribution, that till you get the final order, while it's not a drag on earnings, it's not actually contributing to profit, because 20% of revenue is where the profit of Parbati and Subansiri would lie?

Saroj Kumar Roy: In that sense, you are absolutely right, because we will be taking 100% expenses and 80% of the revenue. So, our profit will not be reflected in true manner. But fact remains that, this is the practice, because being conservative in accounting, we never take 100% of the revenue, as CERC is the final authority. And once they notify the tariff for any project, then only we should consider 100% revenue for that.

Murtuza Arsiwalla: Sure. Any visibility we have when the final tariff order will be approved by CERC?

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Saroj Kumar Roy: For Parbati -II, we are expecting within 5 to 6 months.

Murtuza Arsiwalla: Okay. And Subansiri?

Saroj Kumar Roy: For Subansiri, we are going to file tariff petition by first week of March. So, interim tariff will be expecting very soon, maybe within 2 months. And then final tariff petition based on the final commissioning of the Subansiri.

Murtuza Arsiwalla: Which will be when the last unit gets commissioned. Then you will file the final tariff petition and then depending on how much time the regulator takes, accordingly, you will get better recovery?

Saroj Kumar Roy: Absolutely.

Murtuza Arsiwalla: Okay. Any reason to believe, given that these projects are high tariff and substantially delayed, that the regulator may ask you to consider some concessions, that, okay, instead of 80% you account for 90% right now and we will reduce some amount of a back-ended revenue and profile in these projects?

Saroj Kumar Roy: Yes. So, 90% of the revenue is one way to consider it. As I told you that Parbati -II and Subansiri both have taken exceptional time in commissioning. 20-25 years kind of timeline has been there. So, we are just taking conservative view. Let CERC decide the final tariff and accordingly, that amount is going to our P&L sooner or later. So, it is just timing difference, Mr. Murtuza.

Murtuza Arsiwalla: Sure. And just on the second one, which is on that tariff charge raised into Subansiri, which is again a recoverable, just getting a sense that Rs. 800 Crore number is for the entire 2,000 MW or as more capacities get commissioned, you will recognize the remaining also?

Saroj Kumar Roy: Power Grid had commissioned its assets in March '23 and March '24. So, from that date, whatever Rs. 781 Crore has been calculated, that is up to December '25. Now, in incremental order, we are going to add our unit one by one. So, that amount would be decreasing as by March, we are going to add four units. So, ATC will be on balance four units. So, in decremental order, it would be coming. But Rs. 781 Crore is not the final figure. Some amount will come from ATC in next financial also, but not to that extent.

Murtuza Arsiwalla: Sure. Thank you so much for the clarity on these two issues. Thank you.

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Saroj Kumar Roy: Our pleasure.

Moderator: Thank you. The next question is from the line of Prashant Kshirsagar from Unived Corporate Research Private Limited. Please go ahead.

Prashant Kshirsagar: I just want

ed to ask about Subansiri Lower Hydroelectric Project . What is the levelized tariff finalized for?

Saroj Kumar Roy: So, considering Rs. 28,000 Crore of CAPEX, the levelized tariff is around Rs. 7.50/- per unit .

Prashant Kshirsagar: And will you be able to pass it on to the states or how, because they will be slightly reluctant to absorb. Or you will be getting some concessions from the Government in terms of period of the project?

Saroj Kumar Roy: Prashantji, you have been tracking NHPC for more than 15 years and we are in regular touch. So, you have seen what the reasons for the delay in Subansiri Lower were . All these delays were beyond the control of the management and CERC is very much clear in their regulation that any cost overrun beyond the control of the management shall be part of the capital cost for tariff determination. So, we are very much sure that whatever tariff and whatever cost we are going with to CERC , they will consider definitely . Our Director (Finance) also wants to add something in this regard.

Mahesh Kumar Sharma: Yes, as far as PPAs are concerned, all the PPAs are in place. So, we don't find any problem because once CERC determines the tariff, we will be getting all the tariff determined by CERC. So, we don't find any issue as of now as far as this tariff acceptance by the beneficiaries is concerned.

Prashant Kshirsagar: But sir, do you think CERC will go for Rs. 7.50/- or they will slightly give you some concessions?

Mahesh Kumar Sharma: Yes, I got your point. CERC goes as per CERC regulations and in the regulations, it is clearly defined that whenever any expenditure has been incurred, which is beyond the control of the company, in that case, it is allowed by the regulator. So, in this case, all the instances as Mr. Saroj has explained , are beyond the control of the company . So, in all probability, CERC is going to allow that. We are pretty much sure about it. The petition which we are going to file, we are going to put up these facts very strongly so that there are very less chances of any sort of disallowance of any expenditure from CERC side. We are confident about it and we will take up the tariff petition very strongly.

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Bhupender Gupta: I think Mr. Saroj and Director (Finance) have already explained the things regarding the high tariff. We all know that the reasons which were beyond the control of the management as well as the company for which the project stalled almost for 9 years and that fact is known to all the stakeholders including CERC also. As per the PPA, all the beneficiaries are already honoring that . Considering the power for 25 years, Rs. 7.50/- is not a very high tariff. It is a peaking power as well as the clean power . We had discussions internally as well as with other stakeholders and we do not foresee any deduction from the CERC side on the cost which we have incurred or which we have projected in our petition.

Prashant Kshirsagar: Okay, sir. Second question is on the Dibang Hydroelectric Project . In the opening remarks, sir, you said that one tender is pending. So, it is regarding which contract because in the earlier conference call, they had said about the dam tender was pending. So, can you help us with that?

Bhupender Gupta: Dam tender is pending but just want to share a good news. Today only , we opened the price bid and we are going to award this contract within this month only. With this, all the contracts will stand awarded and I am hopeful that the way the project is progressing , we are not looking back . The dam package which you were talking about was there in the last call . The same is in this call also which I just told you but today only, we opened the bids and during this month , we will award that also.

Prashant Kshirsagar: So, this month you will be awarding that . Okay and just for the infor

mation, sir, how

many players have bid for this dam?

Bhupender Gupta: Four bidders were there in this.

Prashant Kshirsagar: Four players, okay and the third question is about the Etalin Hydroelectric Project . You have been assigned the project from SJVN by the Power Ministry. So, just wanted to ask you whether this project will come in your balance sheet or it will remain in the

SJVN's balance sheet, what is the understanding now?

Bhupender Gupta: No, now this will be in the balance sheet of NHPC only. Due to some reasons like the size of the project and also our presence in the Dibang Valley already as this is in the Dibang Basin only, Ministry of Power decided that we can handle this in a much better manner. That was the only reason. So, now this will remain in the balance sheet of NHPC only.

Prashant Kshirsagar: And regarding the expenditure made by SJVN, you will be reimbursing them or is it like?

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Bhupender Gupta: No, we will be reimbursing them based on their balance sheet because that is also a Navratna PSU and so, we will be definitely reimbursing that amount whatever they have incurred and main expenditure on the plant is basically of the land procurement only. That is the main expenditure on this project as of now.

Prashant Kshirsagar: Okay. Sir, the other questions on the projects of Kamala and Upper Subansiri, the land acquisition has been done or is it in the process now?

Bhupender Gupta: For Kamala, we are in very advanced stages and the property survey and everything has already happened and now, only the award has to come from the district administration. But due to some Panchayat election, it got slightly delayed. But now, we are expecting this award anytime for Kamala, which we call Middle Subansiri also (1720MW). I just want to share with you that the PIB has already cleared this project. So, I hope that by the end of March, we will be having all the clearances including the land part also and we will be awarding the contract in April or May and start the construction accordingly.

Prashant Kshirsagar: And so, you expect it to start in FY'27 by any chance?

Bhupender Gupta: Yes. After April, it can be started anytime because we have already tendered out one package for Kamala and I told you that PIB is already cleared. Some of our Environment Clearance, Forest Clearances and the Land Acquisition are in the last stage of approval. So, I am expecting that we will get all the approvals and clearances by the end of March and from May or maximum June onwards depending upon tenders. Sometimes, tenders get delayed due to one or the other reason of the bidders. If it doesn't happen, then I think we may conclude the tendering process of at least one package by April itself. So, from May onwards, the construction may get start in the Kamala Project.

Upper Subansiri, you just talked about, I think there may be a gap of around 4 to 5 months between the Middle Subansiri (Kamala) and Upper Subansiri. There also, we have property surveys going on and we are in advanced stage of Forest Clearance. We may get Environment Clearance also by April or May. So, there will be a gap of 4 to 5 months between Middle Subansiri and Upper Subansiri for construction start.

Prashant Kshirsagar: And for Etalin, when should one expect FY'27 or FY'28?

Bhupender Gupta: We will start the construction of Etalin from July or August.

Prashant Kshirsagar: From 2026?

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Bhupender Gupta: Because everything is in place. Environment Clearance (EC) is in place, Forest Clearance (FC) is in place and almost 90% land acquisition has been done. Only 10% is remaining. Now, only 2-3 days back, Honorable CM along with the Cabinet had a meeting there in Etalin. Some small issues which we are just facing at site, those will be resolved very soon.

And I am expecting that we may start the construction of Etalin also by June or July.

Prashant Kshirsagar: Okay, sir. And last question is regarding the terrain. Sir, you had experienced terrain, geological issues and various issues in Lower Subansiri. So, in case of Upper Subansiri and Middle Subansiri, that's Kamala, you expect that sort of hindrance to the project or it will be smooth kind of thing?

Bhupender Gupta: No, terrain is definitely very good there and better than Lower Subansiri. So, we don't expect much of issue which we faced in Lower Subansiri because the geological conditions are much better in these projects including Etalin also.

Prashant Kshirsagar: Also in the Dibang Valley also, you feel the terrain is much better than?

Bhupender Gupta: Dibang is much better. Now, I just want to tell you, in the powerhouse, which is underground cavern basically, we are progressing very well and we are in very advanced stage of excavation, which is a major critical component of any hydro

project. Also the diversion tunnel portion, there are six diversion tunnels and we are almost at the tail end of completing those diversion tunnels. So, it shows itself that the geology is much better. Now the dam package will also be awarded, so once we start that, then definitely we will come to the exact geology of the dam. But as per our investigation and geological surveys, the geology is very good in that area and we don't foresee any issue or any delays because of these accounts. You can understand that we can never avoid any surprise. But as per our investigation, we don't foresee much surprises in that area.

Moderator: Thank you. The next question is from the line of Rupesh Sankhe from Elara Capital. Please go ahead.

Rupesh Sankhe: Sir, do you have Adjusted PAT number for Q3?

Saroj Kumar Roy: Yes, Rupesh. So, while arriving at Adjusted PAT, you have to add just Rs. 116 Crore loss given by Parbati -II. So, whatever reported number of PAT of Q3 is there, you just add Rs. 116 Crore, you will arrive at Adjusted PAT because there is no any exceptional or one-off item in this quarter.

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Rupesh Sankhe: Okay. The second question is, Sir, as a nodal agency, we have many projects on the solar side where PPA and PSA are yet to be signed. So, how is the progress there?

Bhupender Gupta: Regarding this REIA, I think you are talking about.

Rupesh Sankhe: Yes, absolutely.

Bhupender Gupta: So, in that case, you know that the demand has slightly dried down in the RE sector across the India in fact. All the REIAs are trying their best to do the PPAs. But recently we got a very good response for our 2-3 recently awarded renewable energy contract, which is mainly FDRE. And for wind also, we are getting a very good response. We got a mandate of 1,200 MW from Punjab. We got almost 15 bidders in that. As you know that we have almost bid out around 20,000 MW. And out of that, we have done the PPA only for 6,000 MW as of now. So, recently, all the RE developers have done 2 or 3 rounds of meetings with MNRE, Ministry of Power. One meeting was chaired by Honorable Power Minister as well as Honorable MNRE Minister and they have told their issues in that forum. Some of them are definitely resolvable and they were sure to come out positively how we expedite the PPAs or PSAs to be signed as early as possible. But ultimately, this has to be signed by the ultimate user or beneficiaries and those are the distribution companies. So, there is some mismatch of adequacy plan, as well as the demand, as well as the power which is available as of now. Majorly 2-3 hindrances are there for PPAs. One is the connectivity issue, because connectivity which are now available are coming in 2029-30. So, Discoms are slightly hesitant to sign the PPA when the power will be available after 2-3 years and there is a source of

power. Discoms are now planning that they will not sign the PPA for like standalone solar. And they want that solar with the battery or some other alternative like solar plus wind plus battery, because they want now 24-hour round the clock (RTC) supply or they want assured peak. So, because of this now change in requirement, some of the PPAs are definitely getting stuck up. But I am still hopeful that in next 2 to 3 months, we may sign PPA of around 2,000 to 3,000 MW also.

Rupesh Sankhe: Yes. Thank you, sir.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. And now, I would like to hand over the conference to the management for closing comments.

Bhupender Gupta: I think we really had a very good conversation with our friends and I really appreciate the queries which they have raised because whenever we had conversation, we learn a lot from our stakeholders, what are the shortcomings we have and how to fulfill those shortcomings. So, I really thank Elara Securities as well as all querists who have joined NHPC Limited

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through this call. I really thank all of you and I assure everyone that NHPC has a bright future in terms of completion of the project which are under construction, in terms of expansion, the new projects which are coming up, whether these are in hydro sector, whether these are in pump storage sector, whether these are in RE sector. We are trying to see how we can have some inorganic or organic growth, whatever possible. So, that also we are working upon and I assure everyone that our results of this entire 12 months will be very good and we will have a much better year this year. Thank you so much.

Moderator: Thank you. On behalf of Elara Securities, that concludes this conference. Thank you

for joining us and you may now disconnect your lines.

Call: May 2026

CIN: L40101HR1975GOI032564

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Sub: Transcript of Conference Call for discussion on financial results for the quarter and year ended on

March 31, 2026

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Sir/ ■■■■■■,

In reference to our earlier letter dated 18.05.2026 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, it is to inform that the transcript of the earning conference call with analysts and investors held on Monday, May 18, 2026, with respect to the financial results of the Company for the quarter and year ended on March 31, 2026 is attached herewith and has also been made available on website of the Company at the link:

https://www.nhpcindia.com/assests/pzi_public/gallery/17797050360.pdf .

It is to confirm that no Unpublished Price Sensitive Information was shared in the above referred conference call.

This is for your information and records.

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■ During FY '26, our power stations have achieved generation of 29,619 million

units as against 25,548 million units generated in corresponding period of the previous year, which is higher by about 16% or 4,071 million units. This is mainly due to the commissioning of Parbati-II Power Station and a subsequent increase in generation of Parbati-III Power Station, commissioning of Karnisar Solar Power Station, part commissioning of Subansiri Lower Project, increase in generation of Uri-I Power Station and power stations of NHDC.

■ Our PAF for FY'26 stands at 74.75% against the corresponding previous period PAF of 78.87%, which is about 4% lower. This is mainly due to shut down for some period in Dulhasti, Chamera -III, TLDP -IV Power Station on account of MIV repair works, restoration of sill beam and repair of radial gates etc.

■ During FY'26, company has earned revenue from operations of Rs. 11,615 Crore as against Rs. 10,380 Crore in the corresponding previous period, which is about 12% higher.

■ During FY'26, company has earned PAT of Rs. 3,766 Crore as against Rs. 3,007 Crore of corresponding period, which is 25% higher.

■ I am very pleased and proud to share that we have commissioned four units of Subansiri Lower Project (250 MW each) out of total eight units. Remaining four units are expected to be commissioned one-by-one till March '27. The anticipated cost of the project is Rs. 30,072 Crore and we have incurred Rs. 26,092 Crore till March '26.

■ Investment approval for implementation of Uri -I Stage -II HE Project of 240 MW and Dulhasti Stage -II HE project of 260 MW in UT of J&K at an estimated cost of Rs. 2,709 Crore and Rs. 2,994 Crore respectively at completion level has been accorded by NHPC Board on 20th February '26. Further, an implementation agreement has been signed between NHPC Limited and J&K State Power NHPC Limited
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Development Corporation Limited on 27th March '26

6 for development of these

projects. Civil Contracts for these projects have also been awarded in March '26 and scheduled completion of both the projects is November '29.

■ Cabinet Committee on Economic Affairs has approved investment of Rs. 26,070 Crore for construction of Kamal HE Project of capacity 1,720 MW in Arunachal Pradesh on 8th April '26. The project will be implemented through a joint venture company between NHPC Limited and the Government of Arunachal Pradesh. The formation of subsidiary is in progress. Further, environment and forest clearances are also in process for the project.

■ In respect of Dibang Multipurpose Project of 2,880 MW, all major contracts have been awarded including the dam package of Rs. 14,446 Crore which has recently been awarded in the month of April '26. We have already shared that we have achieved the crucial Nalla diversion, a significant stride towards ensuring all-weather road access to the project site and the work is going on in full-fledged manner. The estimated cost of the project is Rs. 31,876 Crore which includes grant of Rs. 6,716 Crore for flood moderation and enabling infrastructure works, out of which we have already incurred Rs. 4,504 Crore till March '26 and the scheduled completion of the project is February '32.

■ In respect of Teesta -VI HE Project of 500 MW capacity, the work is progressing well at site. Overall, 72% physical progress of the project has been achieved. The estimated cost of the project is Rs. 9,167 Crore out of which we have already incurred expenditure of Rs. 5,231 Crore till March '26. The expected commissioning schedule of the project is September '29.

■ Jal Power Corporation Limited's Rangit -IV HE Project of 120 MW is also progressing well. Overall, 96% physical progress of the project has been achieved. Boxing up of all three units has been completed. The project is expected to be commissioned by November '26. The estimated cost of the project is Rs. 1,889

Crore out of which we have already incurred expenditure of Rs. 1,792 Crore till NHPC Limited May 18, 2026

March '26. Further, we are in process of merger of JPCL with NHPC and second motion application has already been filed with Ministry of Corporate Affairs.

■ In respect of Ratle HE project of 850 MW in UT of J&K, the work is progressing well at the project site. Overall, 29% physical progress of the project has been achieved. The estimated cost of the project is Rs. 5,282 Crore and we have incurred expenditure of Rs. 1,538 Crore till March '26. The project is expected to be commissioned by November '28.

■ Presently, NHPC through its subsidiary, CVPPL is executing three projects in Chenab, that is in UT of J&K.

■ Construction of Pakal Dul HE Project of 1,000 MW is progressing well. Overall, 80% physical progress of the project has been achieved. The estimated cost of the project is Rs. 12,728 Crore out of which we have incurred expenditure of Rs. 9,141 Crore till March '26. The project is expected to be commissioned by the 4th quarter of FY'27.

■ In respect of Kiru HE Project of 624 MW, overall 82% physical progress of the project has been achieved. We have incurred expenditure of Rs. 3,637 Crore till March '26 out of the estimated cost of Rs. 5,409 Crore and estimated commissioning of the project is 4th quarter of FY'27.

■ In respect of Kwar HE Project of 540 MW, the work is progressing well at site. Overall, 33% physical progress of the project has been achieved. The estimated cost of the project is Rs. 4,526 Crore out of which we have incurred expenditure of Rs. 1,708 Crore till March '26 and the project is scheduled to be commissioned by March '28.

■ The restoration work of Teesta -V Power Station is under progress and it is expected that the power station will start generation in June '26.

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■ Apart from the above under

construction projects, NHPC is also actively pursuing to start works of projects such as Sawalkot of 1,856 MW, Subansiri Upper of 1,605 MW and Etalin of 3,097 MW which are at different stages of clearances.

■ In respect of 1,000 MW capacity solar power projects allotted under CPSU Scheme, Tranche -II, we have already commissioned 300 MW Project in Bikaner, Rajasthan. Further, 100 MW Project in Andhra Pradesh and 600 MW Project in Gujarat are expected to be commissioned by June '26 and December '26 respectively.

■ Our other construction solar projects like 40 MW Solar Power Project in Ganjam, Odisha and 50 MW Floating Solar Project in Kerala are expected to be completed by October '26 and March '27 respectively.

■ Further, two projects of 200 MW Grid Connected Solar Photovoltaic Power Projects located in Gujarat State Electricity Board Corporation Limited's, RE Park at Khavda, Gujarat (Stage -I & Stage -III) are expected to be commissioned by June'26 and December '26 respectively.

■ NHPC is exploring to develop Pumped Storage Projects in the State of Maharashtra, Odisha, Madhya Pradesh, Gujarat, Chhattisgarh, Rajasthan and Andhra Pradesh. Currently, we have 18 GW PSPs which are at DPR/PFR stage. Further, we are expecting to start construction of Indira Sagar -Omkareshwar PSP of 640 MW in the current financial year.

This is all from my side. Now, I request Director (Finance), Shri Mahesh Sharma

ji to discuss financial results in detail .

Mahesh Kumar Sharma : Thank you. Good afternoon, friend s. I am going to share with you detai led quarterly and a nnu al set of numbers with the detailed analysis.

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NHPC Board has adopted annual financial results for the period -ended 31st March '26 in its meeting held on 15th May'26 and the same has already been communicated to exchanges.

Detailed highlights of the consolidated financial results and important updates on the company are as under :

■ During FY'26 , our power stations have achieved generation of 29 ,619 million units as against 25 ,548 million units generated in corresponding period of the previous year , which is higher by about 16% or 4 ,071 million units.

During 4th Quarter FY'26 , our power stations have achieved generation of 3,770 million units as against 3 ,150 million units generated in corresponding period of the previous year which is higher by about 20% or 620 million units.

■ Our PAF for FY'26 stands at 74.75% against the corresponding previous period PAF of 78.87% which is about 4% lower.

Our PAF for 4th Quarter FY'26 stands at 62.47% against the corresponding previous period PAF of 66.84% which is about 4% lower.

■ For FY'26 , Company has earned Revenue from Operation of Rs. 11,615 Crore as against Rs. 10,380 Crore in the corresponding previous period which is about 12% higher or by Rs. 1,235 Crore . The increase in revenue is mainly due to higher generation on account of commissioning of Parbati-II Power Station, part commissioning of Subansiri Lower Project and comm issioning of Karnisar Solar Power Station.

During Q4 FY'26 , company has earned Revenue from Operation of Rs. 2,816 Crore as against Rs. 2,347 Crore in the corresponding previous period which is about 20% higher or by Rs. 469 Crore . The increase in NHPC Limited

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revenue is mainly due to higher generation on account of newly commissioned power station.

■ Other income for FY'26 is of the order of Rs. 1,071 Crore in comparison to Rs. 1,235 Crore during the corresponding previous period , which is about 13% lower or by Rs. 164 Crore . This is mainly due to decrease in realization of business interruption loss against insurance claim by Rs. 466 Crore mainly related to Teesta-V Power Station (current period – nil and previous period - Rs. 466 Crore). This decrease is offset by increase in income from insurance claim

by Rs. 321 Crore mainly in respect of Teesta-V Power Station of Rs. 254 Crore and Parbati-II Power Station of Rs. 121 Crore .

Other income for Q4 FY'26 is of the order of Rs. 305 Crore in comparison to Rs. 211 Crore during the corresponding previous period , which is about 45% higher or Rs. 94 Crore . This is mainly due to increase in income from insurance claim by Rs. 69 Crore mainly related to Teesta-V Power Station and increase in dividend income by Rs. 32 Crore .

■ During FY'26 , the Generation Expenses have gone up from Rs. 799 Crore to Rs. 821 Crore i.e. by Rs. 22 Crore which is due to higher water cess on account of higher generation in power stations situated in J&K and Uttarakhand.

During Q4 FY'26 , the Generation Expenses have gone up from Rs. 98 Crore to Rs. 103 Crore i.e. by Rs. 5 Crore which is due to higher water cess on account of higher generation in power stations situated in J&K and Uttarakhand.

■ During FY'26 , the Employee Benefits Expense has come down from Rs. 1,823 Crore to Rs. 1,498 Crore i.e. by Rs. 325 Crore which is mainly due to decrease in Employee Remuneration - Pay Anomaly by Rs. 383 Crore which is offset by increase due to increment, DA and other factors.

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During Q4 FY'26 , the Employee Benefits Expense has come down from Rs. 421 Crore to Rs. 402 Crore i.e. by Rs. 19 Crore showing marginal decrease.

■ During FY'26 , there has been increase in the Finance Costs from Rs. 1,189 Crore to Rs. 1,423 Crore i.e. by Rs. 234 Crore which is mainly due to increase in interest on bonds , term loans , etc. by Rs. 877 Crore related to Parbati-II, Subansiri Lower and Karnisar Solar Power Station charged to P&L since their commissioning which is offset by decrease in interest on arbitration and court cases by Rs. 677 Crore .

During Q4 FY'26 , there has been increase in the Finance Costs from negative Rs. 12 Crore to Rs. 574 Crore i.e. by Rs. 586 Crore which is mainly due to increase in interest on bonds , term loans , etc. by Rs. 359 Crore mainly related to Parbati-II, Subansiri Lower and Karnisar Solar Power Station charged to profit & loss since their commissioning , increase in interest on arbitration and court cases by Rs. 110 Crore and interest to beneficiary by Rs. 108 Crore .

■ During FY'26 , the Depreciation, Amortization and Impairment Expenses have gone up from Rs. 1,193 Crore to Rs. 1,976 Crore i.e. by Rs. 783 Crore which is mainly due to depreciation and amortization in respect of power station commissioned during FY '25-26.

During Q4 FY'26 , the Depreciation, Amortization and Impairment Expenses have gone up from Rs. 315 Crore to Rs. 642 Crore i.e. by Rs. 327 Crore which is mainly due to depreciation and amortization in respect of power station commissioned during FY '25-26.

■ During FY'26 , Other Expenses have gone up from Rs. 2,122 Crore to Rs. 4,060 Crore means by Rs. 1,938 Crore mainly due to increase in general network access charges by Rs. 822 Crore , increase in insurance expense

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by Rs. 476 Crore , increase in losses out of insurance claims by Rs. 225 Crore , increase in provision by Rs. 168 Crore and increase in R&M expenses by Rs. 111 Crore etc.

During Q4 FY'26 , Other Expenses have gone up from Rs. 623 Crore to Rs. 1,115 Crore i.e. by Rs. 492 Crore which is mainly due to the increase in provision by Rs. 173 Crore , increase in insurance expense by Rs. 154 Crore , increase in losses out of insurance claims by Rs. 66 Crore , increase in R&M expenses by Rs. 40 Crore etc.

■ During FY'26 , Tax Expenses have come down from Rs. 1,355 Crore to negative Rs. 327 Crore i.e. by Rs. 1,682 Crore due to deferred tax adjustment and recognition of MAT Credit .

During Q4 FY'26 , Tax Expenses have come down from Rs. 247 Crore to negative Rs. 1,823 Crore i.e. by Rs.

s. 2070 Crore due to deferred tax adjustment and recognition of MAT Credit .

■ During FY'26 , we have earned Profit After Tax of Rs. 3,766 Crore as against Rs. 3,007 Crore of corresponding previous period which is up by Rs. 759 Crore or 25% approx. and the reasons for decrease or increase is in the line items , we have just discussed.

During Q4 FY'26 , we have earned Profit After Tax of Rs. 1,460 Crore as against Rs. 854 Crore of corresponding previous period , which is up by Rs. 606 Crore or 71% approx. and the reasons for increase in the line items , we have just discussed.

■ During FY'26 , the Incentives positions are as under :

FY'26 - Secondary Energy was Rs. 570 Crore , PAF-based Incentive was Rs. 297 Crore , Deviation Charges was Rs. 46 Crore and total was Rs. 913 Crore . In the corresponding FY '25 - Secondary Energy was Rs. 545 Crore ,

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PAF-based Incentive was Rs. 269 Crore , Deviation Charges was Rs. 51 Crore and total was Rs. 865 Crore .

■ During Q4 FY'26 , the Incentives Position are as under :

Q4 FY'26 - Secondary Energy was Rs. 109 Crore , PAF-based Incentives was Rs. 245 Crore , Deviation Charges was Rs. 12 Crore and total was Rs. 366 Crore . In corresponding Q4 FY '25, the position of Secondary Energy was Rs. 124 Crore , PAF-based Incentive was Rs. 217 Crore , Deviation Charges was Rs. 9 Crore and total was Rs. 350 Crore .

■ CAPEX during FY'26 is Rs. 13,689 Crore as against Rs. 11,596 Crore in the corresponding period of previous year on consolidated basis.

■ The Board of Directors has recommended the payment of final dividend @ 2.10% i.e. 21 paise per equity share in addition to interim dividend @ 14%, i.e. Rs. 1.40 per equity share , resulting in total dividend @ 16.10% , i.e. Rs. 1.61 per equity share on the face value of paid -up equity share of Rs. 10 each for the FY'25-26.

Other Major Highlights of the Company :

■ On realization front, NHPC has received Rs. 10,499 Crore from the beneficiaries against sale of energy during FY'26 as compared to Rs. 9,943 Crore in the corresponding period of previous year.

■ Trade receivables as on 31st March' 26 stands at Rs. 2,630 Crore as against Rs. 2,573 Crore as on 31st March' 25. This includes Rs. 1,887 Crore as unbilled debtors as on 31st March' 26 as against Rs. 1,587 Crore as on 31st March' 25.

■ The net receivables out of total reported trade receivables as on 31st March' 2026 are as under :

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Reported Trade Receivables is Rs. 2,630 Crore , less unbilled debtors of Rs. 1,887 Crore , Billed Receivables is Rs. 743 Crore less Debtors dues converted into installments under Electricity (Late Payment Surcharge Rules) and other orders is Rs. 39 Crore , net amount due is Rs. 704 Crore . Dues more than 45 days is Rs. 242 Crore .

This is all from my side. Now, the forum is open for Q&A. Thank you.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good afternoon, sir and thanks for the opportunity. My first question , is it possible to share the Adjusted PAT for the quarter? And what was the profit in Subansiri and Parbati-II in Q4 and the fiscal?

Saroj Kumar Roy: Mohit, You have seen the Reported PAT. So, if you want to reach at the Adjusted PAT, as D (F) sir has shared with you that there was one -off tax adjustment in DTL , because we all know that we have opted for the lower tax regime of 25% under Sec. 115BAA as MAT Credit facility is going to be discontinued from FY'27 onwards . Therefore , whatever deferred tax liability we had created at higher rate , that needs to be restricted at 25%. So, their impact is around Rs. 1,156 Crore which we have already reported under note #8 of our financial results. So, net impact of

this deferred tax liability adjustment comes to around Rs. 900 Crore . So, if you reduce Rs. 900 Crore from the Reported PAT, you will arrive at Adjusted PAT. That is the one adjustment you have to carry out in our Reported PAT vis-à-vis our Adjusted PAT.

Mohit Kumar: Understood. That was standalone and consolidated also, right?

Saroj Kumar Roy: Of course .

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Mohit Kumar: What is the profit in Subansiri and Parbati-II in Q4 and fiscal? We understand that the PAF was lower in quarter for Subansiri and Parbati-II. What is the status of the petition of those two assets?

Saroj Kumar Roy: So far the profitability of Parbati-II and SLP is concerned, we have earned Rs. 104 Crore profit from Parbati-II in Q4 and Rs. 487 Crore profit from SLP in Q4. On yearly basis, Parbati-II has given a loss of Rs. 150 Crore whereas on yearly basis, SLP has given a total profit of Rs. 495 Crore .

Mohit Kumar: Why Parbati-III seems to have been shut for the last few months , is there any particular reason?

Saroj Kumar Roy: Yes, actually some maintenance was going on there and these units are already resumed.

Mohit Kumar: Okay, understood sir. Thank you and all the best. I will come back in the queue.

Moderator: We have next question from the line of Aniket Mittal from SBI Mutual Fund.

Please go ahead.

Aniket Mittal : Thank you. Just a follow -up on the previous question actually. So , you said that Parbati reported a profit in the 4th Quarter versus a loss for the full year. What is leading to the profit improvement?

Saroj Kumar Roy: Yes, so basically at the end of the financial year, we compute the shortfall of energy which we are supposed to recover. So in Parbati-II, we have shortfall of energy to the extent of Rs. 200 Crore which has been booked under revenue. That is the reason Parbati-II has given the profit of Rs. 104 Crore in Q4.

Aniket Mittal: Okay . What is the percentage at which we are billing Parbati and Subansiri ?

Saroj Kumar Roy: We have already started billing of Parbati-II based on the interim tariff notification of CERC. So 75% billing , we are already doing there.

Aniket Mittal: And in case of Subansiri?

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Saroj Kumar Roy: For Subansiri, we are waiting for the interim tariff notification of CERC and we will be starting it once we get the interim tariff notification of Subansiri Lower .

Aniket Mittal : Okay, but currently till the time the interim order comes in, what is the billing looking like?

Saroj Kumar Roy : We have been booking our revenue based on the 80% of the total expected AFC in Subansiri Lower and Parbati-II, both. But billing , we can start only after getting interim tariff order from CERC.

Aniket Mittal : Understood . So now the billing for Parbati is 75 and just on the tariff adoption, I know the hearing for Parbati has been delayed. When do we see this tariff reduction come through for both Subansiri and Parbati?

Mahesh Kumar Sharma: Aniket, we have the next hearing date of Parbati-II on 25th of this month only. So , there we are expecting that orders will be reserved. Hopefully , on 25th May, this tariff petition hearing will be completed and the order will be reserved . We will be expecting the final orders by the end of this quarter.

Aniket Mittal : And Subansiri, we have done the tariff filing?

Mahesh Kumar Sharma: For Subansiri, we have already filed the tariff petition and we are expecting interim tariff order first , thereafter, there will be a hearing for provisional order . As in case of Parbati-II, first interim order was issued by CERC. After that, we have been able to bill at the rate of 75% of the filed tariff. Similarly, in case of Subansiri Lower, CERC will be issuing this interim order first and thereafter , we are expecting in another six months or so after this interim tariff is issued by CERC in

respe

ct of Subansiri Lower.

Aniket Mittal: Just to understand, so let us say if you were to bill at 75% of revenue, what is the under-recovery on profits that comes through, what is the expected profit?

Mahesh Kumar Sharma: The point is that, as Mr. Saroj has said, that we are booking the revenue at 80% of the tariff filed with the CERC as we are taking a conservative approach. We are booking at the rate of 80% of the revenue and 75% is just for the billing part. Once
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this order is there and our expectation is not less than 80%, in case there is a higher interim order, in that case we will book the difference and along with interest, the total billing will be done at that point of time after the order is issued.

Saroj Kumar Roy: Aniket, just to reply to your question, so far we have booked Rs. 1,320 Crore of revenue in Parbati-II at 80% of the AFC. If you gross up this Rs. 1,320 Crore, you will arrive at somewhere Rs. 1,600-odd Crore. So, there is an under-recovery of Rs. 300 Crore if you look at the filed tariff petition of Parbati-II. So, Rs. 300 Crore kind of under-recovery in Parbati-II and similarly, if you calculate the total AFC of Subansiri Lower also, there also we have Rs. 150 Crore kind of under-recovery. So, altogether Parbati-II and Subansiri Lower, Rs. 450 Crore of revenue has not been booked in our book of accounts if you look at the tariff petition filed in respect of these two projects.

Aniket Mittal: Understood. Fairly clear. Just on Teesta-V, just to recollect, what has been the impact in this year? Just to clarify, in Teesta-V, there is no insurance coverage over here anymore. When do we expect that project to restart as well?

Saroj Kumar Roy: So, there is no revenue, only expenditure has been there in Teesta-V. So, there is nothing top-line contribution from Teesta-V, but going forward, we are very much sure that June onwards, we are going to have operation to get resumed in respect of Teesta-V. So, by end of June onwards, you can see some top-line activity in Teesta-V also.

Aniket Mittal: And the under-recovery full year would have been how much in Teesta-V?

Saroj Kumar Roy: In respect of Teesta-V, we have total AFC of around Rs. 500 Crore. So, if you exclude the tax element, it would be around Rs. 400 Crore.

Aniket Mittal: And just a clarification. This Rs. 150 Crore of under-recovery in Subansiri is for how many units?

Saroj Kumar Roy: Three units.

Aniket Mittal: I got that. I will come back for any further questions. Thank you.

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Moderator: We have next question from the line of Murtaza from Kotak. Please go ahead.

Murtaza: Hi, sir. A lot of my questions were related to Parbati-II and Subansiri. But, just to understand this correctly, when you talk about Rs. 1,600 Crore revenue for Parbati-II, is it reasonable then to say that Rs. 150 Crore loss which you have for FY'26 would have been about Rs. 150 Crore profit. Is that the right way to think of it or is there anything out of it?

Saroj Kumar Roy: Exactly, you have explained very correctly.

Murtaza: Okay and just to understand on this 4th quarter where you talked about booking the additional revenue because of the shortfall in generation, but does that still come within? So, is it fair to say that in your reported financials for Parbati-II, for instance, you accounted Rs. 1,320 Crore of revenue or is it slightly more because of that additional Rs. 200 Crore that you talked about?

Saroj Kumar Roy: So, that includes Rs. 200 Crore as well.

Murtaza: Rs. 1,320 Crore includes Rs. 200 Crore as well?

Saroj Kumar Roy: Of course.

Murtaza: Okay. Thank you.

Moderator: We have next question from the line of Ragini Pandey from Elara Capital. Please go ahead.

Ragini Pandey: So, from which year we can see the commissioning of your PSP projects? And w

hat will be the realization for this plant and the CAPEX for these projects?

Saroj Kumar Roy: Ragini, we have not started any construction of PSP projects. So, it is very early to say about realization and other thing because the fastest running project in the ambit of this PSP project is Omkareshwar-Indira Sagar (640 MW) Project. We are expecting to start construction activities there during the current fiscal. Once we

get everything in place and we start construction activities, we will have better
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clarity about the realization, the tariff and everything. So, give us some time to share more facts about this Omkareshwar -Indira Sagar Project .

Ragini Pandey: Yes and as a REIA, are you seeing any slowdown in your renewable tendering this year? And there was a backlog of around 40 GW in PPA signing. So, any improvement on that?

Saroj Kumar Roy: So, we have not done any tendering in recent past. Whatever tendering we had made, we have already awarded around 23 GW kind of capacity, out of which 13 GW kind of likely PPA and PSA signing we are hoping, out of which 7 GW approx. we have already signed. So, going forward, we will again have more clarity in months to come in respect of REIA projects also.

Ragini Pandey: Okay. And are you expecting any slowdown in generation given this is a El Nino year and there are expectation of weaker monsoon this year?

Saroj Kumar Roy: No. As you are aware, you have been tracking NHPC for years, most of our power stations are snow-fed. So, certainly good monsoon will be helping us for better generation but our generation currently also is going fairly well.

Ragini Pandey: I want to know the normative PAF of your plants?

Saroj Kumar Roy: Consolidated it is 82%, standalone it is 80%.

Ragini Pandey: Okay. This year the overall PAF was less than 80%, right?

Saroj Kumar Roy: There are two things. If you look at the actual PAF with Teesta -V, it is certainly lower, 75%. But if you exclude Teesta -V, it is 80%. So, Teesta -V has not contributed anything during the last fiscal as well as the corresponding fiscal. In both the fiscal, if you exclude Teesta -V, you will get 80% kind of PAF. But, if you include Teesta -V, certainly it is 75%.

Ragini Pandey: Yes, okay. Thank you.

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Moderator: We have next question from the line of Riya Mehta from Equitas Investments. Please go ahead.

Riya Mehta: Thank you so much for giving me the opportunity. Sir, my first question is in terms of what will be our equity value for next year and if you could just help me for the next couple of years?

Saroj Kumar Roy: I think, you are talking about regulated equity?

Riya Mehta: Yes.

Saroj Kumar Roy: Current regulated equity, including Parbati -II, is Rs. 18,309 Crore . In next financial year, if you consider the capacity addition, we are having capacity addition of 1,250 MW of Subansiri, out of which 250 MW we have already commissioned . So, balance 1,000 MW would be coming from Subansiri, then we have 120 MW Rangit -IV, then 1,000 MW Pakal Dul, 624 MW Kiru. So, all these hydro assets, we are going to commission 2,994 MW in FY' 27. Apart from that, we have 1,190 MW of solar assets also, which are going to be commissioned in the current fiscal. So, altogether, if you look at the hydro regulated equity by end of FY'27, it would be Rs. 30,672 Crore .

Riya Mehta: Okay. Got it. My second question is in terms of what kind of construction cost increase are we seeing? Do we have a methodology that we can pass on the cost or this will just increase the regulated income?

Mahesh Kumar Sharma: As far as this increase in construction cost is concerned, this being a cost plus , everything is allowed by CERC . Once it is beyond our control, things are all passed on. So, there is no such concern as far as this is concerned. We are having checks and balances regarding how the

cost can be kept in check. Just because of certain reasons beyond our control, like geological surprises, sometimes there are design changes and other events happen in the project site , definitely, there are some increase. In any case, all those increases are taken care of as per the regulations. Whatever cost beyond our control, that is definitely allowed by the CERC. So, we do not have any issues on that front.

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Riya Mehta: Okay. What is the reason for a negative regulated income for this quarter?

Saroj Kumar Roy: You are talking about regulated deferral account?

Riya Mehta: Yes, regulated income.

Saroj Kumar Roy: That is basically, as we have discussed, in our opening remark, there has been reversal of Rs. 1,156 Crore of DTL in the line item of deferred tax liability. So, similar kind of reversal we have to make under rate regulated asset also. That has been reflected under regulated deferral account. That impact is there basically. This we have disclosed in note #8 of our financial results. That is taking care of this concern.

Riya Mehta: Right. With the Subansiri all the three units functioning and Parbati also coming and Teesta -V, what is the kind of volume number which we would see for the next year, if you could help us?

Saroj Kumar Roy: So, as of now, four units have already been commissioned. The design energy of this project is 7,421 million units. Going forward, more four units are coming in a phased manner. If you look at the expected generation of Subansiri Lower, we are expecting somewhere 5,000 million units to 5,500 million units of generation from Subansiri Lower.

Riya Mehta: This is incremental for FY'27, right?

Saroj Kumar Roy: This is expected generation from Subansiri Lower, not incremental. We have seen generation of 506 million units in Subansiri Lower during the last fiscal.

Riya Mehta: Got it. Thank you so much. That is it.

Moderator: We have next question from the line of Akash Mehta from Canara HSBC Life. Please go ahead.

Akash Mehta: Hi, sir. Thanks for taking my question. Can you just help us again with the timeline in terms of the CERC tariffs that you have mentioned for Parbati and Subansiri
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both? If everything goes well, from when can we see the recognition of revenue at 100% for both of them?

Mahesh Kumar Sharma: Akash, as I already explained, Parbati -II petition is in the final stage of hearing and we are expecting an order from CERC by 30th of June.

Akash Mehta: Once the order comes, after that you said that you will take around few months after which you can recognize it or immediately from the quarter?

Mahesh Kumar Sharma: No. As far as recognition is concerned, in case the order comes within a quarter, then we will definitely account for the differential revenue along with interest component also, because the interest is allowed from the date of COD. In that case, we will completely be billing, part billing will be over and we will be recognizing the revenue in this quarter itself if the order comes. As far as recognition is concerned, there is no deferral.

Akash Mehta: Sure. Similarly, for Subansiri, you said after five to six months we could expect?

Mahesh Kumar Sharma: For Subansiri, we have already filed the petition for our interim tariff. So, first, we are just waiting how much interim tariff CERC is going to allow us and thereafter, in subsequent hearings, like in case of Parbati -II, after interim we are expecting that within three to four months. But in case of Subansiri, as this is a very old project, so we expect that not more than six months CERC will take to issue the final order. In that case, we will be having a fair idea of where we are landing in terms of revenue. As of now, we are booking 80% of the revenue of the AFC as per tariff petition which we have filed.

Akash Mehta: This Subansiri, it will be for

the entire capacity, right, that whatever?

Mahesh Kumar Sharma: For Subansiri, we have filed for three units which were commissioned and as the units add on, we will be filing supplementary tariff petitions with CERC. We will keep on updating. CERC will be allowing us on projected basis also. But, once all the units are complete, the final petition will be filed at that point of time. But, in that case, CERC will be allowing us interim tariff for billing purpose also.

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Akash Mehta: For the three units once the final order comes through, then you can start recognizing it for Subansiri, right?

Mahesh Kumar Sharma: Yes.

Akash Mehta: Okay. Just the second question, are there anything else in terms of the future projects other than, I mean, Pakal Dul or Kiru or any other project where you are seeing cost escalation where something similar could kind of happen?

Saroj Kumar Roy: Akash, cost escalation in hydro projects are very inherent. You cannot rule out. Even though if there is no time overrun, there will be cost overrun. Because when we award at a particular price level, that award cost is not frozen. That is basically at a particular price level. So, if you are going forward with that award for four,

five, six years, we have to pay the price variation. So, cost overrun is very inherent in any hydropower project. Now if any time overrun is there, that can also lead to cost overrun. So, that varies project-to-project. It is not necessary that every project will have their time overrun. There are many projects which we have commissioned in past ahead of schedule also. So, it is not that every project will see its time overrun. It depends. And accordingly, based on the two broad factors as we have discussed - beyond the control of the management and within the control of the management, based on which CERC allows the cost overrun.

Akash Mehta: Sure. That is helpful. Any of the future projects are facing material changes in cost or it is not that much?

Saroj Kumar Roy: Not material because projects like Pakal Dul, Kiru, Kwar are doing pretty well and whatever timeline we have shared with you, we are going to commission these projects by that timeline. So, nothing extraordinary you will find there.

Akash Mehta: Okay, that is quite helpful. Thanks a lot.

Moderator: We have next question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

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Mohit Kumar: Thank you for the opportunity once again. My first question, what led to profit for Subansiri in the quarter, given that the PAF and generation is lower in the quarter, and also you are booking at lower tariff, right? Have you booked any shortfall in generation in Subansiri also?

Saroj Kumar Roy: No. Mohit, we need to understand that whatever AFC of any project we file, that is basically based on the capital cost of the project. If we are going to the CERC with the original cost of the project without any deduction and then whatever expected AFC is there from that particular project, 506 million units of generation we have from Subansiri in the last fiscal, so their income has been booked corresponding to the capital cost of these units which we have commissioned. If you are taking the entire capital cost of those units, for example, if we have commissioned three units of Subansiri, their corresponding capital cost is coming around Rs. 20,000 -odd Crore. If you take tariff based on Rs. 20,000 Crore of capital cost and if you multiply the number of units generated, then certainly this is the top line, and apart from that, whatever actual expenditure has been there, after that you are going to have profit. If any cut is there in the top line and expenditure are coming 100%, then only you will look at some losses and everything. But if revenue and expenditure both are comparable to each other in line with the AFC component, why any loss would come?

Mohit Kumar: This is my question, because we are looking at a much lower tariff, that is the reason I am asking.

Saroj Kumar Roy: So, we have not taken any much lower tariff. The only thing we have done 80% of the AFC, and there if you gross it up, then Rs. 150 Crore of under-recovery we have seen in Subansiri Lower, which we have discussed.

Mohit Kumar: Understood. My second question, why shortfall in generation has been booked in Parbati-II? Are we going to argue for lower design energy for the power plant?

Saroj Kumar Roy: No, it is too early to argue for the lower design energy. Parbati has seen only one year and you have seen that some cloudburst issue and everything had incurred

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there in Parbati-II just one year back, early monsoon. For challenging the design energy, you have to wait for at least three years.

Mohit Kumar: How can you book the shortfall in generation? Is it allowed in the regulation?

Saroj Kumar Roy: It is allowed.

Mahesh Kumar Sharma: Mohit, basically, shortfall in generation, regulation allows us. In case we are not able to achieve design energy and the reasons for non-achievement are beyond our control, in that case, CERC regulation allows us even to bill. So, in that case, we are having order of interim tariff of 75%. We are going to bill that too at the rate of 75% of the tariff filed. So, this is as per regulation what we are doing. There is no issue. We are going to bill and get it from the beneficiaries.

Mohit Kumar: Why is that TLDP-III and TLDP-IV has shown lower PAF in the quarter. Is there any particular reason? Are they impacted by something?

Saroj Kumar Roy: If you remember October '23 events where we got heavy damages in Teesta-V, these flash floods had impacted our TLDP-III and TLDP-IV projects also. A lot of silt issues are there, which we are trying to come out of. Last year also, we had

carried out some process to remove the silt and all, but again it has accumulated. Those issues we are now basically facing and hopefully, we will be able to come out of these issues within three months I believe.

Mohit Kumar: Understood. Which are the power plants you are likely to tender in this fiscal, my question is Sawalkot, Kamala, Subansiri Upper, Etalin, all these four will get tendered out this fiscal or do you think two will be this fiscal and two next fiscal?

Saroj Kumar Roy: Yes, we are also thinking from the same line and hopefully, we will be able to do it.

Sanjay Kumar Singh: Actually, we have a target to bring five projects of hydro bring into construction stage during this financial year. Two have already been awarded, Uri -I Stage -II and Dulhasti Stage -II. Three more projects like Etalin, Sawalkot and Kamala are also likely to be brought into the construction stage during this financial year. One
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more PSP also, we are targeting to bring into the construction stage which is Indira Sagar -Omkareshwar.

Mohit Kumar: Any update on Subansiri Upper, sir?

Sanjay Kumar Singh: Subansiri Upper, we may not be going this year. Next year, we may be going for that.

Mohit Kumar: Understood, sir. Thank you for answering.

Moderator: We have next question from the line of Murtaza from Kotak. Please go ahead.

Murtaza: Hi, sir. Just wanted to reconfirm, when you talked about Parbati -II doing a full year profit of Rs. 150 Crore is it not that very less against the regulated equity and project cost of Parbati -II like taking Rs. 150 Crore as the normalized profit? That is number one. Number two on Subansiri Lower, when you talked about that 80% revenue, given that you only partly commissioned the capacity, you are well within the 80% and therefore you are booking the whole revenue for the sequential units, is that understanding correct?

Saroj Kumar Roy: Let me take your question first for Par

bati -II. As we have shared that the revenue which we have recognized to Parbati -II is Rs. 1,320 Crore. The design energy of Parbati -II is 3,125 million units, whereas we have actually generated 1,642 million units in FY'26. If your generation is not there, you have not been able to book the entire expected revenue of Parbati -II. That is the reason you have not achieved the expected PAT level of Parbati -II.

Murtaza: It is only half the generation?

Saroj Kumar Roy: Yes. We have shared earlier also that in Parbati -II there was some cloudburst issue in June last year. So, that has basically stopped the expected generation of Parbati -II.

If I take your question for Subansiri Lower, we have shared that 80% of the revenue we have recognized i.e. around Rs. 613 Crore only. Total revenue against the 506
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million units is Rs. 613 Crore only. That is 80% of the expected AFC. If you gross it up, you will find Rs. 150 Crore under-recovery in Subansiri Lower also.

Murtaza: Two things. One is the actual generation is still much lower than the design energy, therefore the revenue is low and then it is at 80% of that, so even lower. Fair enough.

Saroj Kumar Roy: Exactly.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question. I now hand the conference over to Mr. Rupesh Sankhe for closing comments.

Rupesh Sankhe: We thank the NHPC management for giving us an opportunity to host this call and we also thank all the investors and the analysts for joining this call.

Sanjay Kumar Singh: On behalf of NHPC, I would like to convey my thanks. Thank you so much all the investors.

Moderator: Ladies and gentlemen, on behalf of Elara Securities (India) Private Limited, that concludes this conference. Thank you for joining us, and you may disconnect your lines.